Realmadrid

Management Report & Financial Statements

2022-2023



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2022-2023

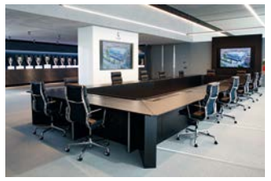
CONTENTS



CONSOLIDATED MANAGEMENT REPORT
FOR THE YEAR ENDED JUNE 30, 2023 **4**



CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023 **34**



CONSOLIDATED AUDIT REPORT ON THE FINANCIAL STATEMENTS **156**



ECONOMIC INFORMATION OF REAL MADRID C.F. **162**



BUDGET 2023/2024 **166**

Realmadrid

Management Report & Financial Statements

2022-2023

CONSOLIDATED MANAGEMENT REPORT

For the year ended June 30, 2023.

The Consolidated Management Report for Real Madrid Club de Fútbol and Subsidiaries, including an analysis of its earnings performance in 2022-2023, is presented below.



KEY HIGHLIGHTS OF FY 2022/23

This report presents consolidated data for Real Madrid Club de Fútbol and Subsidiaries. Any mention of the Club in this report regarding financial data should be understood as the Group.

KEY HIGHLIGHTS OF FY 2022/23

On the sports front, the first division football team won the UEFA Super Cup, the FIFA Club World Cup and Spain's King's Cup (Copa SMR) and reached the Champion League semifinals. Meanwhile, the first division basketball team won the EuroLeague and Spain's Super Cup champion.

As for the stadium remodeling, with the additional works not included originally in the project, the Club continued to execute works in 2022/23. It expects the crucial part of the project to be completed by the end of 2023. Therefore, in 2022/23 the stadium was not open to full seating capacity and commercial operation, resulting in lower-than-average revenue from season tickets, box office, VIP areas, commercial operation of the facilities (e.g. tours, events, bars and restaurants) and the stadium store. The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows, which should begin to materialize, will allow the Club to, at least partially from 2023/24, pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

As for the Club's financial performance in FY 2022/23, the pace of business activity continued to pick back up as the effects of the pandemic wore off. However, the overall economic landscape was affected by the uncertainty and impact of the war in Ukraine, especially the sharp rise in inflation, which led to rapid and considerable rises in interest rates.

Operating income (before disposal of non-current assets) in FY 2022/23 amounted to €843 million. Although there were still some COVID-19-related effects and spectator capacity restrictions in the stadium due to the ongoing remodeling work, the Club was able to surpass pre-pandemic revenue for the first time (€757 million 2018/19). Because of the construction, stadium revenue was still 13% below FY 2018/19 levels, but revenue from the other business lines was considerably higher.

Club management continued to focus on cost containment and actions to enhance performance and grow the business in all areas, which led to operating profit before depreciation and amortization (EBITDA) of €158 million.

For FY 2022/23, the Club reported a net profit of €12 million. Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/20 to 2021/22, which have continued for some of the big clubs who have already released their earnings for FY 2022/23, the Club was profit-making in all four years affected by COVID-19; i.e. 2018/19 to 2022/23, not to mention in the Club's case by the stadium remodeling work being carried out. All this was achieved by implementing measure to rein in costs and improve the business all around.

The Club has now been profit-making in the last 22 years, enabling it to build up equity of €558 million as at June 30, 2023.

The Club's net debt excluding the stadium remodeling project at June 30, 2023, amounted to €-47 million. Rather than a debt, this actually represents net liquidity as the sum of cash and cash equivalents and receivables from transfers, exceeds the amounts payable on investments, bank borrowings, and advances.

Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA of €158 million) yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2023 of 0, since the Club not only was debt-free, but it had a positive net cash position. Even despite COVID-19 impacts in recent years, the Club's debt/EBITDA ratio is commensurate with a maximum credit rating for financial institutions.

OPERATING INCOME

(before disposal of non-current assets)

Operating income (before disposal of non-current assets) in FY 2022/23 rose by 17% or €121 million to €843 million. Except for revenue from competitions -the Club won the Champions League in 2021/22- all business lines delivered growth, led by marketing and stadium revenue, even though the latter was still hindered in FY 2021/22 by spectator capacity restrictions because of COVID-19.

Although there were still some COVID-19-related effects and spectator capacity restrictions in the stadium due to the ongoing remodeling work, the Club was able to easily surpass pre-pandemic revenue for the first time (€757 million 2018/19). Because of the construction, stadium revenue was still 13% below FY 2018/19 levels, but revenue from the other business lines was considerably higher, especially marketing revenue (+12%).

This item includes revenue from the various business lines (stadium, international and friendly matches, broadcasting, and marketing) and from other operating activities, but excludes revenue from player transfers, which is recognized in the income statement under "Gains/(losses) on disposal of non-current assets".

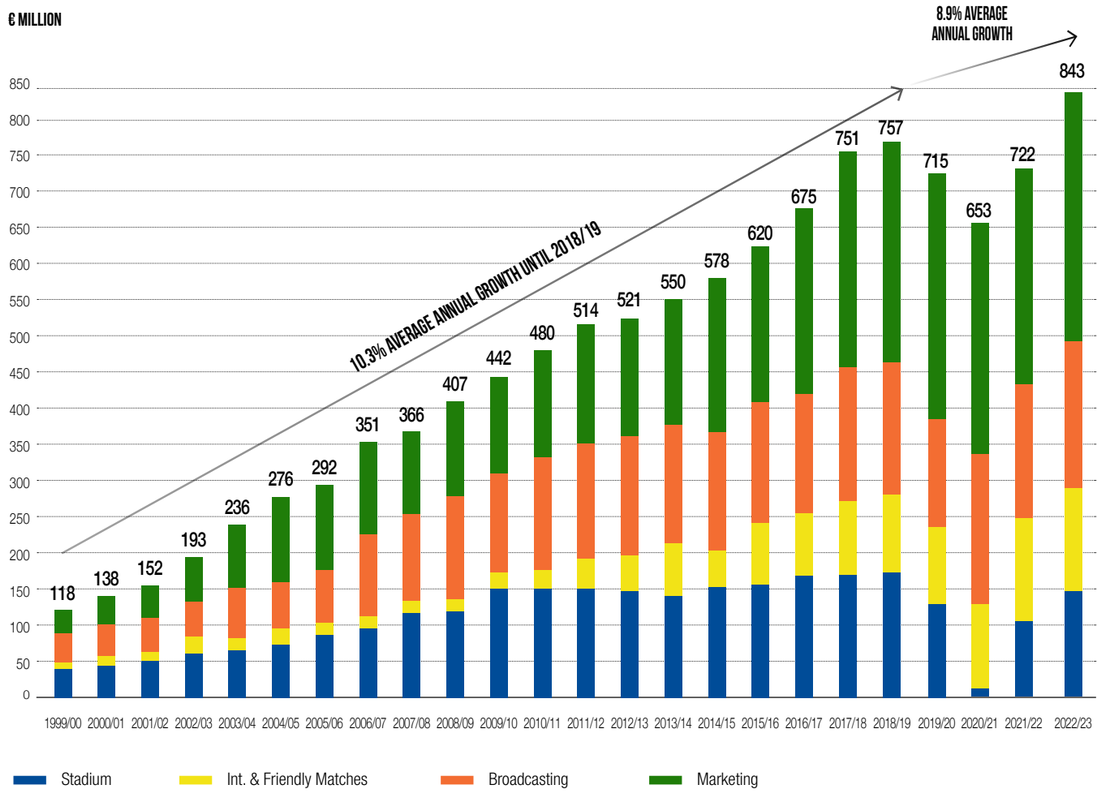
Club membership fees and season tickets in 2022/23 accounted 6.1% of total revenue, still partly affected by lower revenue from season tickets due to the stadium's remodeling. In FY 2021/22, with the gradual lifting of COVID-19 restrictions on attendance throughout the year, only a portion of ticket revenue was obtained, with no revenue from season tickets in FY 2020/21 because spectators were not allowed at any time during the year. In FY 2019/20, the Club reimbursed ticket holders 25% of the annual amount since attendance to stadiums was suspended from mid-March. As a result, Club membership fees, ticket sales and season tickets accounted for 5.2% of total revenue in FY 2021/22 compared to 1.3% in FY 2020/21 and 6.1% in 2019/20 (16.5% in FY 2000, 9.7% in FY 2009 and 7.2% in FY 2018/19).

In the 2000-2019 period, before the pandemic, revenue grew at an average annual rate of 10.3%. Because of the pandemic and the lost revenue caused by the situation in 2019/20, 2020/21 and 2021/22 and despite the recovery in revenue in 2022/23, the pace of average annual growth in 2000-2023 declined to 8.9%.

Going forward, promoting the Club's brand through investment in top players and international expansion are still the principal ways in which the Club can remain competitive and maintain its status as a global benchmark in football.

OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



BREAKDOWN OF OPERATING INCOME

(before disposal of non-current assets)

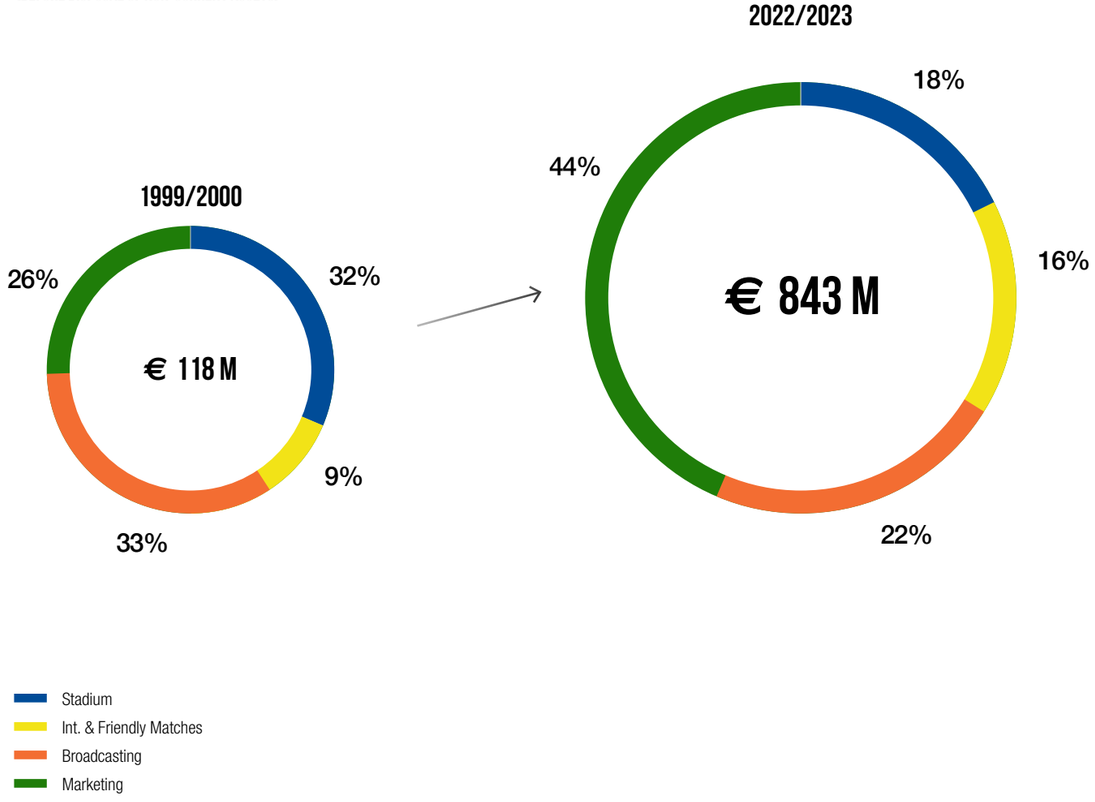
The Club enjoys a balanced revenue mix, barring the atypical situation from 2019/20 to 2021/22 affected by COVID-19 and the temporary impacts of the remodeling work on stadium revenues during the construction period from FY 2019/20 to FY 2022/23.

The three largest lines (stadium, television/ competitions and marketing) make up around a third of total revenue, although the weight of TV revenue in the mix (La Liga and Champions League) has decreased gradually, while the weight of marketing revenue has increased. From FY 2023/24, once the remodeling work is completed, stadium revenue will also have a larger share of the mix.

This diversified stream of recurring revenues lends financial stability to the Club, cushioning the impact of potential fluctuations in revenue caused by varying performance on the sporting front or by changes in the economic landscape.

BREAKDOWN OF OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



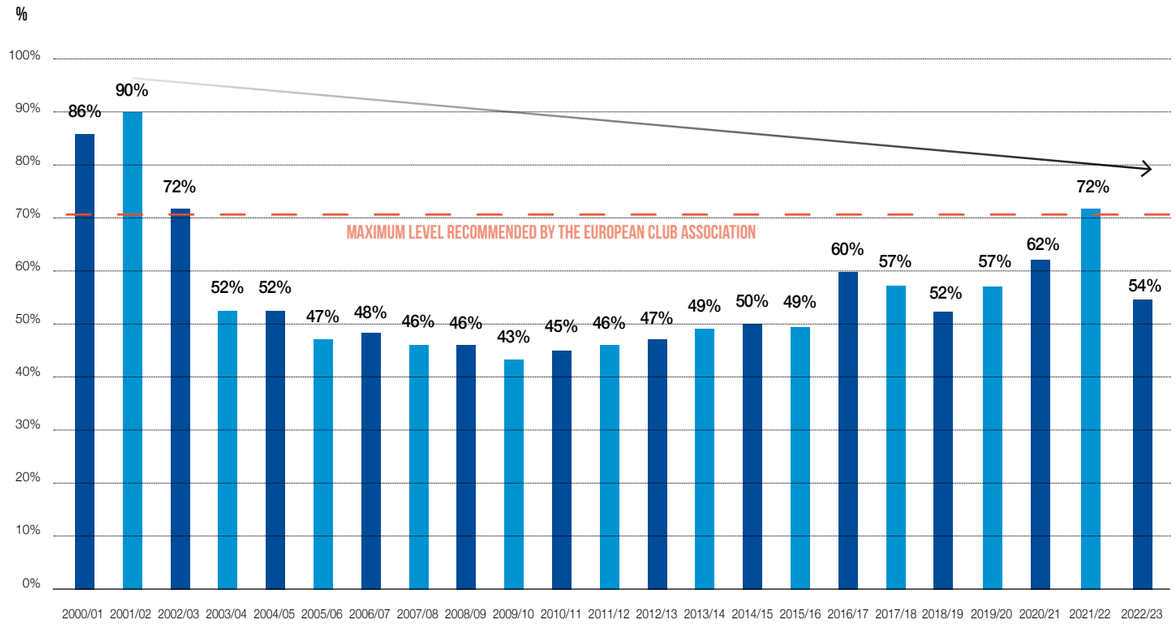
PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO

The efficiency ratio, calculated by dividing the Club's total personnel expenses by operating income (before disposal of non-current assets), is the most widely used indicator internationally to measure a football club's operational efficiency. The lower the ratio, the more efficient the Club.

The efficiency ratio in 2022/23 was 54%, near the 50% level considered the threshold for excellence and well below the 70% maximum level recommended by the European Club Association (ECA).

The ratio in FY 2021/22 was 72%, or 64% adjusted for COVID-19 impacts and 59% excluding the impact of sports titles and non-recurring expenses. The efficiency ratio was 57% in FY 2019/20 and 62% in FY 2020/21, with both years also affected by COVID-19 impacts. This indicates that, despite the effects of COVID-19, the Club has been able to keep this ratio under control and within levels recommended by the European Club Association.

PERSONNEL EXPENSES/ OPERATING INCOME



OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)

Operating profit before depreciation and amortization, or EBITDA, is the Club's earnings from operating activities after subtracting personnel and other operating expenses from the revenue obtained by the business lines, including gains or losses on player transfers and disposals of other assets.

Player transfers among football clubs is hardly an exception, but rather part of the Club's standard practice so that it can renew staff, generating proceeds than can be used to self-finance part of the cost of new additions.

In 2022/23, the Club obtained EBITDA of €158 million, of which €74 million was from gains on disposals of players, net of valuation adjustments.

Gains on player disposals in 2019/20 and 2020/21 net of valuation adjustments amounted to €127 million and €122 million, respectively, enabling the Club, despite the losses caused by COVID-19, to deliver EBITDA of €177 million and €180 million, respectively.

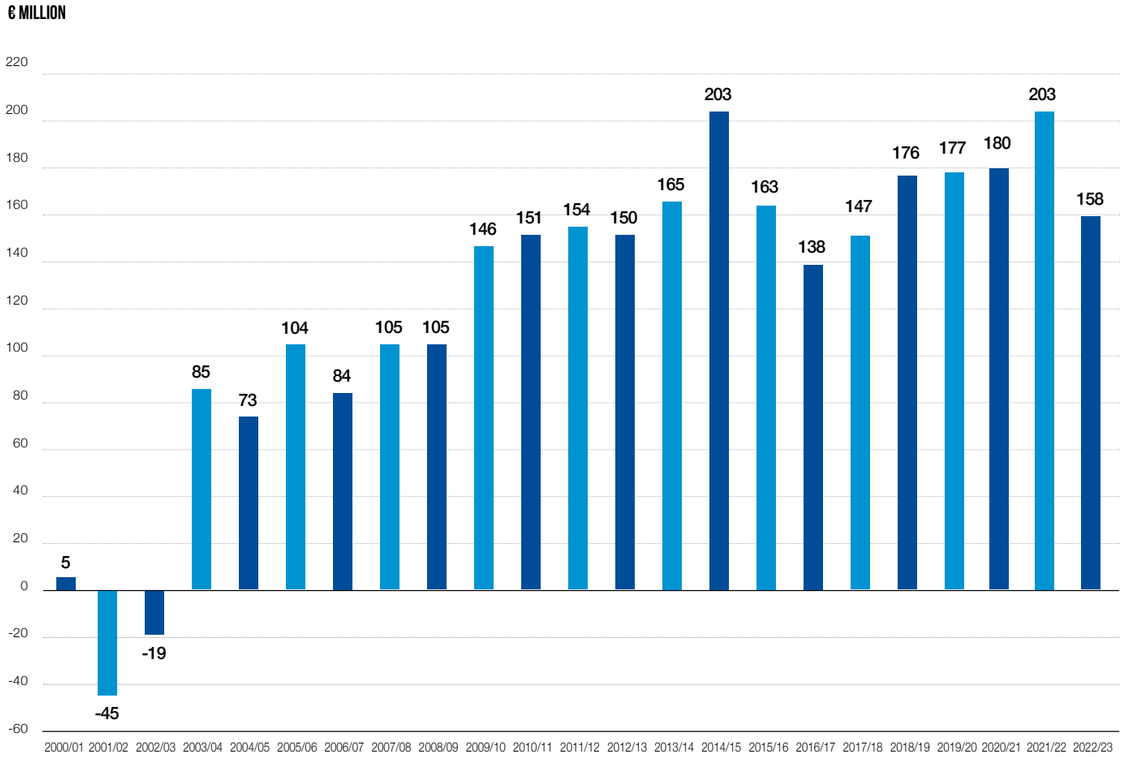
Comparison of EBITDA for FY 2022/23 with FY 2019/20 and FY 2020/21 show the improvement in 2022/23 in the operational efficiency of revenue vs expenses, driven by the gradual pickup in post-pandemic activity, although the gains on player transfers net of value adjustments were €50 million lower in FY 2022/23 than the average FY 2019/20-2020/21 average. This is because the huge losses incurred by most European clubs due to COVID-19 and the general trend in the transfer market have made it more difficult to carry out transfers for significant amounts, with an increasing number of players seeing their contracts end without being transferred.

Comparison of EBITDA for FY 2022/23 (€158 million) with FY 2021/22 (€203 million) is shaped by the gain realized last year from the Sixth Street/Legends agreement. Operational efficiency of revenue vs expenses, coupled with the impacts of provisioning, resulted in an improvement of €199 million in FY 2022/23 from FY 2021/22. Meanwhile, net disposal proceeds in FY 2022/23 (€74 million) was far lower than in FY 2021/22 (€318 million) because of the gain that year obtained as a result of the Sixth Street/Legends agreement.

The Club has achieved annual average EBITDA of €180 million in the 4-year period from FY 2018/19 to FY 2022/23 affected by COVID-19 and, specifically for the Club, by the execution of the stadium remodeling work. This is a testament to its operational efficiency and ability to respond by taking measures to mitigate those losses.

The EBITDA performance in recent years is the result of a financial management that pursues profitability by combining efforts to boost revenue and rein in costs.

OPERATING PROFIT/(LOSS) BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)



INCOME STATEMENT: KEY HIGHLIGHTS

Operating income (before disposal of non-current assets) in FY 2022/23 rose by 17% or €121 million to €843 million. Except for revenue from competitions -the Club won the Champions League in 2021/22- all business lines delivered growth, led by marketing and stadium revenue, even though the latter was still hindered in FY 2021/22 by spectator capacity restrictions because of COVID-19.

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Net profit is calculated as EBITDA after depreciation and amortization, net finance income/(expense) and income tax.

Depreciation and amortization in FY 2022/23 totaled €25 million, lower than in FY 2021/22 due to changes in sports personnel.

Net finance income in FY 2022/23 amounted to €6 million, compared to a net finance expense in FY 2012/22 of €3 million. The main reason for the improvement was the interest accrued in FY 2022/23 from the favorable outcomes for the Club of certain lawsuits. The borrowing cost of the stadium remodeling project financing in either of the last two financial years did not have any impact on the income statement since it was capitalized as an increase in the cost of the investment since the project is still underway.

Income tax expense is obtained by applying the nominal 25% tax rate to accounting profit adjusted for non-eligible revenue and non-deductible expenses in accordance with tax legislation less the amount of applicable tax credits. Applying this to figures the end of each reporting period results in an income tax refund of €3 million for FY 2022/23 compared to an income tax expense of €7 million in FY 2021/22; i.e., a €10 million improvement. The tax refund for the year was mostly the result of the impact of non-eligible revenue caused by the resolution of certain lawsuits in favor of the club.

Profit after tax in FY 2022/23 was €12 million, compared with €13 million in FY 2021/22. Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/20 to 2021/22, which have continued for some of the big clubs who have already released their earnings for FY 2022/23, the Club was profit-making in all four years affected by COVID-19; i.e. 2018/19 to 2022/23, not to mention in the Club's case by the stadium remodeling work being carried out. All this was achieved by implementing measure to rein in costs and improve the business all around.

The Club has now been profit-making in the last 22 years, enabling it to build up equity of €558 million as at June 30, 2023.

INCOME STATEMENT: KEY HIGHLIGHTS

€ MILLION	2021/2022	2022/2023
OPERATING INCOME	**722**	**843**
OPERATING PROFIT before depreciation and amortizacion **(EBITDA)**	**203**	**158**
PROFIT AFTER TAX	**13**	**12**

TAX BALANCE: CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY

Real Madrid contributed €342.4 million directly to state and local taxes, and social security in FY 2022/23. The breakdown by item is as follows:

- €294.1 million paid in state and local income tax and social security, representing a cost of 35% of the Club's operating income (before disposal of non-current assets); i.e. for every €100 of income, Real Madrid allocates €35 to tax and social security payments.
- €48.4 million in VAT paid to the tax authorities (difference between output VAT charged to customers and input VAT paid to suppliers), arising from Real Madrid's economic activity.

Real Madrid was current on the payment of all its tax obligations at June 30, 2023, as it always has been.

TAX BALANCE

AMOUNTS PAID DURING THE 2022/2023 FINANCIAL YEAR	€ THOUSAND
Personnel income tax withholding and non-resident income tax (deductions from staff remuneration and image rights)	250,783
INCOME TAX	26,433
Property and other local taxes	4,504
SOCIAL SECURITY CONTRIBUTIONS (company)	10,210
SOCIAL SECURITY CONTRIBUTIONS (employee)	2,147
TOTAL COST OF TAXES AND SOCIAL SECURITY	**294,077**
% OF OPERATING INCOME (BEFORE DISPOSAL OF NON CURRENT ASSETS)	**35%**
NET VAT PAID	**48,360**
TOTAL CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY	**342, 437**

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

Excluding the stadium remodeling project, the Club invested €225 million in FY 2022/23, of which €8 million went to upgrade and develop facilities and the IT platform; €16 million to repurchase rights; €201 million to sports personnel, which included the cost of new acquisitions and the renewable of players, as well as the accrual of contingent costs arising from acquisitions made in prior periods.

Part of the investment in players was self-financed with proceeds from transfers, which amounted to €100 million. Net investment in sports personnel (acquisitions - transfers) was €101 million in FY 2022/23, compared to €48 million the year before. Average annual net investment in the 2000-2023 period was €68 million.

In addition to investing in players, the Club allocated a significant amount to building and upgrading its facilities and for technological development. In the 2000-2023 period, Real Madrid invested:

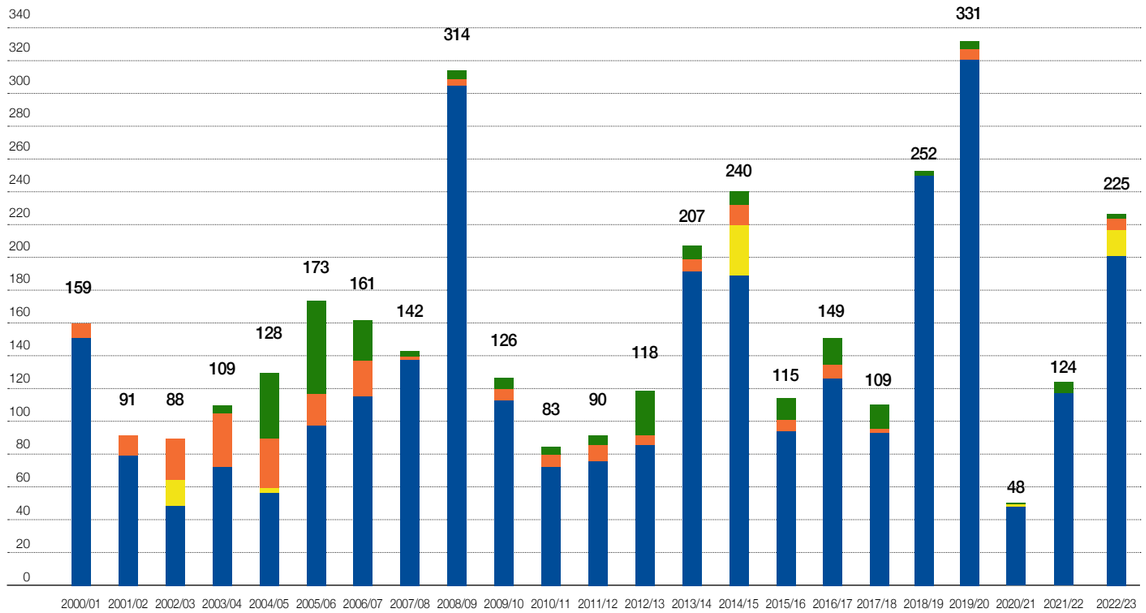
- €263 million on the stadium, modernizing the facilities and enhancing their quality and functionality for spectators, as well as providing the facilities with the resources and services to broaden the stadium's commercial offering and develop the Club's IT platform. All this investment has generated a considerable annual financial return. The amount does not include the stadium remodeling project, which is disclosed separately in another section of this report.

- €243 million on the construction of Real Madrid City, considered the largest sports complex ever built by a football club, with a total surface area of 120 hectares, 10 times bigger than the former complex. Ideally located in one of the fastest growing areas of Madrid and with excellent public transportation, Real Madrid City is a strategic enclave and a first-rate sports and entertainment center. Noteworthy in recent years is the marked improvement made to the installations, with the construction of the first-team and youth team residences -a Club goal for many years- and a basketball training arena and two new training fields. In 2018, construction was completed on the new office building where the Club's various operating departments work, which will pave the way for a greater integration and free up space in the stadium.

Overall, these investments have helped drive Real Madrid's economic growth, social development and sports successes.

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



DISPOSALS: INCOME FROM PLAYER TRANSFERS, €M

2000/01	2001/02	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23
67	11	6	40	24	43	36	33	56	102	20	14	41	102	114	28	54	108	124	139	121	67	100

Players · Stadium · Repurchase of Rights · Real Madrid Sport City

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work is being carried out without affecting the matches scheduled or the stadium's normal activities, barring the interruption of certain activities caused by the COVID-19 pandemic since March 2019 that led to matches until June 30, 2021 to be held at the Alfredo Di Stefano Stadium in the Sport City without spectators. In the 2021/22 season, after spectators were allowed back in stadiums, the matches were once again held at the Santiago Bernabéu Stadium.

The new stadium will present an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field, protecting all seats.

The shopping center will be torn down and two new towers built on paseo de la Castellana to make the stadium safer and to make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform will remove architectural barriers and make room for nearly 1,000 new seats for people with various abilities.

Work will also be carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The current museum near the La Castellana will be much bigger, and a new interactive museum will be created and equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It will be a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology will be pioneering and an essential feature of this major reform, with a spectacular video scoreboard that will be one of the most emblematic features of the new Santiago Bernabéu Stadium. It will be a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

In addition, a large underground greenhouse will be built that was not included in the original project due to its complexity, which was technologically resolved subsequently. This greenhouse will allow for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized. Considering the technical characteristics of executing this project, it is expected to be completed in the summer of 2023.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount of approximately €29.5 million as from July 30, 2023, and until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed at extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via a new 27-year loan facility for up to €225 million, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

As a result, the loan taken out to finance the stadium's remodeling totals €800 million, with maturity in July 2049 and carrying an average fixed interest rate of 2.23%. As at June 30, 2022, the loan had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Club's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service), so it can carry out its normal activity with no impact from payment of the works.

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

€ MILLION	AT 06/30/2022	2022/2023
Investments	538	355
Cumulative		893
CASH AT JUNE 30	**372**	**125**
NET DEBT AT JUNE 30	**538**	**893**

After the additional works not included originally in the project, the Club continued to execute works in 2022/23. It expects the crucial part of the project to be completed by the end of 2023. Work was carried out according to schedule, while matches were being played in the Santiago Bernabéu Stadium.

Investment recognized in FY 2022/23 totaled €355 million, including the capitalized borrowing costs during the construction period. This took cumulative investment in the project as at June 30, 2023, to €893 million.

Regarding the loan facility, the entire €800 million was drawn down the previous year. The first repayment on the loan facility will be made in FY 2023/24, on July 30, 2023, for €33.8 million, of which €15.4 million is repayment of principal and €18.4 million is payment of interest.

Net debt arising from the stadium remodeling project at June 30, 2023, amounted to €893 million. This is the net balance between payables of €1,018 million (€800 million loan, €159 million outstanding invoices payable and €59 million Club-Stadium adjustment) and the cash available from the loan of €125 million.

CASH AND CASH EQUIVALENTS (EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)

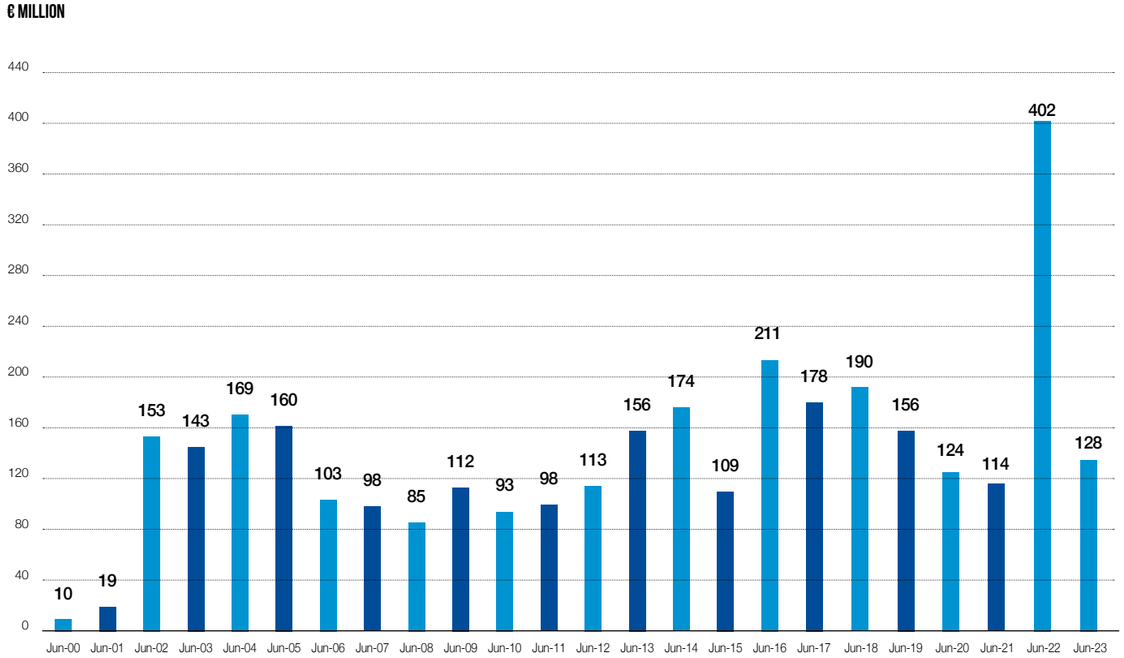
The cash balance as at June 30, 2023, excluding cash from the stadium remodeling project loan, stood at €128 million.

Comparison with the balance at June 30, 2022, was affected by the impact on cash in FY 2021/22 of the capital gain recognized during that year from the Sixth Street/ Legends agreement.

In FY 2022/23, in addition to payments for player acquisitions and renewals and other investments, including both those carried out during the year and outstanding payments from previous years, other major payments were made. These include bonuses for sports achievements the previous year and the payment, for a full year for the first time (with repayment in four annual instalments), of ICO/COVID-19 loans.

In addition to the cash balance of €128 million, as at June 30, 2023, the Club also had €265 million of undrawn credit facilities. These undrawn facilities leave plenty of room to meet scheduled payment obligations.

CASH AND CASH EQUIVALENTS
(EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)



WORKING CAPITAL (EXCLUDING THE STADIUM REMODELING PROJECT)

Working capital (i.e. the difference between current assets and current liabilities) at June 30, 2023, excluding the stadium remodeling project, stood at €-56 million, broken down into operating working capital (€-143 million), financial working capital (€116 million) and other working capital (available-for-sale assets, provisions and taxes amounting to €-30 million).

The Club's working capital, barring certain moments of especially high cash, is inherently negative as the nature of its operations leads to operating working capital with large creditor balances (between €-110 million and €-290 million for player registrations, net trade payable and upfront collection of membership fees and season tickets).

Significant efforts have been made in recent years to lower its negative working capital, which has gone from €-182 million in 2010 to €-56 million as at June 30, 2023. The reduction in the working capital/revenue ratio is greater: from -41% in 2010 to -7% in 2023.

This negative working capital is recurring; i.e. rolled over each year due to the intrinsic nature of operations, as reflected in the trend in balances; figures are broadly similar from year to year, with occasional variations due to operating trends each season (e.g. sport achievement prizes).

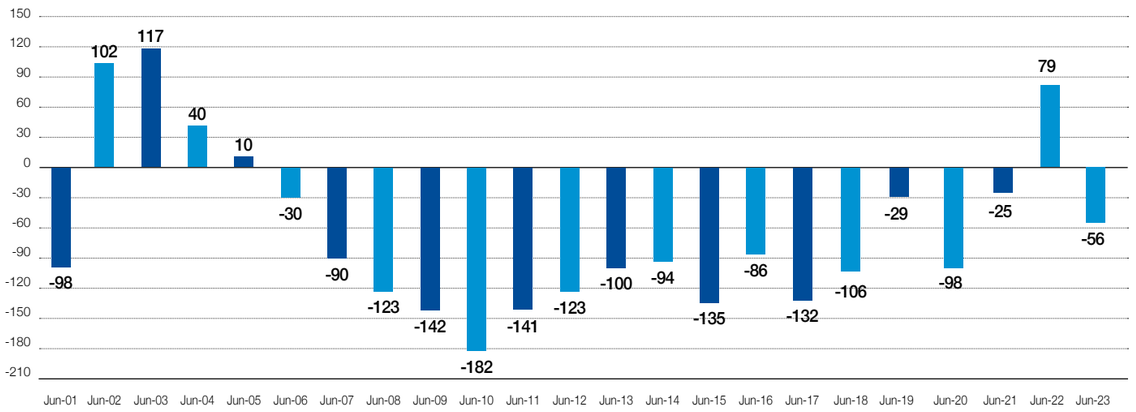
These balances are rolled over and, therefore, present similar amounts at each year-end, so they do not represent debt, or a liquidity or business continuity problem.

Due to the large volume of transactions carried out by the Club at present, the only way to offset recurring negative working capital would be to have a large positive financial working capital through an extremely large balance of cash equivalents.

Temporary situations with a large amount of cash relative to the size of the Club's balance sheet can arise from time to time, but are not normal and not compatible with the objectives or not-for-profit status of the club, which invests funds obtained in the development of its sports and its facilities.

WORKING CAPITAL

€ MILLION



CASH+SHORT TERM INVESTMENTS (€ MILLION)

Jun-01	Jun-02	Jun-03	Jun-04	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Jun-13	Jun-14	Jun-15	Jun-16	Jun-17	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23
19	153	143	169	160	103	98	85	112	93	98	154	156	174	109	211	178	190	156	124	114	402	128

WORKING CAPITAL

€ MILLION	6/30/09	6/30/10	6/30/11	6/30/12	6/30/13	6/30/14	6/30/15	6/30/16	6/30/17	6/30/18	6/30/19	6/30/20	6/30/21	6/30/22	6/30/23
OPERATING WORKING CAPITAL															
Trade receivables + Inventories	32	58	71	66	54	46	57	67	108	103	90	163	103	148	251
Receivables from public administrations	4	1	1	1	1	1	7	0	0	0	0	0	0	0	0
Trade payables	-47	-74	-67	-75	-73	-63	-64	-66	-63	-63	-58	-35	-38	-62	-97
Payables to public administrations	-7	-11	-15	-13	-15	-15	-22	-15	-27	-23	-26	-15	-23	-36	-24
Salaries and wages payable (50% player registration, bonuses)	-50	-56	-71	-93	-82	-114	-104	-144	-197	-208	-149	-139	-135	-216	-175
Accruals	-48	-66	-69	-67	-60	-58	-62	-64	-85	-96	-124	-80	-57	-79	-98
Subtotal	**-116**	**-149**	**-151**	**-181**	**-176**	**-202**	**-189**	**-222**	**-265**	**-287**	**-267**	**-106**	**-150**	**-243**	**-143**
Financial Working Capital															
Cash	112	93	98	113	156	174	109	211	178	190	156	124	114	402	128
Current investments	0	0	0	41	0	0	0	0	0	0	0	0	0	0	0
Player transfer receivables	13	34	28	21	24	36	58	53	20	52	79	44	83	35	59
Bank borrowings	-24	-48	-7	-43	-26	-16	0	0	0	-10	0	-52	-2	-38	-39
Club-Stadium adjustment											31	1	8	24	59
Player transfer and other investments payable	-146	-115	-92	-74	-76	-91	-111	-131	-70	-55	-108	-128	-79	-33	-91
Subtotal	**-45**	**-37**	**27**	**59**	**77**	**103**	**56**	**133**	**128**	**177**	**157**	**-10**	**124**	**390**	**116**
Other															
Available-for-sale financial assets	29	0	0	0	0	0	0	0	0	0	79	7	0	22	11
Provisions	-10	-1	-1	-1	-2	-2	-3	-1	-2	-2	-2	-2	-1	-71	-53
Taxes	1	4	-17	0	1	7	1	5	7	6	4	13	2	-19	12
Subtotal	**20**	**4**	**-18**	**-1**	**-1**	**5**	**-2**	**4**	**5**	**4**	**81**	**18**	**1**	**-67**	**-30**
TOTAL WORKING CAPITAL	**-142**	**-182**	**-141**	**-123**	**-100**	**-94**	**-135**	**-86**	**-132**	**-106**	**-29**	**-98**	**-25**	**79**	**-56**

LIABILITIES AND GROSS DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club had total liabilities at June 30, 2023, excluding the stadium remodeling project, of €801 million (2022: €837 million). This, in addition to €558 million of equity (2022: €546 million) and the liabilities related to remodeling project of €959 million (2022: €886 million), of which €800 million is long-term finance (2022: €800 million) and €159 million short- and long-term invoices payables (2022: €86 million), gives a total balance sheet value of €2,318 million (2022: €2,269 million).

Liabilities comprise gross debt, trade payables (€272 million as at June 30, 2023, and €277 million as at June 30, 2022) and other liabilities, composed of provisions, accruals, and taxes (€283 million as at June 30, 2023, and €354 million as at June 30, 2022).

The Club's gross debt at June 30, 2023 excluding the stadium remodeling project, in accordance with Spanish GAAP, stood at €246 million, of which €115 million corresponded to bank borrowings and €131 million to debt relating to investments in players and facilities (2022: €206 million, of which €153 million of bank borrowings and €53 million of investments).

The Club's gross debt increased by €40 million in FY 2022/23:

- Bank borrowings decreased by €38 million as 2022/23 was the first full year of repayments of the ICO-backed bank loans after the 2-year grace period. Repayments will be made regularly in coming years to maturity in 2026. These loans were taken out for €155 million in FY 2019/20 to make up for the impact on cash flow of lost income caused by COVID-19.
- Debt from investments increased by €78 million, as payments made were less than the addition of new outstanding amounts payable on new acquisitions during the year.

REAL MADRID LIABILITIES AT JUNE 30, 2022

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**71**	**135**	**206**
Trade and other payables	277		277
Financial liabilities	**349**	**135**	**483**
Provisions	71	66	137
Deferred taxes		34	34
Current tax	19		19
Public Administrations	36		36
Accruals	81	47	128
Total other liabilities	**206**	**148**	**354**
TOTAL LIABILITIES	**554**	**283**	**837**

REAL MADRID LIABILITIES AT JUNE 30, 2023

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**130**	**116**	**246**
Trade and other payables	272		272
Financial liabilities	**402**	**116**	**518**
Provisions	53	46	99
Deferred taxes		37	37
Current tax	0		0
Public Administrations	24		24
Accruals	99	24	123
Total other liabilities	**176**	**107**	**283**
TOTAL LIABILITIES	**578**	**223**	**801**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

Gross debt was discussed in the previous section.

However, the Club's key metric is its net debt; it does not make sense to discuss what one owes without factoring in what one owns.

Net debt is gross debt minus cash and cash equivalents, of €128 million at June 30, 2023 (2022: €402 million) and receivables from other clubs from player transfers (in keeping with a core principle of consistency, since gross debt includes amounts paid to other clubs for player acquisitions and as player acquisitions/sales are mirror sides of the business), of €130 million at June 30, 2023 (2022: €91 million), recognized in "Financial assets" in the balance sheet.

The Club includes as debt the balance of advances on income accruing in the future, which stood at €24 million at June 30, 2023 (2022: €47 million). Also included is the adjustment of Club-Stadium cash and cash equivalents, with a balance in favor of the Club at June 30, 2023 of €-59 million (2022: €-24 million).

This left the Club's net debt as at June 30, 2023, at €-47 million (2022: €263 million), excluding the stadium remodeling project.

Net debt represents the external resources which, coupled with own funds, are used to fund the capital invested by the Club to carry out its activity.

NET DEBT AT JUNE 30, 2022

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	32	20	53
Player transfer receivables	-35	-56	-91
Net investments/transfers	**-3**	**-34**	**-38**
Bank borrowings	38	115	153
Cash	-402	0	-402
Cash advance	0	47	47
Club-Stadium adjustment	-24	0	-24
Subtotal other net debt	**-387**	**161**	**-225**
TOTAL NET DEBT	**-390**	**127**	**-263**

NET DEBT AT JUNE 30, 2023

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	91	40	131
Player transfer receivables	-59	-71	-130
Net investments/transfers	**33**	**-30**	**2**
Bank borrowings	39	77	115
Cash	-128	0	-128
Cash advance	0	24	24
Club-Stadium adjustment	-59	0	-59
Subtotal other net debt	**-149**	**100**	**-48**
TOTAL NET DEBT	**-116**	**70**	**-47**

MANAGEMENT BALANCE

€ MILLION	06/30/2022	06/30/2023
Players, facilities and other property	669	724
Provisions and other	-143	-70
Net operating working capital	-243	-143
TOTAL NET CAPITAL INVESTED	**283**	**511**
NET EQUITY	546	558
NET DEBT	-263	-47
TOTAL FUNDING SOURCES	**283**	**511**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club's net debt excluding the stadium remodeling project at June 30, 2023, amounted to €-47 million. Rather than a debt, this actually represents net liquidity as the sum of cash and cash equivalents and receivables from transfers, exceeds the amounts payable on investments, bank borrowings, and advances.

The net cash position decreased considerably in FY 2022/23 as the amount of investments made (excluding the remodeling project) far outweighed the cash net inflows from operating activities, which decreased because of the impact of a sharp reduction in the creditor balance of net operating working capital.

Compared to the situation before the pandemic (June 30, 2019: net cash position of €-27 million), net debt at June 30, 2023 was €-20 million lower.

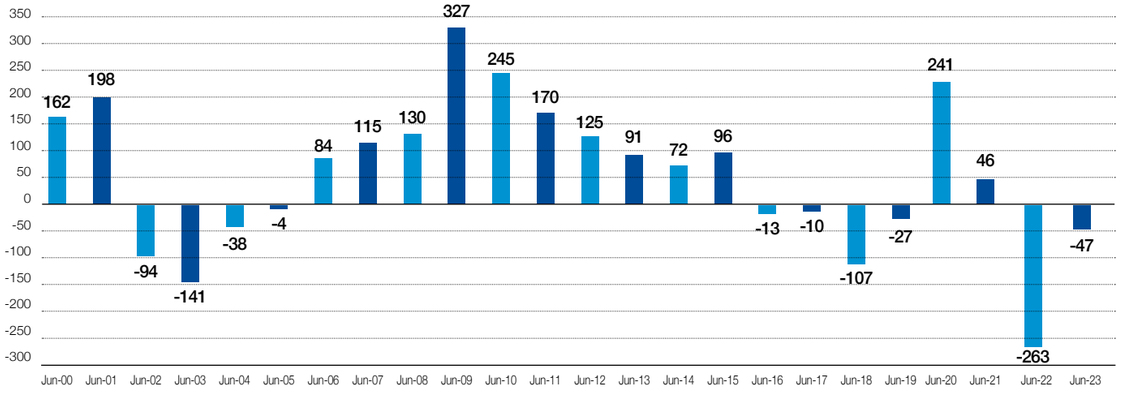
This illustrates that the Club was able to offset nearly €400 million of lost revenue caused by the pandemic, which also decreased cash and increased debt, by implementing cost-saving and other business improvement measures.

Since June 2009, it has made ongoing and considerable efforts to reduce debt.

Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA of €158 million) yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2023 of 0, since the Club not only was debt-free, but it had a positive net cash position. Even despite COVID-19 impacts in recent years, the Club's debt/EBITDA ratio is commensurate with a maximum credit rating for financial institutions.

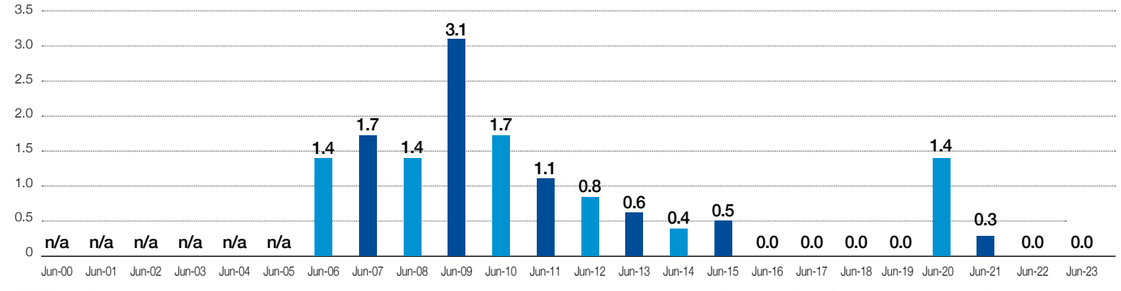
NET DEBT
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.

NET DEBT/EBITDA RATIO



EBITDA: Operating profit before depreciation and amortization. As of 2008/09, with new Spanish GAAP, it includes gains/(losses) on disposals and impairment of non-current assets.

EQUITY

Equity represents the Club's own funds; i.e. the funds which, with borrowings, fund the Club's needs to carry out its activities.

Equity is the accounting measure of enterprise value. For an entity like Real Madrid, which does not distribute dividends, the annual change in equity relates to annual profit after tax (and any balance sheet revaluation).

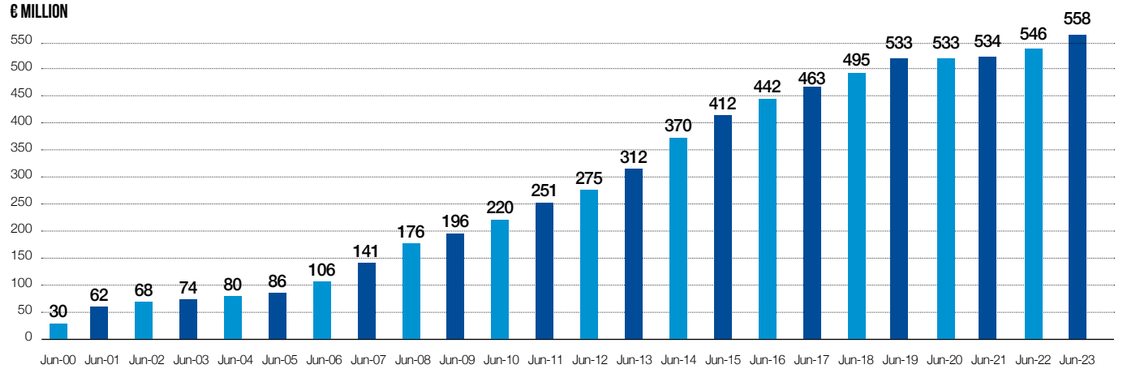
Through the profits it obtains, the Club has increased equity each year, to €558 million at June 30, 2023. By delivering a profit in the four financial years affected by the pandemic and the stadium remodeling -FY 2019/20, FY 2020/21, FY 2021/22 and FY 2022/23- despite the lost revenue, the Club was able to boost equity by €25 million relative to the level at June 30, 2019, before the pandemic and the start of remodeling work.

The greater the amount of equity relative to debt, the higher the Club's value, solvency and financial autonomy, as capital invested is financed more by equity than debt. The debt/equity ratio is used as an indicator of solvency and financial autonomy: the lower this ratio, the higher the Club's solvency and financial autonomy.

The debt/equity ratio at June 30, 2023, excluding the stadium remodeling project, was 0, since the Club did not have any debt, but rather a net cash position which, despite the effects of the pandemic, indicates maximum solvency and financial autonomy.

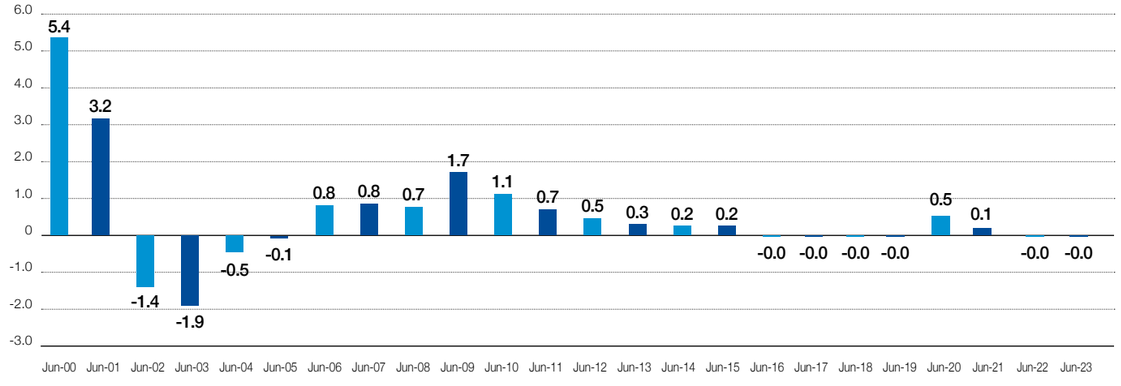
EQUITY

€ MILLION



NET DEBT/EQUITY RATIO

Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.



BALANCE SHEET

ASSETS

€ THOUSAND	06/30/2023	06/30/2022
Sports intangible assets	324,979	293,266
Other intangible assets	26,736	6,848
Property, plant and equipment	1,165,257	822,397
Investment properties	11,144	11,153
Non-current player transfers receivable	70,990	55,539
Deferred tax assets	54,059	47,214
Other financial assets	77,315	51,237
TOTAL NON-CURRENT ASSETS	**1,730,480**	**1,287,654**
Assets held for sale	11,192	22,365
Inventories	9,271	7,746
Current player transfers receivable	58,557	35,256
Trade receivables	241,409	140,667
Current tax assets	12,076	0
Cash and cash equivalents	253,357	773,316
Accruals	1,429	2,219
TOTAL CURRENT ASSETS	**587,291**	**981,569**
TOTAL ASSETS	**2,317,771**	**2,269,223**

EQUITY AND LIABILITIES

€ THOUSAND	06/30/2023	06/30/2022
Social fund and reserves	542,603	529,667
Profit (loss) for the year	11,826	12,936
CAPITAL AND RESERVES	**554,429**	**542,603**
Grants received	3,700	3,844
EQUITY	**558,129**	**546,447**
Provisions for liabilities and charges	45,833	66,014
Bank borrowings	76,573	114,789
Non-current payables for player acquisitions	39,356	19,953
Non-current payables for stadium and Real Madrid Sport City works	803,913	813,266
Payables for Repurchase of rights/other	453	507
Deferred tax liabilities	37,053	34,493
Accruals	24,137	47,024
TOTAL NON-CURRENT LIABILITIES	**1,027,318**	**1,096,046**
Provisions for liabilities and charges	53,022	70,985
Bank borrowings	38,509	38,356
Current payables for player acquisitions	86,765	30,485
Current payables for stadium and Real Madrid City works	159,000	74,413
Current payables for repurchase of rights/others	62	0
Trade and other payables	121,037	97,294
Current tax liabilities	0	18,594
Wages and salaries payable	174,852	215,753
Accruals	99,076	80,849
TOTAL CURRENT LIABILITIES	**732,323**	**626,729**
TOTAL EQUITY AND LIABILITIES	**2,317,771**	**2,269,223**

Assets/liabilities at June 30, 2023, amounted to €2,318 million, an increase of €49 million from the year before.

Highlights on the assets side: The carrying amount of sports intangible assets increased by €32 million due to the net result of investment made in the year less amortization, disposals, impairment and transfers to available-for-sale assets. The value of other intangible assets increased by €20 million due to the investment made to repurchase rights related to spectator capacity and the development of an IT platform to provide service to both members and fans. The value of property, plant and equipment increased by €343 million due to the net result of investment made in the year (primarily in the stadium remodeling project) less depreciation. The value of other financial assets increased by €26 million due to the impact of non-current trade receivables and sports personnel contract bonuses. Available-for-sale assets decreased in the year by €11 million owing to the lower amount reclassified from sports intangible assets during the year. Current and non-current receivables for player transfers increased by €39 million following receipt of an amount of the outstanding balance of transfers from prior years that was lower than the outstanding amounts added for transfers during the current year, since revenue from transfers increased. Trade receivables increased by €101million, of which slightly more than half was due to outstanding amounts receivable from the favorable rulings for the Club in certain lawsuits. The remainder was due to the larger amount of trade receivable on the back of increased business activity. The balance of current tax assets increased by €12 million thanks to the income tax refund for FY 2022/23 in favor of the Club (as prepayments exceeds the amount payable according to the settlement at the end of the financial year), which will be received as of January 2024, when the return is filed. The balance of cash and cash equivalents totaled €253 million, of which: €125 million related to cash from the stadium remodeling project loan facility, €247 less than the year before due to repayments made during the year on amounts drawn down the year before, and €128 million related to the Club's cash excluding the remodeling project; i.e. €274 million less than the year before for the reasons already explained in other notes in this report.

Highlights on the liabilities side: Bank borrowings decreased by €38 million, as this year was the first full year of repayments of the ICO-backed COVID-19 bank loans taken out in 2020 (after the 2-year grace period). Outstanding payables on investments (long- and short-term) were €151 million higher. Of the total increase, €73 million were due to the stadium remodeling project (i.e. an increase of €73 million from outstanding invoices payable, since the loan balance is unchanged as the full amount was drawn down the year before and repayments began in July 2023). Payables for player acquisitions and other investments increased by €78 million as payments made were smaller than the amounts added to outstanding payments for new acquisitions during the year. The balance of non-current and current provisions for liabilities decreased by €38 million due to the derecognition of certain provisions recognized the year before as either the related contingency arose or the provisions was no longer considered to be necessary. Trade payables rose by €24 million due to increased activity. Current tax liabilities (income tax payable) decreased by €19 million since there was no balance for this item at June 30, 2023 but rather the contract as the Club recognized an amount receivable under assets. The balance of remuneration payable decreased by €41 million due to the bonuses for sports achievements of FY 2021/22, which were paid in FY 2022/23. The balance of non-current and current accruals (amounts received which accrue in subsequent periods) were broadly unchanged. Equity at the end of the reporting period amounted to €558 million, up €12 million from the year before, due to the profit after tax obtained in FY 2022/23.

OTHER MANAGEMENT INFORMATION

NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity. Financial instrument activity exposes the Club to credit, market, and liquidity risk.

CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e. the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

With regard to trade receivables, the Club has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls. The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In many cases, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees. As a result of all these measures the Club's losses on uncollectible receivables are insignificant in relation to the its annual revenue.

The Club's investment policies establish that financial investments must be made in accordance with the following guidelines: They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity. Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited. Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, concentrated in certain highly solvent institutions. Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required. Compliance with these requirements minimizes investment risk and therefore the Club has seen no impairment on any of its financial investments since 2000, the first year for analysis of the Club's economic and financial performance considered in this management report.

MARKET RISK

Interest rate risk

Market risk entails interest rate risk caused by uncertainty over the future performance of the financial markets and interest rates, which can potentially have a negative impact on the Club's results and cash flows. Financing for the stadium project is for 30 years at fixed rates, thereby eliminating any risk since the transaction is for such a long period of time. Almost the entire amount of new long-term (with maturity to 2026) financing raised in FY 2019/20 to cushion the impact of COVID-19 is at fixed rates and, therefore, risk-free. The rest of the Club's financing comprises short-/medium-term credit facilities carrying floating interest rates indexed to the Euribor, of which no amounts had been drawn down as at June 30, 2023. Therefore, the rapid spike in interest rates since the middle of the previous year has barely had any impact on the Club's income statement. Given its financing mix, the Club does not enter into any derivatives as interest rate hedges.

Inflation

Inflation peaked in July 2022 (at 10.8% yoy), before falling sharply to 1.9% yoy in June 2023. In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Club's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

LIQUIDITY RISK

Liquidity risk is the risk that the Club will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. To address this risk the Club aims to maintain sufficient available funds to carry out its operating activities and make the investments it requires at any given time. On June 30, 2023, the Club had a cash balance of €128 million (excluding the cash inherent in the stadium remodeling project) and undrawn credit lines amounting to €265 million spread at a floating interest rate plus a highly competitive spread.

These funds, plus the cash flows generated regularly by the Club through its operating activities, allow it to comfortably meet all its payment commitments.

OTHER MANAGEMENT INFORMATION

AVERAGE SUPPLIER PAYMENT PERIOD

The Club's average supplier payment period in FY 2022/23 was 53 days. Payments were made amounting to €263 million, of which €193 million (73% of the total) were paid within 60 days.

PERSONNEL

In FY 2022/23, the Club had an average of 974 employees, of whom 473 were players and coaches (2022: 894 and 428, respectively).

At June 30, 2023, the Club had 1,072 employees (2022: 878), of whom 512 (2022: 434) were players and coaches.

ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Club has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results.

Real Madrid, in compliance with its sustainability and energy efficiency policy, continues to study and carry out measures to reduce its consumption and ensure the responsible management of resources.

RESEARCH, DEVELOPMENT AND INNOVATION

Given the nature of the Club activities, its most relevant activities in this area are the innovative design of various sections of the stadium remodeling project, and the design and development of the technology platform and other tools to support its digital activities. Also included are sports health-related activities and the development of new IT tool.

TREASURY SHARES

As the Club is a sports association, it has no shares and therefore no treasury shares.

EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting period and the date of authorization for issue of these financial statements were as follows:

- Acquisitions of player transfer rights for approximately €23,630 thousand.

- The merger by acquisition on July 1 of RSC Internacional F.C. by Real Madrid Club de Fútbol, which was approved at the Extraordinary General Assembly held on October 2, 2022. Accordingly, RSC Internacional, a third division team, will be Real Madrid C for upcoming seasons.

OUTLOOK

Looking ahead of FY 2023/24, the key event is completion of stadium remodeling work. Construction work is expected to largely conclude by the end of 2023. For accounting purposes, the investment should enter into operation from January 1, 2024. The impact from that date will be the amortization of the investment and the discontinuation of the capitalization of the related finance costs. The other major impact of completion of the work is the increase in revenue from both ordinary spectator/VIP capacity and the commercial operation of the facilities (tour, events, bars and restaurants, store). Revenue is likely to rise gradually, with growth in the first half of FY 2023/24 expected to be in line with the pace of the second half last year. Revenue growth from full commercial availability of the stadium should begin from January 2024 and come about gradually. Overall, the forecast for stadium revenue in FY 2023/24, both from ordinary spectator/VIP capacity and commercial operation of the facilities is for considerable growth relative to FY 2022/23, but still well below the amount estimate from FY 2024/25, when the various business lines in fully operational. Logically, increased revenue will also mean higher operating expenses related to running the stadium.

The Club expects to build on the success of its sport model, pursuing further sports successes in football and basketball, which have set the Club apart throughout its history and especially in recent years.

This performance must be supported by an economic model that aims to achieve self-sustaining growth, where, through the combination of diversified revenue and contained costs, a profitability and financial structure are achieved to provide the solvency that enables the Club to make the investments it needs to carry out its business.

CONSOLIDATED FINANCIAL STATEMENTS

For the year ended June 30, 2023.

The Financial Statements of Real Madrid Club de Fútbol and Subsidiaries is presented below.

CONSOLIDATED BALANCE SHEET AS AT JUNE 30, 2023

ASSETS

€ THOUSAND	NOTES	6/30/2023	6/30/2022
NON-CURRENT ASSETS		**1,730,480**	**1,287,654**
Sports intangible assets	4	**324,979**	**293,266**
Other non-sports intangible assets	5	**26,736**	**6,848**
Property, plant and equipment	6	**1,165,257**	**822,397**
Investment properties	7	**11,144**	**11,153**
Non-current financial assets	8.1	**106,652**	**81,639**
Non-current accruals	15.1	**41,653**	**25,137**
Deferred tax assets	16	**54,059**	**47,214**
CURRENT ASSETS		**587,291**	**981,569**
Non-current assets held for sale	4.2	**11,192**	**22,365**
Inventories	9	**9,271**	**7,746**
Trade and other receivables	8.2	**312,042**	**175,923**
Current accruals	15.1	**1,429**	**2,219**
Cash and cash equivalents	10	**253,357**	**773,316**
TOTAL ASSETS		**2,317,771**	**2,269,223**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/2023	6/30/2022
EQUITY		**558,129**	**546,447**
Capital and reserves	11	**554,429**	**542,603**
Reserves		487,997	487,517
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Legal reserve		1	-
Capitalization reserve		13,378	13,325
Reserves in consolidated companies		12,402	
Profit for the year		11,826	12,936
Grants, donations and bequests received	12	**3,700**	**3,844**
NON-CURRENT LIABILITIES		**1,027,318**	**1,096,046**
Non-current provisions	13.1	**45,833**	**66,014**
Non-current loans and borrowings	14.1	**920,295**	**948,515**
Bank borrowings		76,573	114,789
Other financial liabilities		843,722	833,726
Deferred tax liabilities	16	**37,053**	**34,493**
Non-current accruals	15.2	**24,137**	**47,024**
CURRENT LIABILITIES		**732,324**	**626,730**
Current provisions	13.2	**53,022**	**70,985**
Current loans and borrowings	14.2	**284,336**	**143,254**
Bank borrowings		38,509	38,356
Other financial liabilities		245,827	104,898
Trade and other payables	14.3	**295,890**	**331,642**
Current accruals	15.2	**99,076**	**80,849**
TOTAL EQUITY AND LIABILITIES		**2,317,771**	**2,269,223**

CONSOLIDATED INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2023

€ THOUSAND	NOTES	2022/23	2021/22
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and other stadium revenue		151,843	104,303
International and friendly matches		136,030	139,492
Broadcasting revenue		186,813	178,940
Marketing revenue		329,812	290,140
	17.1	**804,498**	**712,875**
Cost of sales			
Raw materials and other consumables used	17.2	**(44,000)**	**(27,778)**
Other operating income	17.1	**26,715**	**6,903**
Sports and non-sports personnel expenses	17.3	**(452,701)**	**(519,030)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	90	(3,399)
Other operating expenses	17.4	(262,299)	(286,224)
		(262,209)	**(289,623)**
Depreciation and amortization	4,5,6,7	**(154,569)**	**(179,702)**
Non-financial and other capital grants	12.17.1	**192**	**192**
Provision surpluses	13.1,13.2	**11,613**	**1,558**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(30,607)	(60,814)
Gains/(losses) on disposal and other	17.5	104,057	378,716
		73,450	**317,902**
OPERATING PROFIT		**2,989**	**23,297**
Finance income			
Marketable securities and other financial instruments	17.6	12,754	1,148
Capitalization of borrowing costs	17.6	17,917	14,749
		30,671	**15,897**
Finance expenses	17.6	**(25,083)**	**(18,995)**
NET FINANCE INCOME/(EXPENSE)		**5,588**	**(3,098)**
PROFIT BEFORE TAX		**8,577**	**20,199**
Income tax expense	16.1	**3,249**	**(7,263)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**11,826**	**12,936**
PROFIT FOR THE YEAR		**11,826**	**12,936**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED JUNE 30, 2023

A) Consolidated statement of recognized income and expense for the year ended June 30, 2023.

€ THOUSAND	NOTES	2022/23	2021/22
Profit for the year		**11,826**	**12,936**
Income and expense recognized directly in equity		**-**	**-**
Amounts transferred to the income statement			
Grants, donations and bequests received	12	(192)	(192)
Tax effect	12	48	48
Total amounts transferred to the income statement		**(144)**	**(144)**
Total recognized income and expense		**11,682**	**12,792**

B) Consolidated statement of total changes in equity for the year ended June 30, 2023.

€ THOUSAND	RESERVES (NOTE 11)	REVALUATION RESERVES (NOTE 11)	CAPITALIZATION RESERVE (NOTE 11)	RESERVES IN CONSOLIDATED COMPANIES (NOTE 11)	PROFIT FOR THE YEAR	TOTAL EQUITY	GRANTS, DONATIONS AND BEQUESTS RECEIVED (NOTE 12)	TOTAL EQUITY
Opening balance (incorporation of the group)	**487,517**	**28,825**	**13,325**	**-**	**-**	**529,667**	**3,988**	**533,655**
Total recognized income and expense for the year ended June 30, 2022	-	-	-	-	12,936	12,936	(144)	12,792
Balance at June 30, 2022	**487,517**	**28,825**	**13,325**	**-**	**12,936**	**542,603**	**3,844**	**546,447**
Distribution of prior year profit/(loss)	480	-	53	12,403	(12,936)	-	-	-
Total recognized income and expense for the year ended June 30, 2023	-	-	-	-	11,826	11,826	(144)	11,682
Balance at June 30, 2023	**487,997**	**28,825**	**13,378**	**12,403**	**11,826**	**554,429**	**3,700**	**558,129**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2023

€ THOUSAND	NOTES	2022/23	2021/22
OPERATING ACTIVITIES			
Profit for the year before tax		**8,577**	**20,199**
Adjustments for:		**35,851**	**(27,324)**
Depreciation and amortization	4, 5, 6, 7	154,569	179,702
Impairment losses	17.5	30,607	60,814
Change in provisions	13.1, 13.2, 17.4	(38,234)	108,185
Grants recognized in the income statement	12	(194)	(192)
Proceeds from derecognition and disposals of non-current assets	17.5	(104,057)	(378,716)
Finance income	17.6	(30,671)	(15,897)
Finance expenses	17.6	25,083	18,995
Other income and expenses		(1,252)	(215)
Working capital adjustments		**(155,237)**	**62,065**
Inventories		(1,525)	(2,021)
Trade and other receivables		(102,575)	(9,869)
Other current assets		790	(689)
Trade and other payables		(5,674)	102,549
Other current liabilities		18,227	22,664
Other non-current assets and liabilities		(64,480)	(50,569)
Other cash flows from operating activities		**(33,734)**	**(2,085)**
Interest paid		(5,662)	(3,867)
Interest received		2,006	682
Income tax received/(paid)		(30,078)	1,100
NET CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES		**(144,543)**	**52,855**
INVESTING ACTIVITIES			
Payments for investments		**(416,980)**	**(379,155)**
Group companies and associates		-	-
Sports intangible assets		(128,315)	(145,454)
Other intangible assets		(21,228)	(4,233)
Property, plant and equipment		(264,837)	(225,539)
Other financial assets		(2,600)	(3,929)
Proceeds from sale of investments		**79,529**	**410,166**
Sports intangible assets		77,513	115,681
Transfer rights		-	294,479
Other intangible assets		14	-
Property, plant and equipment		2	6
Other financial assets		2,000	-
NET CASH FLOWS FROM/(USED IN) INVESTING ACTIVITIES		**(337,451)**	**31,011**
FINANCING ACTIVITIES			
Proceeds from and payments for financial liability instruments		**(37,965)**	**422,976**
Redemption and repayment of bank borrowings		(37,965)	(2,024)
Other borrowings		-	425,000
NET CASH FLOWS FROM/USED IN) FINANCING ACTIVITIES		**(37,965)**	**422,976**
EFFECT OF EXCHANGE RATE FLUCTUATIONS		**-**	**-**
NET INCREASE/DECREASE IN CASH AND CASH EQUIVALENTS		**(519,959)**	**506,842**
Cash and cash equivalents at beginning of period		773,316	266,474
Cash and cash equivalents at end of period	10	253,357	773,316

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2023

1. CORPORATE INFORMATION

Real Madrid, Club de Fútbol (the "Club") was formed in 1902 as a sports entity to engage in, and use its assets for, primarily and principally, the promotion of football at all levels and ages and, in general, of all sports.

Its sporting activities focus currently on playing and promoting football and basketball. The Club has teams competing at various levels in both of these sports, including categories of women's football after the merger by absorption of the women's football club, Club Deportivo Elemental "Club Deportivo Tacón" approved at the Extraordinary General Assembly held on September 16, 2019 and executed with effect as of July 1, 2020.

The Club is the head of a group composed of the following subsidiaries:

NAME	DATE OF INCORPORATION	COST OF STAKE	% STAKE	REGISTERED ADDRESS	ACTIVITY
Real Madrid Beijing Co, Ltd.	3/24/2015	137	100%	3021-3022 Units, South Tower Beijing Kerry Centre, Nº 1 Guanghua Road, Chaoyang District, Beijing, China	Support Real Madrid's expansion in China and other countries in Asia.
Real Madrid Estadio, S.L.	8/27/2021	3	100%	Avda Concha Espina, 1	Management of all kinds of venues. Car park construction and operation.

The financial years of all companies included in the scope of consolidation begin on July 1 each year and end on June 30 the following year.

2. BASIS OF PREPARATION

These consolidated financial statements have been authorized for issue by the Board of Directors of Real Madrid Club de Fútbol, the parent of the consolidated group.

The figures shown herein are in thousands of euros (€ thousand), unless stated otherwise.

2.1 FAIR PRESENTATION

The accompanying consolidated financial statements have been prepared from the auxiliary accounting records of the Club and subsidiaries included in the scope of consolidation in accordance with Spanish GAAP (Plan General de Contabilidad) and other prevailing accounting legislation to present fairly the equity, financial position and results of operations of the consolidated group.

Specifically, these consolidated financial statements have been prepared in accordance with Spanish GAAP (Plan General de Contabilidad) approved by Royal Decree 1514/2007, of November 16, which has been amended several times since its publication, the latest by Royal Decree 1/2021, of January 12, and the rules for the preparation of consolidated financial statements approved by Royal Decree 1159/2010, of September 17. They also considered the specifics contained in Spanish GAAP applicable to sporting public limited companies (sociedades anónimas deportivas) and sports entities.

The statement of cash flows was prepared to present fairly the source and use of the Group's cash flows represented by cash and cash equivalents.

2.2 BASIS OF CONSOLIDATION

The consolidated group includes all companies over which the parent, Real Madrid Club de fútbol, has or could have, directly or indirectly, control, understood to be the power to govern the business and financial policies of a company.

The consolidated financial statements have been prepared applying the full consolidation method since the parent owns 100% of the share capital of the subsidiaries.

In preparing the accompanying consolidated financial statements, all significant balances and transactions between consolidated companies and the significant results of those transactions were eliminated.

In addition, in the preparation of the accompanying consolidated financial statements, uniformity adjustments were made to the most significant accounting principles and policies to make them uniform them with those used by the parent.

2.3 COMPARATIVE INFORMATION

In accordance with company law, for comparative purposes the Group has included, for each item of the balance sheet, the income statement, the statement of changes in equity and the statement of cash flows, in addition to figures for the year ended June 30, 2023, those for the year ended June 30, 2022.

Quantitative information for the previous year is also included in the notes to the financial statements unless an accounting standard specifically states that this is not required.

2.4 CRITICAL ISSUES REGARDING THE MEASUREMENT AND ESTIMATION OF UNCERTAINTIES

The Group's Board of Directors prepared the consolidated financial statements using estimates based on historical experience and other factors considered reasonable under the circumstances. The carrying amounts of assets and liabilities, which were not readily apparent from other sources, were established on the basis of these estimates. Although the Group reviews these estimates on an ongoing basis, there is a series of risks and uncertainties that depend on the future outcome of certain assumptions and considerations described herein that could result in the need to revise the carrying amounts of assets and liabilities in future periods or other disclosures contained in these notes.

Key assumptions concerning the future and other key sources of estimation uncertainty of estimates at the reporting date, that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below.

- **Impairment of non-current assets and non-current assets held for sale recognized as current assets**

The measurement of non-current assets requires estimates to determine their recoverable amount (Notes 3.6) for assessing whether there is any impairment. To determine recoverable amount, where it is not possible to use a market value, the Group's directors estimate, as at the date of authorization for issue of the consolidated financial statements and whenever feasible, the present value of the estimated and probable future cash flows to be generated by the assets discounted using an appropriate discount rate. The Group also makes estimates to determine fair value less costs to sell for assets

classified as non-current assets held for sale (Note 3.5). These estimates are based primarily on offers received by the Club for the assets and on the analysis of comparable transactions in the market.

- **Deferred tax assets**

Deferred tax assets are recognized for the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that the Group and subsidiaries will have future taxable profit available against which they can be utilized and, accordingly, the assets recovered. To determine the amount of deferred tax assets that can be recognized, the Group and its subsidiaries estimate the amounts and dates on which future taxable profits will be obtained, and the period of reversal of taxable temporary differences.

- **Provisions**

The Group makes judgments and estimates regarding the probability of occurrence of risks that could require the recognition of a provision and, where appropriate, the related amounts. A provision is recognized only when the risk is considered probable, in which case the cost that would be arising from the obligating event is estimated. On other occasions, the cost is determined after the reporting date and prior to the authorization for issue of the consolidated financial statements, once additional information and documentation has been obtained that confirms the assessment or estimate of the risk materializing at the close.

- **Calculation of fair value, value in use and present value**

Calculating fair value, value in use and present value entails, in certain cases, calculating future cash flows and making assumptions on the future amounts of the cash flows, as well as the applicable discount rates. The estimates and related assumptions are based on historical experience and various other factors considered reasonable under the circumstances.

- **Operating lease commitments — The Group as lessor**

The Group has entered into leases to carry out its business. Based on an evaluation of the terms and conditions of the arrangements, it has determined that the lessor retains all the risks and rewards of ownership of the assets. Therefore, it accounts for these arrangements as operating leases. Operating lease payments are recognized as expenses in the income statement on a straight-line basis over the lease term.

2.5 DISTRIBUTION OF PROFIT

Until FY 2014/15, the Club allocated all profit for the year to increase the balance of “Reserves”.

In the wake of changes to tax legislation effective from FY 2015/16, specifically in compliance with article 25 of Law 27/2014 on Corporate Income Tax (the CIT law), the Club set aside a reserve, called the “Capitalization reserve,” earmarking 10% of the increase in equity of the previous year, up to a limit of 10% of taxable profit for the year (see Note 16.3).

The subsidiary earmarked the entire amount of its profits to increase voluntary reserves after complying with the legal requirement set out in article 274 of the Spanish Corporate Enterprises Act (Ley de Sociedades de Capital) approved by R.D.L. 1/2010, of July 2, to earmark 10% of profit to the legal reserve until the balance of this reserves reaches 20% of the share capital.

2.6 BALANCE SHEET REVALUATION

In FY 1996/1997, the Club availed of the balance sheet revaluation provided for in RD Law 7/1996, of June 7, increasing the net value of its property, plant, and equipment by €8,548 thousand. The impact on the depreciation charge for the year ended June 30, 2023 was €160 thousand (2022: €160 thousand).

Similarly, in FY 2013/2014, the Club decided to avail itself of the revaluation provided for in Law 16/2012, of December 27, resulting in a net increase in its property, plant and equipment of €21,344 thousand. At the Extraordinary General Assembly held on September 22, 2013, the revaluations were approved, along with the ad hoc balance sheet issued by the Board of Directors. The ad hoc balance sheet and the breakdown of the revaluations of the various items of property, plant, and equipment were provided in the 2013/14 consolidated financial statements.

The impact on the depreciation charge for the year ended June 30, 2023 was €520 thousand (2022: €520 thousand).

3. RECOGNITION AND MEASUREMENT STANDARDS

The main recognition and measurement standards applied by the Group in the preparation of the accompanying consolidated financial statements for the year ended June 30, 2023, are as follows:

3.1 SPORTS INTANGIBLE ASSETS

Sports intangible assets includes mainly player transfer rights ("transfers") and the costs incurred to acquire such rights. These rights are measured at acquisition cost and amortized from the moment they are acquired on a straight-line basis over the term of each player's contract. These intangible assets are initially recognized on the date the related acquisition agreement becomes effective.

Following initial recognition, these assets are carried at cost less accumulated amortization and any accumulated impairment.

The cost of the intermediation services in player acquisitions or renewals is recognized as an increase in the acquisition cost and amortized on a straight line basis over the life of the player's contract.

At the end of each reporting period, these intangible assets are assessed for indications of impairment. If there is objective and clear evidence that the Group's sports intangible assets are impaired before the date of authorization for issue of the consolidated financial statements, the related impairment loss is recognized.

Player purchase options not exercised at the end of the reporting period are measured at acquisition cost, given the difficulties inherent in estimating the options' fair value, as there are no active market or comparable transactions for these assets.

In general, players are derecognized at the date of disposal, transfer, cancellation of the contract, or expiry of the contractual rights over the players. Even though contact may have been initiated with other clubs, agents, or the players themselves, for the purpose of negotiating their departure from the Club, and given the difficulties and uncertainties that arise before signing agreements, in general, the related gain or cost is not recognized until either the sale or transfer contract has been signed, or until the player's contract expires, since up to that moment there is no real transfer of rights and risks incidental to ownership of the contractual rights over the Club's players. However, if at the end of the period the Club considers that certain players meet the requirements for the related sports intangible assets to be classified as non-current assets held for sale (Note 3.5), the player is reclassified to this item and measured in accordance with the policy explained in the related note.

3.2 OTHER NON-SPORTS INTANGIBLE ASSETS

Other intangible assets are initially recognized at acquisition cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, these intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

This type of intangible asset is recognized if, and only if, it is probable that it will generate future benefits for the Group, its cost can be measured reliably and it is identifiable.

Intangible assets are amortized on a systematic basis in accordance with their estimated useful life and residual value. Amortization methods and periods are reviewed at the end of each reporting period, and adjusted prospectively where applicable. Intangible assets are tested for impairment at least at each financial period end. If any such indication exists, the company estimates the recoverable amount and recognizes the related impairment.

- **Concessions**

This item includes expenditure made to obtain the concession for certain of the Club's activities. These arrangements are amortized on a straight-line basis over the concession term of seven years. The Club's concession assets are fully amortized.

This line item also includes the grant of an operator's license for free-to-air broadcasting via TDT through an HD TV channel. The license was granted to the Club by the Ministry for Industry via Ministerial Order of November 19, 2015, following a public tender held in accordance with the tender terms approved by the Council of Ministers on April 17, 2015. The amount recognized is the present value of the

fees payable for use of the concession over its 15-year term, which is also its amortization period.

- **Patents, licenses, trademarks, and similar rights**

This items reflects the amounts paid to register the Club's trademark. This asset is amortized on a straight-line basis over a period of 10 years.

- **Computer software and IT platforms**

These assets are amortized on a straight-line basis over periods ranging from three to four years. Software maintenance costs are recognized as an expense when incurred.

- **Other non-sports intangible assets**

This item includes:

a) Merchandising rights

Merchandising rights includes the value of rights repurchased by the Club on June 26, 1998, for €80,070 thousand, for merchandising, rights to use the sporting facilities, and adjacent bars and restaurants, audiovisual broadcasting rights to matches in European competitions, and static and dynamic in-game advertising and sponsorship of the football and basketball teams. These rights were amortized on a straight-line basis over periods ranging from four to 21 years, which ended in previous years, and were fully amortized as at June 30, 2023 and 2022.

These rights also include other management and exploitation rights repurchased by the Club in FY 2002/03 over several boxes located in the Santiago Bernabéu Stadium from Palcos Blancos, S.L. for €9,423 thousand. These rights were fully amortized as at June 30, 2023 and 2022.

Finally, this item includes the merchandising, image, website and distribution rights repurchased by the Club from the former owners of the discontinued Real Madrid Gestión de Derechos, S.L. subsidiary for €29,610 thousand. These rights were fully amortized at June 30, 2023 and 2022.

b) Exploitation rights to stadium boxes acquired in business combinations

This item includes the rights acquired in FY 2002/03 arising from the business combination carried out by the Club that year with Inversiones Incas 2000, S.L. and Real Madrid Eventos Deportivos, S.L. These two companies operated a number of boxes in the Santiago Bernabéu Stadium that were acquired by the Club that year for €955 thousand and €4,029 thousand, respectively. These rights were fully amortized as at June 30, 2023 and 2022.

c) Other rights

This includes the recovery by the Group of €16,164 thousand of rights to use seats for the season in the stadium included in the collective bargaining agreement in favor of employees. These rights were recovered in the first half of FY 2022/23 and will be amortized over a period of 25 years, i.e. the remaining years of useful life of the rights at the time of recovery.

3.3 PROPERTY, PLANT AND EQUIPMENT

Property, plant, and equipment are measured initially at cost, determined as the purchase price or production cost, including all costs and expenses related directly to the assets acquired until they are in operating condition. Cost also includes the revaluations made in accordance with legislation (Note 2.6).

After initial recognition, property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any.

Borrowing costs arising from external financing to construct property, plant and equipment accrued until assets that required more than one year to be brought into working condition are ready to enter service are included in the purchase price or production cost of the asset.

Expenses for repairs that do not extend the useful life of the assets, as well as maintenance expenses, are taken to the income statement in the year incurred. Costs incurred to

enlarge or improve items of property, plant and equipment which increase capacity or productivity or extend the useful life of the asset are capitalized as an increase in the value of the asset.

When available for use, property, plant and equipment are depreciated on a straight-line basis over their estimated useful life.

The years of estimated useful life of property, plant and equipment are as follows:

	YEARS OF USEFUL LIFE
Sports stadiums and pavilions	50
Other installations, equipment and furniture	5 – 25
Other property, plant and equipment	5 – 10

The Group reviews the assets' residual value, useful lives and depreciation methods at the end of each reporting year or period and adjusts them prospectively where applicable.

Items of property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from them. The gain or loss on derecognition of an item of property, plant or equipment (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in the consolidated income statement for the year or period when the asset is derecognized.

3.4 INVESTMENT PROPERTIES

Investment property include assets held to earn rentals or for capital appreciation, as well as assets that are not used in operations and do not form part of the Group's ordinary course of business. The Santiago Bernabéu Stadium facilities leased to third parties are classified as investment properties.

The criteria set out for measuring and depreciating property, plant, and equipment are applied to investment properties.

3.5 NON-CURRENT ASSETS HELD FOR SALE

The Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met:

- the asset is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets;

- an active program to locate a buyer has been initiated; and

- the sale is highly probable within a year from the date of classification as a non-current asset held for sale.

Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell. These assets are not depreciated and, where necessary, the corresponding impairment is recognized so that the carrying amount does not exceed the fair value less costs to sell.

When an asset no longer meets the conditions for classification as held for sale, it is reclassified according to its nature and measured at the lower of the carrying amount before it was classified as held for sale, adjusted for any depreciation, amortization or impairment that would have been recognized had the asset not been classified as held for sale, and the recoverable amount at the reclassification date. Any difference is recognized in the income statement according to its nature.

These measurement provisions do not apply to deferred tax assets, assets arising from employee benefits and financial assets not related to equity investments in group companies, jointly controlled companies and associates included in the category of assets non-current assets held for sale, which are covered by specific standards.

Any related liabilities that may be canceled when the asset is sold are classified under "Liabilities associated with non-current assets held for sale".

3.6 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses, at least at the end of each financial year or period, whether there is an indication that a non-current asset or, where applicable, a cash-generating unit, may be impaired. If any such indication exists, the Club estimates the asset's recoverable amount and recognizes an impairment.

Impairment and any reversals thereof are recognized in the income statement. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist. Impairment is only reversed up to the limit of the carrying amount of the asset that would have been determined had the impairment loss not been recognized.

To determine whether there are indications of impairment, the Group carries out the following analysis:

a) Sports intangible assets / Sports property, plant and equipment

For sports intangible assets, the Group considers that, due to the complexity of negotiations to determine market value upon acquisition of the sports intangible asset, the lack of an active and transparent market, the difficulties identifying comparable transactions and the significant changes in market value that can occur from one day to the next as a function of player performance and/or injuries, the differing economic circumstances of the selling and buying clubs, and the stance of players/agents, among others, in general it is not possible to determine the fair value of each of these assets objectively and reasonably until their sale. Nevertheless, the Club performs a detailed (individual and collective) analysis of the value of players' potential based on certain sports and financial parameters to identify whether there are any indications that a sports intangible asset may be impaired. If any clear indication or object evidence of impairment exists, the Club's management estimates the asset's recoverable amount based on the best information available at the date of authorization for issue of the consolidated financial statements and recognizes an impairment loss.

Sports property, plant, and equipment (e.g. sports stadiums and pavilions) present the same challenges to determine the market value, as there is no active and transparent market in which comparable transactions can be identified. To assess whether these assets may be impaired, the Club analyzes whether the future cash flows are sufficient to cover the carrying amounts of the assets to the extent necessary to cover the related depreciation charges and other operating expenses.

b) Other intangible assets, other property, plant and equipment and investment property

The recoverable amount is the higher of fair value less costs to sell and value in use. The asset is considered impaired when its carrying amount exceeds its recoverable amount. The value in use is the present value of the expected future cash flows, discounted using a market risk-free rate and adjusted for any risks specific to the asset. For those assets that do not generate cash inflows that are largely independent of those from other assets or groups of assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

In addition, the Group recognizes impairment on assets classified as non-current assets held for sale (Notes 2.4, 3.1 and 3.5).

3.7 LEASES

Arrangements are classified as finance leases when the economic conditions of the lease indicate that substantially all the risks and rewards incidental to ownership of the asset are transferred. All other lease arrangements are classified as operating leases.

- **Group as lessee**
  Operating lease payments are recognized as expenses in the income statement when accrued.

- **Group as lessor**
  Rental income from operating leases is recognized in the income statement when accrued.

3.8 FINANCIAL ASSETS

a) Classification, recognition and initial measurement

The Group classifies all its financial assets, at initial recognition, into one of the categories listed below, which determines how the asset will be measured initially and subsequently:

- Financial assets at fair value through profit or loss.
- Financial assets at amortized cost.
- Financial assets at fair value through equity.
- Financial assets at cost.

Given the Group's activity, it only has financial assets at amortized cost and financial assets at cost.

- **Financial assets at amortized cost**

The Group classifies a financial asset into this category, even if it is admitted to trading on an exchange, when the financial asset is held within a business model whose objective is to collect contractual cash flows.

In general, this category includes receivables from trade transactions and receivables from non-trade transactions.

Financial assets classified in this category are measured initially at fair value. In the absence of evidence to the contrary, this is presumed to be the transaction price, which is equivalent to the fair value of the consideration given plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade receivables falling due within one year for which there is no contractual interest rate and loans to personnel, dividends receivable and receivables on called-up equity instruments expected to be collected in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is not material.

Security deposits provided on operating leases are measured at the amount given, which does not differ significantly from fair value.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as finance income using the effective interest rate method.

Receivables falling due within one year, as explained previously, are measured both initially and subsequently at their nominal amount unless they are credit-impaired.

In general, when the contractual cash flows of a financial asset at amortized cost are modified as a result of financial difficulties of the issuer, the Group tests the asset for impairment.

These amounts are classified as current (less than a year) or non-current (more than a year) depending on the period of settlement.

- **Financial assets at cost**

The Group includes, in any event, the following assets in this category:

- Equity investments in group companies, jointly controlled entities and associates (in the separate financial statements).
- Other equity investments whose fair value cannot be determined by reference to a quoted price in an active market for an identical instrument or cannot be estimated reliably, and derivatives in which the underlyings are these investments.
- Contributions made under unincorporated joint venture or similar agreements.
- Any other financial asset classified initially in the portfolio of financial assets at fair value through profit or loss when it is not possible to obtain a reliable estimate of fair value.

The investments included in this category are initially measured at cost, which is equivalent to the fair value of the consideration delivered plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

The investment is also subsequently measured at cost, less any accumulated impairment.

Contributions made under unincorporated joint venture agreements are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the Company as non-managing venturer, less impairment losses, if any.

b) Derecognition

Financial assets are derecognized when the contractual rights to the cash flows from the financial asset expire or have been transferred, provided that substantially all the risks and rewards of ownership have been transferred.

If the Group has neither transferred nor retained substantially all the risks and rewards, it derecognizes the financial asset when it has not retained control over that asset. If the Group retains control over the asset, it continues to recognize the asset at the amount of the exposure to variability in the value of the transferred asset; that is, to the extent of its continuing involvement in the financial asset. The associated liability is also recognized.

The gain or loss on derecognition of the financial asset is determined as the difference between the consideration received net of attributable transaction costs, including any new asset obtained less any liability assumed, and the carrying amount of the financial asset, plus any accumulated amount recognized directly in equity. The gain or loss is recognized in profit or loss for the reporting period in which it arises.

c) Impairment of financial assets

The Group adjusts the carrying amount of financial assets with a charge to profit or loss when there is objective evidence that the asset is impaired.

- **Financial assets at amortized cost**

At least at the end of each reporting period, the Group assesses whether there is objective evidence that a financial asset, or group of financial assets with similar risk characteristics assessed on a collective basis, is impaired as a result of one or more events that occurred after initial recognition that result in a reduction or delay in the estimated future cash flows due to debtor insolvency.

Where such evidence exists, the impairment loss is calculated as the difference between the carrying amount of the asset and the present value of the future cash flows, including any cash flows from enforcement of collateral and personal guarantees, expected to be generated by the asset discounted at the effective interest rate calculated at initial recognition. For floating-rate financial assets, the effective interest rate at the reporting date, in accordance with the contractual terms, is used. The Group uses formula-based approaches or statistical methods to determine impairment losses in a group of financial assets.

Impairment losses and reversals thereof where the amount of the impairment loss decreases due to an event occurring after recognition are recognized as an expense or income, respectively, in profit or loss. The reversal is limited to the carrying amount of the asset that would have been recognized at the reversal date had no impairment loss been recognized.

- **Financial assets at cost**

In this case, the impairment loss is measured as the difference between the carrying amount and the recoverable amount. The recoverable amount is the higher of the fair value less costs to sell and the present value of future cash flows from the investment, estimated as either those from dividends expected to be received from the investee and the disposal or derecognition of the investment, or from the share in the cash flows expected to be generated by the investee in the ordinary course of business and from disposal or derecognition. When estimating impairment of these types of assets, the investee's equity is taken into consideration, corrected for any unrealized gains existing at the measurement date, net of the related tax effect, unless better evidence of the recoverable amount of the investment in equity instruments is available.

Impairment losses are recognized as an expense in profit or loss by directly reducing the carrying amount of the equity instrument. Where applicable, reversals of impairment are recognized as income in profit or loss. The loss can only be reversed up to the limit of the carrying amount of the investment that would have been disclosed at the reversal date had the impairment loss not been recognized.

d) Interest and dividends from financial assets

Interest and dividends accrued on financial assets after acquisition are recognized in profit or loss. Interest is accounted for using the effective interest rate method, while dividends are recognized when the right to receive payment is established.

If distributed dividends are clearly derived from profits generated prior to the acquisition date because amounts have been distributed which are higher than the profits generated by the investee since acquisition, the difference is accounted for as a reduction in the carrying amount of the investment and not recognized as income. Judgment about whether gains have been generated by the investee is made based exclusively on profits recognized in the separate financial statements from the acquisition date, unless the dividend charged to those profits clearly represents a recovery of the investment for the entity receiving the dividend.

3.9 FINANCIAL LIABILITIES

a) Classification, recognition and initial measurement

The Group classifies all its financial liabilities, at initial recognition, into one of the categories listed below, which determines how the liability will be measured initially and subsequently:

- Financial liabilities at amortized cost
- Financial liabilities at fair value through profit or loss

The Group only has financial liabilities at amortized cost.

- **Financial liabilities at amortized cost**

This category includes financial liabilities arising on the purchase of goods and services in the course of the Group's trade operations, and non-trade payables that are not derivatives.

Financial liabilities included in this category are initially measured at fair value. In the absence of evidence to the contrary, this is the transaction price, which is equivalent to the fair value of the consideration, adjusted for directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade payables falling due within one year for which there is no contractual interest rate and called-up equity holdings expected to be settled in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is immaterial.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as a finance cost using the effective interest rate method.

Nonetheless, payables falling due within one year measured at the nominal amount, in accordance with the preceding section, continue to be measured at that amount.

Contributions received under unincorporated joint venture agreements or similar are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the non-managing venturers.

b) Derecognition

The Group recognizes a previously recognized financial liability when the obligation is extinguished because the debtor has paid the creditor to discharge the liability (with cash or other goods or services) or the debtor is legally released from any responsibility for the liability.

Derecognition of a financial liability is accounted for as follows: the difference between the carrying amount of a financial liability (or part of that liability) extinguished and the consideration paid, including attributable transaction costs and any non-cash asset transferred or liability assumed, is recognized in profit or loss for the reporting period in which it arises.

3.10 FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is determined without any deduction for transaction costs that may be incurred on sale or other disposal. The amount an entity would receive or pay in a forced transaction, involuntary liquidation or distress sale is not considered fair value.

Fair value is estimated for a specific date and given that market conditions can vary over time, that value might not be valid for another date. In addition, in estimating fair value the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

As a general rule, fair value is calculated by reference to a reliable market input. The fair value of financial assets and liabilities for which there is an active market is determined using valuation models and techniques. Those models and valuation techniques include referencing recent arm's length transactions between knowledgeable, willing parties, if available, and the fair value of substantially identical assets, discounted cash flow methodology and the models widely used to value options.

In all instances the valuation techniques used must be consistent with the methodologies widely accepted by and used in the market to set prices, using to the extent possible the methodology that has proven the most reliable estimator of prices. The calculations rely on observable market data and other factors market participants would take into account when pricing the asset, minimizing the use of subjective judgments or unobservable or unverifiable data.

The Group assesses the effectiveness of the valuation techniques it uses regularly using observable prices in recent transactions in the same asset class as is being measured and prices based on data or indices that are observable in the market that are available and applicable.

3.11 INVENTORIES

Inventories are measured at purchase price. The purchase price comprises the amount invoiced by the seller, after deducting any discounts, rebates or other similar items, plus any additional costs incurred to bring the goods to a saleable condition.

As the Group's inventories do not require a period of more than one year to be in a saleable condition, purchase price or production cost does not include borrowing costs.

The Group uses the weighted average cost method to allocate value to inventories.

When the net realizable value of inventories is lower than cost, the Club recognizes an impairment loss with an expense in the income statement.

3.12 CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash, current accounts, short-term deposits and purchases of assets under resale agreements which meet the following criteria:

- They are convertible to cash
- They have a maturity of three months or less from the date of acquisition,
- There is no significant risk of changes in value, and
- They form part of the Group's usual cash management strategy.

For the purposes of the statement of cash flows, cash may also include occasional overdrafts when these form an integral part of the Group's cash management.

3.13 GOVERNMENT GRANTS

Monetary grants are measured at the fair value of the consideration awarded.

Grants are classified as non-refundable when the conditions attaching to them are met, at which time they are recognized directly in equity, net of the related tax effect.

Repayable grants are recognized as liabilities until they meet the criteria for classification as non-repayable. Until then, no income is recorded.

Grants awarded to finance specific expenses are recognized as income in the reporting period in which the financed expenses are incurred. Grants awarded to acquire property, plant and equipment or settle liabilities are recognized as income for the reporting period in proportion with the depreciation charges for those assets.

3.14 PROVISIONS

The Group recognizes provisions when it has a present obligation (legal, contractual, constructive or tacit) arising from past events that is known before the end of the financial year or reporting period, it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

In other situations where no present obligation exists yet or there is clear uncertainty with respect to the outcome of an event (e.g. claims, appeals), the Group and its legal or tax advisors assess the prospects of a future event that could result in a gain or loss for the Group. If the future occurrence of a particular event is highly probably, the resulting contingent asset or liability is estimated.

Provisions are measured at the present value of the best estimate of the amount required to settle the obligation or transfer it to a third party. Adjustments arising from the discounting of the provision are recognized as a finance expense when accrued. Provisions expiring within one year are not discounted where the financial effect is not material. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate of the obligation at the date of authorization for issue of the consolidated financial statements.

3.15 LIABILITIES ARISING FROM LONG-TERM EMPLOYEE BENEFITS

Neither the Group employees to which its collective labor agreement is applicable nor management are entitled to any supplementary pension benefits.

3.16 INCOME TAX

Income tax expense (tax income) for the year is calculated as the sum of current tax expense (current tax income) resulting from applying the corresponding tax rate to taxable profit (tax loss) for the year, less deductions and other tax relief, taking into account changes during the year in recognized deferred tax assets and liabilities. The tax expense (tax income) is recognized in the income statement, except when it relates to transactions recognized directly in equity, in which case the related tax is likewise recognized in equity.

Deferred taxes are recognized for temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts. The tax base of an asset or liability is the amount attributed to it for tax purposes.

The tax effect of temporary differences is included in “Deferred tax assets” or “Deferred tax liabilities” on the balance sheet, as applicable.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates prevailing at the reporting date, including any other adjustments for taxes from prior years. Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

The Group recognizes deferred tax liabilities for all temporary differences, except where disallowed under prevailing tax legislation.

The Group recognizes deferred tax assets for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred assets are recognized to the extent that it is probable that taxable profit will be available against which the deferred tax assets can be utilized, except where disallowed by prevailing tax legislation.

At the end of each reporting period, the Group reassesses recognized and previously unrecognized deferred tax assets. Based on this analysis, the Group then derecognizes previously recorded deferred tax assets when recovery is no longer probable, or recognizes a previously unrecorded deferred tax asset to the extent that it is probable that future taxable profit will enable its application.

Deferred tax assets and liabilities are measured using the tax rates expected to prevail upon their reversal, based on tax legislation approved, and in accordance with the manner in which the assets are reasonably expected to be recovered and liabilities settled.

Deferred tax assets and deferred tax liabilities are not discounted and are classified as non-current assets or non-current liabilities.

3.17 CURRENT VERSUS NON-CURRENT CLASSIFICATION

Assets and liabilities are presented in the balance sheet based on current/non-current classification. Accordingly, assets and liabilities are classified as current when they are associated with the Group's normal operating cycle and it is expected that they will be sold, consumed, realized or settled within that cycle; they are expected to mature, or to be sold or realized within one year; they are held for trading; or are cash and cash equivalents whose use is not restricted for a period of over one year.

3.18 REVENUE AND EXPENSES

a) Recognition and measurement

In accordance with the accruals principle, revenue and expenses are recognized when the goods or services represented by them take place, regardless of when actual payment or collection occurs. Amounts received in a period related to income of the subsequent period are recognized under liabilities in the balance sheet as current or non-current accruals, as appropriate. Amounts paid in a period related to expenses of the subsequent period are recognized under assets in the balance sheet as current or non-current accruals, as appropriate.

The Group recognizes revenue following a five-step process:

- Identify the contract(s) with the customer, understood as an agreement between two or more parties that creates enforceable rights and obligations.

- Identify the performance obligation or obligations in the contract, i.e. the promise to transfer goods or provide services to the customer.

- Determine the transaction price, or the amount of consideration to which it expects to be entitled from the contract in exchange for transferring promised goods or services to a customer.

- Allocate the transaction price to the performance obligations on a relative stand-alone selling price basis of each distinct good or service promised in the contract or, where applicable, based on an estimate of the stand-alone selling price when it is not directly observable.

- Recognize revenue when (or as) the Group satisfies a performance obligation by transferring a promised good or service. A good or service is considered to be transferred when the customer obtains control, so the amount of revenue recognized is the amount allocated to the performance obligation satisfied.

- **Recognition**

The Group recognizes revenue from a contract when it transfers to the customer control of the promised goods or services (i.e. the performance obligation or obligations).

For each performance obligation identified, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time.

Revenue from performance obligations satisfied over time is recognized in general on a straight-line basis over that period of time provided that the stage of completion or progress towards complete satisfaction of the contractual obligations cannot be measured.

For contractual obligations satisfied at a point in time, the contract revenue is recognized on satisfaction at that date.

Revenue is recognized when it is probable that the profit or economic benefits associated with the transaction will flow to the Group and the amount of revenue and costs incurred or to be incurred can be measured reliably.

The recognition criteria for the main revenue by type are explained in Note 15.2.

- **Measurement**

Revenue from the sale of goods and the rendering of services is measured at the monetary amount or, where applicable, the fair value of the consideration received or receivable. The consideration is the agreed price for the assets transferred to the customer less the amount of any trade discount, rebates or similar items granted by the Group.

b) Contract balances

- **Contract assets**

Unconditional right to consideration
When the Group has an unconditional right to consideration, irrespective of whether control of the assets has been transferred, it recognizes the right in the corresponding line items of trade receivables under current or non-current assets as appropriate in accordance with its maturity and bearing in mind the normal operating cycle. However, trade receivables that, while still within the normal operating cycle, fall due in over one year (long-term) are classified as "Trade and other receivables" under current assets.

Entitlement to consideration for the transfer of control
When the Group transfers control of a contract asset without having an unconditional right to receive revenue, the Group recognizes a right to consideration for the transfer of control. That right to consideration for the transfer of control is derecognized when the Group has an unconditional right to that consideration. Contract assets are assessed for impairment the end of each reporting period in the same manner as receivables.

Contract assets are likewise presented within "Trade and other receivables". They are classified as current or non-current depending on their maturity.

Costs incurred to obtain a contract
Costs incurred to obtain a contract are included under current or non-current accruals, as appropriate.

- **Contract liabilities**

Contractual obligations
If a customer pays consideration or has a right to an amount of consideration that is unconditional before the Group transfers a good or service to the customer, the Group recognizes a contract liability when the payment is made or is due.

These contract liabilities are presented within "Trade payables - Other payables - Advances from customers", or current or non-current accruals on their maturity.

3.19 FOREIGN CURRENCY TRANSACTIONS

The Group's functional and presentation currency is the euro.

Foreign currency transactions are translated into euros at the spot exchange rate prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currency are translated at the spot rate prevailing at the reporting date.

Exchange gains or losses arising on this process and on settlement of these assets and liabilities are recognized in the income statement for the financial year or reporting period in which they occur.

3.20 JOINT OPERATIONS

In FY 2017/18, the Club signed an unincorporated joint venture agreement related to management of its sponsorship revenue (Note 17.1.4), as regulated by articles 239 to 243 of the Spanish Commercial Code. The Club, acting as "managing venturer" recognizes any operating profit or loss related to management of its sponsorship income, calculated in accordance with the annual contribution of the "non-managing venturer."

3.21 ENVIRONMENTAL ASSETS AND LIABILITIES

Expenses relating to decontamination and restoration work in contaminated areas, as well as the elimination of waste and other expenses incurred to comply with environmental protection legislation, are recognized in the year in which they are incurred, unless they correspond to purchases of assets incorporated in equity to be used over an extended period. In this case, they are recognized in the corresponding line of "Property, plant and equipment" and depreciated using the same criteria as described in Note 3.3 above.

At June 30, 2023, the Group had not incurred any such environmental expenditure or recognized any property, plant or equipment of this kind in the balance sheet.

3.22 RELATED PARTY TRANSACTIONS

Related party transactions are measured using the same criteria described above.

The Group considers members of the Club's Board of Directors, key managers, and the Real Madrid Foundation as related parties.

4. SPORTS INTANGIBLE ASSETS AND NON-CURRENT ASSETS HELD FOR SALE

The breakdown and movement in sports intangible assets are as follows:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	857,262	200,643	(340,623)	36,513	(28,282)	725,513
Accumulated amortization	(564,232)	(138,744)	296,425	-	5,791	(400,760)
Impairment	-	(11,299)	-	-	11,299	-
Net carrying amount	**293,030**	**50,600**	**(44,198)**	**36,513**	**(11,192)**	**324,753**
Women's football						
Cost	314	116	(20)	-	-	410
Accumulated amortization	(213)	(102)	20	-	-	(295)
Impairment	-	-	-	-	-	-
Net carrying amount	**101**	**14**	**-**	**-**	**-**	**115**
Basketball						
Cost	5,264	60	(1,000)	-	-	4,324
Accumulated amortization	(5,129)	(79)	995	-	-	(4,213)
Impairment	-	-	-	-	-	-
Net carrying amount	**135**	**(19)**	**(5)**	**-**	**-**	**111**
TOTAL NET CARRYING AMOUNT	**293,266**	**50,595**	**(44,203)**	**36,513**	**(11,192)**	**324,979**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

2021/22

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	989,873	115,450	(68,057)	-	(180,004)	857,262
Accumulated amortization	(560,955)	(163,558)	63,516	-	96,765	(564,232)
Impairment	-	(60,874)	-	-	60,874	-
Net carrying amount	**428,918**	**(108,982)**	**(4,541)**	**-**	**(22,365)**	**293,030**
Women's football						
Cost	233	81	-	-	-	314
Accumulated amortization	(116)	(97)	-	-	-	(213)
Impairment	-	-	-	-	-	-
Net carrying amount	**117**	**(16)**	**-**	**-**	**-**	**101**
Basketball						
Cost	8,910	105	(3,751)	-	-	5,264
Accumulated amortization	(8,761)	(107)	3,739	-	-	(5,129)
Impairment	-	-	-	-	-	-
Net carrying amount	**149**	**(2)**	**(12)**	**-**	**-**	**135**
TOTAL NET CARRYING AMOUNT	**429,184**	**(109,000)**	**(4,553)**	**-**	**(22,365)**	**293,266**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

4.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Additions of sports intangible assets relate to investments in new players for the professional football and basketball teams and include the amount of transfers and other acquisition costs incurred in the related transactions.

The acquisition cost recorded in the period for intermediation or agency services, including the tax expense assumed for taxation on payments, amounted to €49,235 thousand (2022: €44,356 thousand).

Transfers relate to the reclassifications explained in Note 4.2 Non-current assets held for sale.

As explained in Note 3.6, the Group recognizes impairment when there are clear indications and evidence of impairment of its sports intangible assets up to the date of authorization of the financial statements. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist.

In this respect, the Group, where required and based on the best information available at the date of authorization for issue of the financial statements, recognized impairment losses with a write down to realizable value for a total of €11,299 thousand (2022: €60,874 thousand).

4.2 NON-CURRENT ASSETS HELD FOR SALE

As explained in Note 3.5, the Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met: the asset is available for immediate sale, an active program to locate a buyer has been initiated, and the sale is highly probable within a year. Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

At the end of the reporting period the Club reclassified certain sports intangible assets that met these requirements to non-current assets held for sale. The net amount reclassified was €11,192 thousand (2022: €22,365 thousand), which related to the assets' fair value less costs to sell.

For the rest of the assets reclassified to non-current assets held for sale in FY 2021/22, those that ultimately joined the team for the present season the Club reclassified them as sports intangible assets since they no longer met the requirements for consideration as non-current assets held for sale at their carrying amount before classification as non-current assets; i.e. €19,990 thousand. The Club also reversed €14,148 thousand of previously recognized impairment losses for these assets since the circumstances that gave rise to them no longer existed (2022: no reversals).

The Club also reclassified assets reclassified the previous season that were temporarily derecognized for being loaned to other clubs for the current season to sports intangible assets at their net carrying amount before their classification as non-current assets; i.e. €16,523 thousand, utilizing the provision for impairment of €5,509 thousand (2022: no reclassification).

Finally, for assets reclassified that were ultimately derecognized, the Club utilized the impairment provision recognized for the purpose in an amount of €41,217 thousand.

Summary of movements in the period:

€ THOUSAND	TRANSFERS TO NON-CURRENT ASSETS	UTILIZATION OF ALLOWANCE FOR IMPAIRMENT	REVERSAL OF IMPAIRMENT
Players added to the team	19,990	-	14,148
Players loaned out to other clubs	16,523	5,509	-
Players derecognized	-	41,217	-
Total	**36,513**	**46,726**	**14,148**

4.3 OTHER INFORMATION

Through June 30, 2023, the Group obtained revenue of approximately €99,837 thousand (2022: €66,937 thousand) on disposals from the transfer of rights over several players to other clubs. The net gain from all disposals after deducting the carrying amount was €55,634 thousand (2022: €62,383 thousand) (Note 17.5).

Fully amortized player acquisition rights at June 30, 2023 amounted to €114,301 thousand (2022: €116,371 thousand).

At June 30, 2023, firm investment commitments had been acquired amounting to approximately €145,000 thousand (2022: €123,000 thousand). There were no firm player transfer commitments at either date.

There were also no player purchase options at June 30, 2023.

The average duration of the contracts of players signed to the National Professional Football League (LNFP for its initials in Spanish) is five years.

The Group's policy is to arrange the insurance policies necessary to cover any risk to which members of its professional football and basketball squads may be exposed.

5. OTHER NON-SPORTS INTANGIBLE ASSETS

The breakdown and movement in this item are as follows:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	-	-	-	2,934
Patents, licenses, trademarks, and similar rights	1,190	118	-	-	1,308
Computer software	13,027	-	-	8,849	21,876
Other intangible assets	125,047	16,164	-	-	141,211
Advances	5,081	4,978	-	(8,849)	1,210
Total cost	**147,279**	**21,260**	**-**	**-**	**168,539**
Accumulated amortization:					
Concessions	(2,530)	(47)	-	-	(2,577)
Patents, licenses, trademarks, and similar rights	(704)	(107)	-	-	(811)
Computer software	(12,107)	(571)	-	-	(12,678)
Other intangible assets	(125,045)	(647)	-	-	(125,692)
Total accumulated amortization	**(140,386)**	**(1,372)**	**-**	**-**	**(141,758)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**6,848**	**19,888**	**-**	**-**	**26,736**

2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	-	-	-	2,934
Patents, licenses, trademarks, and similar rights	1,112	78	-	-	1,190
Computer software	12,873	-	-	154	13,027
Other intangible assets	125,047	-	-	-	125,047
Advances	764	4,471	-	(154)	5,081
Total cost	**142,730**	**4,549**	**-**	**-**	**147,279**
Accumulated amortization:					
Concessions	(2,483)	(47)	-	-	(2,530)
Patents, licenses, trademarks, and similar rights	(589)	(115)	-	-	(704)
Computer software	(11,391)	(716)	-	-	(12,107)
Other intangible assets	(125,045)	-	-	-	(125,045)
Total accumulated amortization	**(139,508)**	**(878)**	**-**	**-**	**(140,386)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**3,177**	**3,671**	**-**	**-**	**6,848**

Note 3.2 “Other non-sports intangible assets” describes the most significant operating rights held by the Group at June 30, 2023.

The increase during the year in the balance of “Other intangible assets” was mostly the result of the Group’s recovery of the right to use seats for the season in the stadium included in the collective bargaining agreement in favor of employees and the start-up of a platform that embeds several applications to provide services to both members and fans.

5.1 OTHER INFORMATION

The following table presents a summary of the cost of fully amortized non-sports intangible assets:

€ THOUSAND	6/30/2023	6/30/2022
Concessions	2,103	2,103
Patents, licenses, trademarks, and similar rights	221	158
Computer software	11,781	11,071
Other intangible assets	125,047	125,047
	139,152	**138,379**

6. PROPERTY, PLANT AND EQUIPMENT

Reconciliation of the carrying amount of property, plant and equipment at the beginning and end of the year:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	324,518	616	-	191	325,325
Other land and buildings	69,350	254	-	776	70,380
Technical installations and other items	120,380	1,264	-	682	122,326
Property, plant and equipment under construction and advances	538,361	354,989	-	(1,649)	891,701
Total cost	**1,052,609**	**357,123**	**-**	**-**	**1,409,732**
Accumulated depreciation:					
Sports stadiums and pavilions	(121,777)	(6,907)	-	-	(128,684)
Other buildings	(14,093)	(2,138)	-	-	(16,231)
Technical installations and other items	(93,675)	(5,218)	-	-	(98,893)
Total accumulated depreciation	**(229,545)**	**(14,263)**	**-**	**-**	**(243,808)**
Impairment					
Buildings and other property, plant, and equipment	**(667)**	**-**	**-**	**-**	**(667)**
NET CARRYING AMOUNT	**822,397**	**342,860**	**-**	**-**	**1,165,257**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	324,394	-	(180)	304	324,518
Other land and buildings	68,113	68	-	1,169	69,350
Technical installations and other items	117,237	1,760	(24)	1,407	120,380
Property, plant and equipment under construction and advances	281,064	260,177	-	(2,880)	538,361
Total cost	**790,808**	**262,005**	**(204)**	**-**	**1,052,609**
Accumulated depreciation:					
Sports stadiums and pavilions	(115,056)	(6,883)	162	-	(121,777)
Other buildings	(12,183)	(1,910)	-	-	(14,093)
Technical installations and other items	(87,437)	(6,260)	22	-	(93,675)
Total accumulated depreciation	**(214,676)**	**(15,053)**	**184**	**-**	**(229,545)**
Impairment					
Buildings and other property, plant, and equipment	**(727)**	**-**	**60**	**-**	**(667)**
NET CARRYING AMOUNT	**575,405**	**246,952**	**40**	**-**	**822,397**

6.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Aside from minor investments in the Sports City, additions in the year related entirely to work on the Santiago Bernabéu Stadium remodeling project.

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work is being carried out without affecting the matches scheduled or the stadium's normal activities, barring the interruption of certain activities caused by the COVID-19 pandemic since March 2019 that led to matches until June 30, 2021 to be held at the Alfredo Di Stefano Stadium in the Sport City without spectators. In the 2021/22 season, after spectators were allowed back in stadiums, the matches were once again held at the Santiago Bernabéu Stadium.

The new stadium will present an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field, protecting all seats.

The shopping center will be torn down and two new towers built on paseo de la Castellana to make the stadium safer and to make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform will remove architectural barriers and make room for nearly 1,000 new seats for people with various abilities.

Work will also be carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The current museum near the La Castellana will be much bigger, and a new interactive museum will be created and equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It will be a new

stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology will be pioneering and an essential feature of this major reform, with a spectacular video scoreboard that will be one of the most emblematic features of the new Santiago Bernabéu Stadium. It will be a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

In addition, a large underground greenhouse is under construction that was not included in the original project due to its complexity, which was technologically resolved subsequently. This greenhouse will allow for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized. Considering the technical characteristics of executing this project, it is expected to be completed by the end of 2023.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount for these €575 million of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed at extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via a new 27-year loan facility for up to €225 million, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

As a result, the loan taken out to finance the stadium's remodeling totals €800 million, with maturity in July 2049 and carrying an average fixed interest rate of 2.23%. As at June 30, 2022, the loan had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Club's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

After the additional works not included originally in the project, the Club continued to execute works in FY 2022/23. It expects the crucial part of the project to be completed by the end of 2023.

6.2 URBAN DEVELOPMENT UNITS

The Club acquired urban development units to existing plots in the Valdebebas area. These units were registered with the respective property registers (as an annotation in the original property inscription).

These development units have, for all intents and purposes, the same consideration as the land contributed, since the units are ultimately what generate the right to obtain a plot adjudication once the Reparcelling Project is prepared. In fact, both the purchase deeds and the registry inscriptions establish that these units will be applied to the resulting plot earmarked for private sports usage in the amount of 16,401.6 development units and approximately 1,200,000m2 of land under the Reparcelling Project.

Real Madrid Club de Fútbol presented these development rights to the "Parque de Valdebebas" Compensation Board, and on November 25, 2009, definite approval was received from the Madrid City Council through administrative channels for the Reparcelling Project, by virtue of which Real Madrid won the replacement plot. Real Madrid Club de Fútbol was duly registered as the owner of said plot in Madrid Property Registries 11 and 33.

Following the definitive approval of the Reparcelling Project, the Madrid taxation authorities issued payment notices to the former owners for capital gains tax arising from the increase in the value of the related urban land. These payment notices were appealed, since both the former owners and the Club disagree, given that the Club assumed the obligation to pay or put up surety for this tax in the purchase deeds. Prior to the appeals process, the Club provided the required guarantees for the amounts claimed, which total approximately €7 million. The majority of the rulings in the appeals process have been in favor of the Club. It will be able to release the bulk of the amount guaranteed once the rulings are final and the guarantee is released.

6.3 OPERATING LEASES

- **Group as lessee**

At June 30, 2023 and 2022, the Club had entered into operating leases on certain items of property, plant, and equipment, primarily buildings, technical installations and computer hardware. The lease terms range from one to five years, depending on the leased asset. In most cases, the leases are updated in accordance with the annual CPI. The Club is in no way encumbered by virtue of these leases.

Payments in the year ended June 30, 2023 on these leases amounted to €2,725 thousand (Note 17.4) (2022: €2,559 thousand).

Future minimal rentals payable under operating leases are as follows:

€ THOUSAND	6/30/2023	6/30/2022
Within one year	2,029	2,071
After one year but not more than five years	778	1,521
More than five years		-
	2,807	**3,592**

6.4 OTHER INFORMATION

At June 30, 2023, fully depreciated items of property, plant, and equipment, mainly technical installations, amounted to €72,766 thousand (2022: €68,253 thousand).

As explained in Note 3.3, borrowing costs in FY 2022/23 amounting to €17,917 thousand were capitalized (Note 17.6) (2022: €14,749), related to the interest accrued in the period on the tranches drawn down of the loan to fund the remodeling project (Note 6.1).

At June 30, 2023, the Club had purchase commitments with suppliers for costs related to the Santiago Bernabéu Stadium remodeling project (Note 6.1). Although there are still several months of work remaining, the investment made as at the reporting date represents the bulk of the total planned investment.

The Club's policy is to arrange the insurance policies necessary to cover the risks to which its property, plant and equipment are exposed.

In previous years, the Club received a grant related to assets amounting to €9,607 thousand to finance the acquisition of property, plant and equipment. The breakdown of these assets is as follows:

FY 2022/23

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,673)	4,934

FY 2021/22

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,481)	5,126

At June 30, 2023, this grant was recognized in equity for an amount of €3,700 thousand (Note 12) (2022: €3,844 thousand) and in deferred tax liabilities for €1,233 thousand (2022: €1,282 thousand) (Note 16.2).

7. INVESTMENT PROPERTIES

Reconciliation of the carrying amount of investment properties at the beginning and end of the year:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	-	-	-	15
Total cost	**14,062**	**-**	**-**	**-**	**14,062**
Accumulated depreciation					
Buildings	(123)	(8)	-	-	(131)
Installations	(46)	(1)	-	-	(47)
Total accumulated depreciation	**(169)**	**(9)**	**-**	**-**	**(178)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,153**	**(9)**	**-**	**-**	**11,144**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	-	-	-	15
Total cost	**14,062**	**-**	**-**	**-**	**14,062**
Accumulated depreciation					
Buildings	(115)	(8)	-	-	(123)
Installations	(45)	(1)	-	-	(46)
Total accumulated depreciation	**(160)**	**(9)**	**-**	**-**	**(169)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,162**	**(9)**	**-**	**-**	**11,153**

"Land" includes mainly the plots related to the agreement signed with the Madrid City Council, and correspond to the sale of plots 1, zones 1 and 3, 4 and 5 zone 2 of the API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the TER. 02. 189-A1 tertiary plot of the 4.01 UPN "Ciudad Aeroportuaria parque de Valdebebas" obtained through the segregation of the TER. 02 189-A plot.

"Buildings" includes mainly capital expenditure by the Club to equip a number of premises for hospitality and catering usage, operated by third parties which pay Real Madrid a royalty. The direct royalty revenue generated by this activity in the year ended June 30, 2023 amounted to €158 thousand (2022: €158 thousand).

Impairment was recognized on the real estate assets, based on market value for land and expectations regarding use for buildings.

Future minimal rentals receivable under operating leases are as follows:

€ THOUSAND	6/30/2023	6/30/2022
Within one year	578	298
After one year but not more than five years	2,310	2,310
More than five years	1,050	1,487
	3,938	**4,095**

8. FINANCIAL ASSETS

The breakdown of financial assets, excluding investments in group companies, jointly controlled entities and associates, is as follows:

FY 2022/23

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	103,879	103,879
Financial assets at cost	2,773	-	2,773
	2,773	**103,879**	**106,652**
Current financial assets			
Financial assets at amortized cost (*)	-	214,675	214,675
	-	**214,675**	**214,675**
TOTAL FINANCIAL ASSETS	**2,773**	**318,554**	**321,327**

(*) Does not include public administrations.

FY 2021/22

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	78,866	78,866
Financial assets at cost	2,773	-	2,773
	2,773	**78,866**	**81,639**
Current financial assets			
Financial assets at amortized cost (*)	-	152,397	152,397
	-	**152,397**	**152,397**
TOTAL FINANCIAL ASSETS	**2,773**	**231,263**	**234,036**

(*) Does not include public administrations.

8.1 NON-CURRENT FINANCIAL ASSETS

The breakdown and movement in this item are as follows:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,773	-	-	-	2,773
Non-current receivables from sports entities for player transfers	55,539	50,268	-	(34,817)	70,990
Non-current trade receivables	19,250	10,112	-	-	29,362
Other non-current receivables	3,596	2,600	(2,002)	(1,147)	3,047
Other financial assets	481	5	(6)	-	480
Total non-current financial assets	**81,639**	**62,985**	**(2,008)**	**(35,964)**	**106,652**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,345	428	-	-	2,773
Non-current receivables from sports entities for player transfers	55,889	22,760	-	(23,110)	55,539
Non-current trade receivables	-	19,250	-	-	19,250
Other non-current receivables	1,999	3,722	-	(2,125)	3,596
Other financial assets	342	139	-	-	481
Total non-current financial assets	**60,575**	**46,299**	**-**	**(25,235)**	**81,639**

- "Equity instruments" includes the Club's ownership interests in several unlisted entities that organize competitions in which the Club's professional teams participate and over which the Club exercises neither control nor significant influence. The Club has measured these investments at cost rather than at fair value, as it does not have sufficient information to determine their fair value reliably.

  The most significant amount relates to European Superleague Company, S.L., in which Real Madrid Club de fútbol has an interest together with other European clubs to promote new competitions.

- "Non-current receivables from sports entities for player transfers" includes the amounts receivable from a number of sports entities primarily relating to the sale of rights over professional players. These amount do not accrue explicit interest. The detail by maturity is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Year 2	37,691	24,902
Year 3	28,957	20,774
Year 4 and beyond	4,342	9,863
	70,990	**55,539**

The aforementioned amounts are recognized using the amortized cost method, which includes the financial effect of discounting. Accrued finance income in the year ended June 30, 2023 amounted to €1,474 thousand (2022: €466 thousand) (Note 17.6).

Additions during the year corresponded mainly to the sale of player transfer rights. Transfers to current liabilities include balances on loans which fall due within one year from the date of the accompanying balance sheet.

- "Non-current trade receivables" includes outstanding amounts receivable on trade transactions with long-term maturities arising from multi-year sponsorship agreements.
- "Other non-current receivables" includes primarily amounts receivable on basketball player disposals and other receivables from several entities.

8.2 TRADE AND OTHER RECEIVABLES

The breakdown of "Trade and other receivables" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Trade receivables		
Stadium revenues	8,504	784
Broadcasting rights	715	657
Marketing revenues	74,123	47,733
	83,342	49,174
Receivables from sports entities		
Player transfers	58,557	35,256
Other	17,094	15,047
	75,651	50,303
Other financial assets		
Other receivables	37,630	37,614
Personnel	18,052	15,306
	55,682	52,920
Total current financial assets	**214,675**	**152,397**
Current tax assets and other (Note 16)	12,076	-
Other receivables from public administrations (Note 16)	61,765	-
Madrid City Council for the EU Las Tablas proceedings (Note 13.4)	23,526	23,526
Total receivables from public administrations	**97,367**	**23,526**
TOTAL TRADE AND OTHER RECEIVABLES	**312,042**	**175,923**

- **Trade receivables**

The balance of "Trade receivables" is presented net of impairment. The movement in impairment losses is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Initial impairment	19,642	16,218
Charge for the year (Note 17.4)	4,356	3,503
Utilized (Note 17.4)	(769)	(7)
Unused amounts reversed (Note 17.4)	(4,453)	(79)
Transfer in the year	(364)	7
Final impairment	**18,412**	**19,642**

The breakdown of foreign currency balances included in this item at June 30, 2023 is as follows:

IMPORTES EN MILES	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	3,879	3,570
Pound sterling	43,352	50,510
Australian dollars	24	15
Total		**54,095**

The breakdown of foreign currency balances included in this item at June 30, 2022 is as follows:

IMPORTES EN MILES	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	5,031	4,843
Pound sterling	126	147
Australian dollars	24	16
Total		**5,006**

- **Current receivables from sports entities**

The balance of "Current receivables from sports entities" is presented net of impairment. The movement in impairment losses is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Initial impairment	181	178
Charge for the year (Note 17.4)	25	3
Utilized	-	-
Unused amounts reversed (Note 17.4)	(28)	(28)
Transfer in the year	28	28
Final impairment	**206**	**181**

"Other receivables from sports entities" as at June 30, 2023 includes a balance with the National Professional Football League of €2,710 thousand confirmed with the latter (2022: €7,657 thousand).

The breakdown of foreign currency balances included in this item at June 30, 2023 is as follows:

€ THOUSAND	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
Pound sterling	43,273	50,248
		50,248

There were no significant foreign currency balances as at June 30, 2023.

9. INVENTORIES

The value of inventories in the balance sheet as at June 30, 2023 was €9,271 thousand (2022: €7,746 thousand) and included a write-down of €292 thousand (2022: €292 thousand).

10. CASH AND CASH EQUIVALENTS

The breakdown of these items is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Demand current accounts	253,357	773,316
Cash and cash equivalents	**253,357**	**773,316**

The cash balance as at June 30, 2023, was composed of:

- €125 million of cash related to the stadium remodeling project. The undrawn balance of the loan to finance the Santiago Bernabéu Stadium remodeling project can only be used to make payments related to the project (see Note 6.1). Of this amount, €116 million relates to deposits with a maturity of less than one month.

- €128 million related to the Group's cash excluding the remodeling project.

11. EQUITY – CAPITAL AND RESERVES

The breakdown and movement in "Capital and reserves" are shown in the statement of changes in equity.

- **Reserves**

"Reserves" consists mainly of the initial endowment and subsequent contributions arising from the distribution of profits. In addition, the impact of the transition to the new General Accounting Plan in Spain were recognized under this item which, as required therein, must be recorded in unrestricted reserve accounts.

- **Revaluation reserve RD 7/96**

The revaluation reserve allocated by the Club in FY 1996/1997 may be used to offset tax losses or to increase the "Reserves" account or unrestricted reserves, once the revalued assets have been fully depreciated or derecognized from inventories.

- **Revaluation reserve law 16/2012**

In FY 2013/2014 the Club availed itself of the balance sheet revaluation provided in Law 16/2012 of December 27 (Note 2.5). Amounts arising from the accounting revaluations were recognized under "Revaluation Reserve Law 16/2012 of December 27". Since the period for verifying the revaluation by the Taxation Authorities has expired, the balance of this account may be used to offset losses and increase share capital, or after 10 years have transpired from the date of the balance sheet in which the revaluations were made, allocated to unrestricted reserves. This balance may only be distributed, indirectly or directly, when the revalued assets have either been fully depreciated, disposed of or derecognized.

- **Capitalization reserve**

In accordance with article 25 of the CIT Law, the Group includes in the calculation of income tax a reduction in taxable profit for the year of 10% of the increase in equity of the prior year, up to 10% of taxable profit for the year.

During the current year, the Group allocated the "Capitalization reserve" in compliance with the requirements of the CIT Law to be eligible for this reduction. This reserve is restricted for a period of five years.

12. EQUITY - GRANTS, DONATIONS, AND BEQUESTS RECEIVED

Changes in non-refundable capital grants included the consolidated statement of changes in equity:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-refundable grants	3,844	-	-	(192)	48	3,700
Total non-refundable grants	**3,844**	**-**	**-**	**(192)**	**48**	**3,700**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-refundable grants	3,988	-	-	(192)	48	3,844
Total non-refundable grants	**3,988**	**-**	**-**	**(192)**	**48**	**3,844**

The grants received are mainly grants related to assets awarded by sports bodies, primarily the National Professional Football League, in conjunction with certain capital expenditure made by the Club during the 1996/97 season (Note 6.4).

The Club's Board believes it fulfilled all the conditions attaching to the grants for consideration as non-refundable.

13. PROVISIONS AND CONTINGENCIES

13.1 NON-CURRENT PROVISIONS

The breakdown and the movement in this item are as follows:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	UNUSED AMOUNTS UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Otras provisiones	66.014	8.466	(8.536)	(11.613)	(8.498)	45.833
Total provisiones a largo plazo	**66.014**	**8.466**	**(8.536)**	**(11.613)**	**(8.498)**	**45.833**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UNUSED AMOUNTS UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	31,243	48,947	(6,632)	(1,482)	(6,062)	66,014
Total non-current provisions	**31,243**	**48,947**	**(6,632)**	**(1,482)**	**(6,062)**	**66,014**

This year, based on available estimates, the Group recognized provisions for liabilities and charges of €8,466 thousand to cover certain risks (2022: €48,947 thousand).

It also utilized €8,536 thousand of provisions for the designated purpose in 2023 (2022: €6,632 thousand).

In addition, the Group reversed €11,613 thousand of unused provisions (2022: €1,482 thousand) since the circumstances that gave rise to them no longer exist.

13.2 CURRENT PROVISIONS

The breakdown and the movement in this item are as follows:

FY 2022/23

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	70,985	9,878	(36,339)	-	8,498	53,022
Total current provisions	**70,985**	**9,878**	**(36,339)**	**-**	**8,498**	**53,022**

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	970	71,478	(7,449)	(76)	6,062	70,985
Total current provisions	**970**	**71,478**	**(7,449)**	**(76)**	**6,062**	**70,985**

In the current year, the Group recognized provisions for liabilities and charges amounting to €9,878 thousand (2022: €71,478 thousand) to cover certain risks that could materialize in the short term primarily from costs related to players.

It also utilized €36,339 thousand of provisions in 2023 (2022: €7,449 thousand).

13.3 GUARANTEES AND DEPOSITS GIVEN

The Club has granted guarantees and deposits to third parties for different purposes.

The breakdown of these guarantees by maturity is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Indefinite	40,616	41,244
2022/23	-	238
2023/24	-	700
2024/25	700	-
Total guarantees and deposits given	**41,316**	**42,182**

The bulk of the amount drawn down on guarantees with indefinite maturity relate to guarantees issued to ensure fulfillment of the obligations related to urban work and waste treatment during the stadium remodeling project, to claims arising from settlement of tax on the increase in the value of urban land in Valdebebas (Note 6.2), and to guarantees provided to comply with the commitments of the grant of a license to broadcast an HD channel through TDT. No liabilities are expected to arise from these guarantees.

The amount recognized includes a guarantee provided to cover the tax risk arising on a contractual commitment to acquire a player.

13.4 COMMITMENTS, CONTINGENT ASSETS, AND LIABILITIES

For some of the following agreements, information is provided regarding different issues without any indication of financial amounts, as this is confidential commercial information and its disclosure could be damaging for the Club.

1. As at June 30, 2023, variable collection rights from different clubs and image/sponsorship contracts were recognized amounting to €21,050 thousand (2022: €23,750 thousand), while liabilities related to these variable rights amounting to €6,000 thousand were recognized (2022: €35,750 thousand).

There are also potential assets related to agreements with sports entities and sponsorship agreements that are contingent upon fulfillment of established sports objectives in future seasons. In the unlikely event that all the objectives were met, the maximum amount to be received over the term of all the agreements up until their expiration would be €74,150 thousand (2022: €94,650 thousand).

In addition, there are potential liabilities arising from agreements with sports entities that would be triggered if certain sports objectives are achieved in future seasons. In the unlikely event that all the objectives were to be met, the maximum amount to be recognized over the term of all the agreements up until their expiration would amount to €63,000 thousand (2022: €59,000 thousand). If payment were made, these amounts would be correlated to increased revenue from sports competitions, especially the Champions League.

2. On July 29, 2011, an agreement was signed and ratified by public deed on December 21, 2011 with the Madrid City Council legalizing the earlier agreements entered into between the two parties on May 29, 1998 and December 20, 2001.

This agreement included compensation from the Madrid City Council due to the legal impossibility of transferring the entire "Las Tablas" plot as stipulated in the agreement signed on May 29, 1998, as well as Real Madrid's compensation for breach of the main obligation of the underground parking lot on the Paseo de la Castellana's lateral section established in the Agreement dated December 20, 2001.

The Madrid City Council paid the compensation by transferring a plot of land located between Rafael Salgado, Paseo de la Castellana, and Concha Espina on API 05.12 "Santiago Bernabéu", recognized in property, plant and equipment (Note 6) and Plots 1, zone 1 and 3, 4 and 5 Zone 2 of API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the tertiary plot TER. 02 189-A1 of UNP 4.01 "Ciudad Aeroportuaria parque de Valdebebas" obtained by segregating plot TER.02 189-A. The "Mercedes Arteaga, Jacinto Verdaguer" plots and the Valdebebas tertiary plot are recognized under investment properties (Note 7).

All the property, plant, and equipment included in the scope of the agreement were appraised by the Technical Services Department of the Sub-Directorate General of Urban Adaptation under the General Directorate for Town Planning Management of the Government, Development and Housing Area.

At the end of each reporting period, the Club engages an independent expert to appraise its real estate assets (see Note 3.6), recognizing an impairment loss to reduce the carrying amount of the assets to market value where appropriate. The impairment loss in the year ended June 30, 2023, amounted to €2,740 thousand (Note 7), unchanged from the year before since the appraisal of the market value of the land was broadly unchanged.

On March 21, 2012, Madrid Federal Court of Appeals 14 upheld the request for an injunction filed regarding the agreement between the Club and the Madrid City Council on July 21, 2011, entailing suspension of enforcement of the agreement. Both the Club and the City Council appealed the injunction, and on July 12, 2012, the Administrative Appeals section of the Madrid Supreme Court handed down a sentence revoking the injunction issued by the Judge from the Madrid Court of Administrative Appeals 14, considering that there were no grounds for the injunction.

Regarding the main legal proceeding, on April 25, 2012, a claim was filed before the Court against the agreement signed on July 29, 2011, seeking its annulment and restitution of the assets to their situation prior to the signing of the agreement, along with the related cancellation of any files on register, and requiring a new appraisal of the obligations arising from the agreements signed in 1991 and 1998. The Administrative Appeals court handed down a ruling on October 10, 2013, notified on October 15, 2013, rejecting the appeal and upholding the sentence, which was ruled as final through an organization procedure dated November 20, 2013.

For its part, the European Commission notified Spain of its decision to initiate proceedings regarding alleged State aid arising from the appraisal of a plot of land located in Las Tablas (Madrid), which the Madrid City Council was forced to turn over to Real Madrid, in compliance with a land-swap agreement signed by the parties in 1998. Due to the legal impossibility of handing the plot over, it was appraised by the City Council at its value for tax purposes, and replaced by other land of equivalent value.

On July 4, 2016, the European Commission issued a decision concluding that the Club obtained an advantage of €18.4 million from the over-evaluation of a plot of land. The Club, considering that this did not constitute State aid since the Club received, via the delivery of other land, an amount equivalent to that which it was entitled to receive, appealed this decision before the General Court of the European Union, seeking the annulment of the decision.

Irrespective of the appeal, on October 28, 2016, the Club paid the City Council the required €18.4 million plus €1.9 million of late payment interest (for a total of €20.33 million).

On May 22, 2019, the General Court of the European Union issued its judgment, annulling the contested decision of the European Commission of July 4, 2016, which concluded that the Madrid Town Council granted State aid to Real Madrid of €18.4 million. The European Commission had two months from notification of the ruling (i.e. to July 23, 2019) to bring an appeal before the European Court of Justice. It did not file an appeal, so the ruling became final during FY 2019/20. As a result, Real Madrid claimed reimbursement of undue revenue with the Madrid City Council. It requested reimbursement of the €20,330 thousand paid on October 28,

2016, plus late payment interest from that date to the date of the reimbursement. Accordingly, in the 2020/21 season, the Club recognized in the income statement the income from the reimbursement and accrued late payment interest for a total of €23,145 thousand. It recognized the related receivable from the City Council under trade and other receivables in the balance sheet since the reimbursement has yet to be made.

During FY 2021/22, the Club learned that the Commission, using a real estate expert, appraised the plots of land given to the Club by the City Council as compensation for the appraisal of the land of Las Tablas according to the 2011 agreement. The result of this new appraisal was similar to the one used in the agreement. After the Commission reopened the procedure for State aid, this appraisal was performed as provided for in the 2019 ruling of the EU General Court, which rendered the Commission's state aid decision null on the grounds that it had failed to appraise those plots when it made its decision. Following this assessment, the Commission will likely defend the legality of the decision annulled and issue a new decision on State aid for a similar amount to the one issued in 2016.

As a result of this situation, although the Club and its expert advisors disagree strongly with the appraisals of both the Las Tablas land and the plots and will therefore continue to file the appropriate appeals, the Club recognized a provision in FY 2021/22 amounting to €23,145 thousand (Note 8.2) to cover the potential risk of the receivable from the City Council not being paid, at least in the near future.

3. In December 2013, the European Commission notified Spain of its decision to commence proceedings regarding alleged State aid to different Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, included a lower tax rate.

On July 4, 2016, the European Commission issued a decision in which it considered that by being taxed at a lower rate, the clubs benefited by an estimated €0 to €5 million per club, the precise amount of which the Spanish authorities needed to determine on a case-by-case basis. The Club considers that the application of this legislation did not constitute state aid, since the tax benefits come in addition to other prejudices; an analysis of the years contemplated by the European Commission regarding the Club's tax returns showed that the Club would have suffered economic damage amounting to €7 million had it been taxed as a limited liability company (sociedad anónima). This favorable economic assessment for the Club was also included in the European Commission's decision of July 4, 2016.

In addition, the previous year the Club was subject to a tax audit regarding the EU case by the Spanish taxation authorities. This procedure was resolved without requiring any material adjustment to the economic loss estimated by the Club.

In light of this situation, in FY 2016/17, the Club commenced a procedure to claim reimbursement of the amount of economic loss caused by the discriminatory treatment of the legislation, plus late payment interest. It subsequently filed an appeal with the Supreme Court.On February 12, 2019, the Supreme Court issued its judgment, rejecting the appeal and considering unjustified the claim for reimbursement on the grounds that the liability suit was brought before there was any effective loss since the Commission's decision was not final as other clubs had contested it and since the procedure for recovering the State aid granted had just begun when the financial liability claim was lodged.

On February 26, 2019, the General Court of the European Union issued a judgment annulling the Commission's decision of July 4, 2016 classifying the tax regime of four Spanish professional football clubs as State aid. The Commission appealed this ruling before the Court of Justice, which on March 4, 2021 overturned the General Court's ruling.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State aid, rejecting the request for reimbursement presented by the Club. It considered that the reimbursement arises directly from the Commission decisions annulled by the General Court, so the request should be denied. In addition, the recovery of the aid is not warranted since it would imply the return of the €7 million higher amount taxed relative to the general regime claimed by the Club and recognition of tax assets for an equal amount, which would go against the purpose pursued in the proceedings of State aid.

The Club filed an appeal against this ruling, which is pending a vote on and ruling by the National Court of Administrative Appeals.

Also, after the Commission's decision was considered final through a ruling by the Court of Justice of the European Union of March 4, 2021, the Club, on March 4, 2022, refiled its claim for reimbursement against the State, requesting

compensation of €6,631 thousand (equivalent to the excess taxation borne by the Club from FY 1999/00 to FY 2014/15, compared to the tax it would have borne had it been taxed under the general regime) plus related interest.

4. On April 30, 2015, Royal Decree Law 5/2015 governing the joint operation of TV rights was approved. This Royal Decree became effective in the 2016/17 season, marking the first year that clubs no longer had individual rights.

Real Madrid filed an appeal against this agreement with the LFP in its Assembly held during FY 2015/16 regarding the distribution of the year's TV broadcast rights, as it considered that since the Royal Decree had not yet entered into force during the season, the distribution of the capital gains generated by the overall management of the individual contracts made by the LFP was not yet applicable. It considered that, in accordance with the LFP bylaws for the distribution of the remaining joint LFP income (e.g. sponsorships, advertising, football pool revenue), the distribution should be made by attributing 60% of income to the 20 first division clubs (an even 3% each), and 40% for the 22 second division clubs (an even 1.82% each). Failing this, Real Madrid proposed an even distribution between the 42 LFP clubs.

A decision on the appeal was handed down on June 29, 2023, by the National Court of Administrative Appeals partially upholding the appeal. However, regarding the specific part related to the distribution referred to above, the Court stated that it was not the court of competent jurisdiction for ruling on this matter.

5. In October of 2014, the Club signed an agreement with International Petroleum Investment Company (IPIC) as its new sponsor for the 2014/15, 2015/16 and 2016/17 seasons. In December 2014, the sponsorship agreement was partially assigned by IPIC to CEPSA. This assignment was still effective at June 30, 2017. The agreement with IPIC included the possibility of extending the sponsorship agreement for another two seasons, which occurred de facto in the 2017/18 season according to Club criteria. Therefore, last season the related invoices were issued, which are currently under dispute.

The agreement stated the possibility of IPIC having Stadium naming rights in upcoming seasons, in which case the amounts receivable and the term of the agreement would increase significantly.

The effectiveness of the naming right was contingent on acceptance by IPIC to comply with certain legal requirements regarding town planning. Although Real Madrid notified IPIC of compliance prior to June 30, 2017, this compliance was still being discussed between the parties. Therefore, in 2018, as provided for in the agreement, the Club applied for arbitration by the International Court of Arbitration of the International Chamber of Commerce.

The Club filed its suit in February 2019 and last year two International Court of Arbitration hearings were held (the first in January 2022 and the second in June), with a ruling issued in favor of the IPIC on May 3, 2023 (notified in May 12, 2023). This decision did not have any impact on the consolidated financial statements since it entailed a claim over future income.

14. FINANCIAL LIABILITIES

The breakdown of "Financial liabilities" is as follows:

FY 2022/23

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
Non-current financial liabilities			
Financial liabilities at amortized cost	76,573	843,722	920,295
	76,573	**843,722**	**920,295**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	38,509	245,827	284,336
Trade and other payables (*)	-	271,763	271,763
	38,509	**517,590**	**556,099**
TOTAL FINANCIAL LIABILITIES	**115,082**	**1,361,312**	**1,476,394**

(*) Does not include public administrations.

FY 2021/22

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
NON-CURRENT FINANCIAL LIABILITIES			
Financial liabilities at amortized cost	114,789	833,726	948,515
	114,789	**833,726**	**948,515**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	38,356	104,898	143,254
Trade and other payables (*)	-	295,913	295,913
	38,356	**400,811**	**439,167**
TOTAL FINANCIAL LIABILITIES	**153,145**	**1,234,537**	**1,387,682**

(*) Does not include public administrations.

14.1 NON-CURRENT LOANS AND BORROWINGS

The breakdown of "Non-current loans and borrowings" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Bank borrowings	**76,573**	**114,789**
Other financial liabilities		
Suppliers of fixed assets	32,960	21,834
Sports entities for player transfers	25,994	11,609
Other financial liabilities	784,768	800,283
	843,722	**833,726**
TOTAL NON-CURRENT LOANS AND BORROWINGS	**920,295**	**948,515**

- **Bank borrowings**

In April 2020, the Club took out four bank loans with four different banks for a total amount of €155,000 thousand. The loans are backed by Spain's official credit institute, Instituto de Crédito Oficial (ICO), as part of the facilities provided by the government to mitigate the impact of COVID-19. These loans originally matured at 5 years, with a 1-year grace period for payment of principal. Subsequently, both the grace period and the maturity were extended by one year in accordance with RDL 34/2020 of November 17.

The nominal amount of outstanding principal as at June 30, 2023, on the four loans stood at €76,659 thousand, with long-term maturities net of expenses of €76,573 thousand (2022: €114,925 thousand and €114,789 thousand, respectively).

Turning to credit facilities, in May 2020, as part of the ICO-backed facility, the Club took out a credit facility for €50,000 thousand with a maturity of three years. This facility matured during the current year.

Therefore, considering in-force facilities, as at June 30, 2023, the Group had credit facilities totaling €265,000 thousand, of which no amounts had been drawn up. Of these, €125,000 thousand have long-term maturities (2022: €354,000 thousand and €254,000 thousand, respectively).

Virtually all ICO transactions are at fixed rates, while the rest are floating-rate borrowings indexed to the Euribor rate plus a market spread.

The repayment schedule for the nominal amounts of long- and short-term loans is as follows:

JUNE 30, 2023

€ THOUSAND	2023/24	2024/25	2025/26	2026/27	SUBSEQUENT YEARS	TOTAL
Bank borrowings	38,351	39,046	37,613	-	-	115,010

JUNE 30, 2022

€ THOUSAND	2022/23	2023/24	2024/25	2025/26	2026/27	TOTAL
Bank borrowings	38,051	38,533	39,022	37,370	-	152,976

- **Other financial liabilities**

The breakdown of this item by year of maturity is as follows:

JUNE 30, 2023

€ THOUSAND	2024/25	2025/26	2026/27	2027/28	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	31,131	1,451	71	127	180	32,960
Sports entities for player transfers	25,994	-	-	-	-	25,994
Other financial liabilities	23,071	23,381	23,876	24,383	690,057	784,768
Total	**80,196**	**24,832**	**23,947**	**24,510**	**690,237**	**843,722**

JUNE 30, 2022

€ THOUSAND	2023/24	2024/25	2025/26	2026/27	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	20,076	816	565	71	306	21,834
Sports entities for player transfers	11,609	-	-	-	-	11,609
Other financial liabilities	15,690	22,896	23,381	23,876	714,440	800,283
Total	**47,375**	**23,712**	**23,946**	**23,947**	**714,746**	**833,726**

The balance of "Other financial liabilities" as at June 30, 2023, includes the full drawdown of the €800,000 thousand loan facility to fund the stadium remodeling project and the unmatured long-term interest (see Note 6.1). This facility includes mandatory debt service coverage ratios throughout its term. All of the covenants were met as at June 30, 2023.

The balances of suppliers of fixed assets and sports entities for player transfers include mainly amounts owed on player acquisitions. These payables do not bear explicit interest.

These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2023, amounted to €1,618 thousand (2022: €264 thousand).

There were no non-current loans and borrowings denominated in foreign currency as at June 30, 2023 and 2022.

14.2 CURRENT LOANS AND BORROWINGS

The breakdown of "Current loans and borrowings" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Bank borrowings	**38,509**	**38,356**
Other financial liabilities		
Suppliers of fixed assets	153,922	93,102
Sports entities for player transfers	59,550	11,796
Other financial liabilities	32,355	-
	245,827	**104,898**
TOTAL CURRENT LOANS AND BORROWINGS	**284,336**	**143,254**

- **Bank borrowings**

As explained in Note 14.1 above, the Group has four loans, of which €38,351 thousand of outstanding principal is payable in the short term, along with €38,509 thousand of interest and expenses.

Of the credit facilities described in Note 14.1, amounting to €265,000 thousand, €140,000 thousand corresponds to two facilities maturing in the short term. At June 30, 2023 and 2022, there were no current loans and borrowings since no amounts had been drawn down.

- **Other financial liabilities**

The breakdown of foreign currency balances is as follows:

JUNE 30, 2023

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	20	19
Pound sterling	232	270
Moroccan dirham	694	65
Total		**354**

JUNE 30, 2022

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	358	344
Pound sterling	182	213
Saudi riyals	-	-
Swiss francs	-	-
Total		**557**

14.3 TRADE AND OTHER PAYABLES

The breakdown of "Trade and other payables" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Trade payables	82,854	76,283
Marketing payables	4,074	-
Sports entities for services rendered	10,058	3,876
Sports personnel	163,246	206,095
Non-sports personnel	11,606	9,659
Total financial liabilities	**271,838**	**295,913**
Other payables to public administrations (Note 16)	24,052	17,135
Current tax liabilities	-	18,594
Total payables to public administrations	**24,052**	**35,729**
TOTAL TRADE AND OTHER PAYABLES	**295,890**	**331,642**

"Marketing payables" includes the amounts owed in respect of the unincorporated joint venture agreement which, according to its terms and conditions, includes provisional annual settlement with a single maturity in June and adjustment in July once definitive data are available.

The amount of "Sports personnel" relates primarily to remuneration payable to players and coaches of the first football team in accordance with their contracts, the terms of which stipulate that these payments are made generally in July and December. Also included are performance bonuses for sports achievements which, under the terms of the contracts, are paid the following season. Therefore, at June 30, 2023, the second amount maturing for FY 2022/23 was payable which, contractually, will be made in July of the 2023/24 season. Also, as stipulated, payments of bonuses for sports achievements accrued in FY 2021/22 were paid in FY 2022/23.

Meanwhile, the increase in the balance of "Other payables to public administrations" related primarily to indirect taxes in June, which are settled in July (see Note 16).

The breakdown of "Sports personnel" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
First football team players and coaching staff	156,581	203,118
Other football team players and coaching staff	53	20
Basketball players and coaching staff	6,612	2,957
Total payables to sports personnel	**163,246**	**206,095**

14.4 WORKING CAPITAL

Working capital is the difference between current assets and current liabilities on the balance sheet.

Working capital at June 30, 2023 was a negative €145 million.

In line with historical trends, working capital was negative again after several atypical years in which it was positive, caused in general by the effects of the Santiago Bernabéu stadium remodeling project and, specifically, at the end of last year, when it stood at €342 million, by receipt of the bulk of the revenue accrued from the Sixth Street agreement (Note 17.1.6).

The Group's working capital is inherently negative, in line with the intrinsic workings of the Group, the large operations-driven accounts payable (purchases and services, player signings, upfront collection of membership dues/season tickets), which are recurring; i.e. renewed annually.

Current recurring payables at June 30, 2023, amounted to €395 million (purchases and services: €122 million; signings/other personnel: €174 million; and accruals of €99 million), up from €412 million at June 30, 2022 (purchases and services: €115 million; signings/other personnel: €216 million; and accruals of €81 million). These recurring balances contribute the most negative effect on working capital at the end of each reporting period.

These balances will be rolled over, and therefore will reflect similar amounts at each year-end. Accruals are amounts collected before the end of the previous period or beginning of the current period, which generate an accrued liability that is canceled over the entire season and does not represent any payment.

The remaining current loans and borrowings as at June 30, 2023 related to amounts owed for investments, which will be paid comfortably with the cash flows generated by the Group each month from operating activities, plus available cash and undrawn facilities.

In sum, important here is that now the crisis caused by COVID-19 has been overcome, the Group expects to continue generating significant operating profit (i.e. operating income higher than operating expenses) as it did in previous years, plus there is the impact of increased revenue from the stadium reform once the project is completed. Therefore, the Group will generate a considerable cash surplus after meeting the payment obligations arising from its operations to meet its investment payment commitments.

Considering the above and taking into account the current cash balance, cash projections made using conservative assumptions for the coming seasons, and the undrawn available credit lines at June 30, 2023, of €265 million (Note 14.1), the Group should be able to meet its payment obligations comfortably. Therefore, there are no doubts surrounding potential liquidity risk or the Group's financial position due to working capital.

15. ACCRUALS IN ASSETS AND LIABILITIES

15.1 ACCRUALS IN ASSETS

Non-current and current accruals in assets:

€ THOUSAND	6/30/2023	6/30/2022
Non-current accruals	41,653	25,137
Current accruals	1,429	2,219

- **Non-current accruals**

These relate mainly to sports personnel contract bonuses accruing in the long term.

- **Current accruals**

These relate to a variety of prepaid expenses accrued during the next calendar year.

15.2 ACCRUALS IN LIABILITIES

Non-current and current accruals:

€ THOUSAND	6/30/2023	6/30/2022
Non-current accruals		
Non-current advances	24,137	47,024
	24,137	**47,024**
Current accruals		
Membership fees, ticket sales and stadium revenue	67,980	43,671
Marketing revenue	30,867	36,926
Broadcasting revenue	229	252
	99,076	**80,849**

- **Non-current advances**

This item relates primarily to discounted amounts received in advance and pending accrual arising on various marketing agreements.

- **Deferred income**

a) Broadcasting revenue
This item includes amounts collected by the Group under agreements on audiovisual rights entered into before June 30, 2023, which accrue in the 2023/24 season.

b) Stadium revenue
Stadium revenue comprises mainly membership fees and season tickets and income from stadium boxes received or invoiced before June 30, 2023, which accrue in the 2023/24 season.

c) Marketing revenue
The balance of this item relates to the amounts received or invoiced by the Group under business agreements entered into before June 30, 2023, which accrue in the 2023/24 season.

16. TAXATION

The Group files tax under the special tax regime provided for in Chapter VII of Title VII of the CIT Law for tax periods beginning on or after July 1, 2022. The tax consolidation group is composed of Real Madrid Club de Fútbol (the parent) and Real Madrid Estadio S.L. (subsidiary) as stipulated in article 58.1 of that law.

Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

The breakdown of tax assets is as follows:

€ THOUSAND	6/30/2023	6/30/2022
VAT and similar taxes refundable	-	-
Recoverable taxes	61,765	-
Other receivables from public administrations (Note 8.2)	**61,765**	**-**
Withholdings and payments on account	12,076	-
Current tax assets (note 8.2)	**12,076**	**-**
Deferred tax assets for deductible temporary differences	19,353	40,481
Tax credits	34,706	6,733
Deferred tax assets (non-current assets)	**54,059**	**47,214**

The amount of tax receivable relates to the refund from the tax authorities due, first, to the request by the Group for reimbursement of undue revenue after adapting the accounting treatment to the criteria of the last audit with assessments signed in agreement over the tax treatment of payments made by the Club for services rendered and invoiced to the Club by agents in purchases and sales player transfer rights (Note 16.4.7), and second, the impacts of the decisions by Supreme Court and National Court in favor of the Club in the same connection with respect to the tax assessments, complementary tax returns and rectification requests explained in Notes 16.4.1 to 16.4.5.

The breakdown of tax liabilities is as follows:

€ THOUSAND	6/30/2023	6/30/2022
VAT payable	16,375	10,500
Personal income tax payable	3,686	3,483
Corporate income tax payable (non-resident income tax)	38	33
Corporate income tax payable (IRCM)	-	-
Corporate income tax payable (IS)	-	-
Local income tax payable	2,739	2,212
Social security payable	1,214	907
Other payables to public administrations (Note 14.3)	**24,052**	**17,135**
Current tax liabilities (Note 14.3)	**-**	**18,594**
Liabilities arising from taxable temporary differences	37,053	34,493
Deferred tax liabilities	**37,053**	**34,493**

The Group is current with all its tax obligations and has no past-due amounts with the taxation authorities, or agreements with the taxation authorities for deferring any payments.

Accordingly, all amounts recognized under tax liabilities at the end of the reporting period are the result of applying ordinary tax regulations:

- VAT payable: balance payable for transactions in the month of June, with settlement on July 30.
- Personal income tax payable: balance payable for transactions in the month of June, with settlement on July 20.
- Local income tax payable: expense accrued from January to June for local taxes, mainly regarding property and business taxes, with settlement in November.
- Social Security payable: balance payable for Social Security obligations in the month of June, with settlement on July 30.
- Liabilities arising from taxable temporary differences: the balance of corporate income tax to be settled by deferred payments, in accordance with tax deferral regulations (e.g. reinvestment of profits, accelerated depreciation).

16.1 CALCULATION OF INCOME TAX EXPENSE

On March 29, 2022, the Board of the Club, as parent, agreed to begin filing consolidated taxes in accordance with Chapter VI of Title VII of Law 27/2014, of November 27, on Corporate Income Tax.

It notified this to the tax authorities on April 26, 2022, and received authorization on July 8, 2022, applicable for tax periods beginning on or after July 1, 2022.

In accordance with article 58.1 of that law, the tax consolidation group is composed of entities resident in Spanish territory that meet the legal requirements and permanent establishments of non-resident entities in Spain that likewise meet the requirements. Therefore, Real Madrid Group's tax consolidation group is composed of Real Madrid Club de Fútbol and Real Madrid Estadio S.L.

Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

In accordance with article 62.1.a of the CIT Law, the Group's taxable profit or tax loss is the aggregate of the individual taxable profits and tax losses of all Group companies. Therefore, if one entity generates taxable profit and another a tax loss, the two are offset for inclusion in the tax group's aggregate taxable profit or tax loss. The aggregated tax base is taxed at a 25% rate, although certain reductions to the tax base or deductions to the resulting tax payable may be applied.

The reconciliation of net income and expense with taxable profit (tax loss) in the provision for income tax recognized at the end of each period is as follows:

FY 2022/23

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	11,826	-
Income tax		
Continuing operations	(3,249)	-
Income and expense for the year before tax	**8,577**	**-**
Permanent differences	**(18,388)**	**-**
Temporary differences		
Originating in the current year	(35,533)	-
Originating in prior years	(51,303)	-
	(86,836)	
Reduction of taxable profit arising from the recapitalization reserve	**-**	**-**
Utilization of tax losses	**-**	**-**
TAXABLE PROFIT (TAX LOSS FOR THE PERIOD)	**(96,647)**	**-**

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	12,936	-
Income tax		
Continuing operations	7,263	-
Income and expense for the year before tax	**20,199**	**-**
Permanent differences	**19,662**	**-**
Temporary differences		
Originating in the current year	74,846	-
Originating in prior years	53,196	-
	128,042	
Reduction of taxable profit arising from the recapitalization reserve	**(3,958)**	**-**
Utilization of tax losses	**(38,248)**	**-**
TAXABLE PROFIT (TAX LOSS FOR THE PERIOD)	**125,697**	**-**

Reconciliation of income tax expense/(income) recognized and the result of multiplying total recognized income and expenses by the applicable tax rate, differentiating the amount reported in the income statement, is as follows:

FY 2022/23

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	8,577	-
Permanent differences	(18,388)	-
	(9,811)	-
Effective tax rate	25%	-
Theoretical tax charge	**(2,453)**	**-**
Tax credits	**(3,178)**	**-**
Adjustments to income tax for assessments	**356**	**-**
Adjustment of non-tax-deductible expenses from temporary to permanent	**2,027**	**-**
EFFECTIVE INCOME TAX EXPENSE	**(3,248)**	**-**

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	20,199	-
Permanent differences	19,662	-
	39,861	-
Effective tax rate	25%	-
Theoretical tax charge	**9,965**	**-**
Tax credits	**(3,216)**	**-**
Adjustments to income tax for assessments	**536**	**-**
Capitalization reserve	**(22)**	**-**
EFFECTIVE INCOME TAX EXPENSE	**7,263**	**-**

The breakdown of income tax expense/(income) is as follows:

FY 2022/23

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	-	-
Recognized tax losses	(24,161)	-
Unused tax credits and other tax relief	(3,179)	-
Changes in deferred tax assets for deductible temporary differences	21,128	-
Changes in deferred tax liabilities for deductible temporary differences	2,608	-
Grants, donations and bequests received		(48)
Double taxation deductions generated and utilized in the year	-	-
Adjustments income tax for assessments	356	-
Total income tax expense/(refund)	**(3,248)**	**(48)**

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	20,308	
Tax losses utilized	9,562	
Unused tax credits and other tax relief	7,229	
Utilization of capitalization reserve	968	
Changes in deferred tax assets for deductible temporary differences	(33,157)	
Changes in deferred tax liabilities for deductible temporary differences	1,921	
Grants, donations and bequests received	-	(48)
Double taxation deductions generated and utilized in the year	671	
Adjustment of prior year income tax	(239)	
Total income tax expense/(refund)	**7,263**	**(48)**

The calculation of income tax recoverable or payable is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Current tax	-	(20,308)
Withholdings	595	471
Payments on account	11,481	1,243
Current tax assets/(liabilities)	**12,076**	**(18,594)**

16.2 DEFERRED TAX ASSETS AND LIABILITIES

The movements in the items composing "Deferred tax assets" and "Deferred tax liabilities" are as follows:

FY 2022/23

€ THOUSAND	CHANGES REFLECTED IN			
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	39,181	(20,428)	-	18,753
Amortization and depreciation	1,300	(700)	-	600
Tax credits				
Tax credits and tax relief	518	3,179	-	3,697
Double taxation deductions	-	633	-	633
Tax credit for capitalization reserve (Note 16.3)	-	-	-	-
Carry forward of unused tax losses	6,215	24,161	-	30,376
	47,214	**6,845**	**-**	**54,059**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,483	(83)	-	2,400
Deferred capital gains due to deferred payment	29,579	2,722	-	32,301
Free depreciation	900	(31)	-	869
Grants (Note 6.4)	1,281	-	(48)	1,233
Other	250	-	-	250
	34,493	**2,608**	**(48)**	**37,053**

FY 2021/22

€ THOUSAND	CHANGES REFLECTED IN			
	INCLUSION OF RMCF BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	5,680	33,501	-	39,181
Amortization and depreciation	1,644	(344)	-	1,300
Tax credits				
Tax credits and tax relief	5,933	(5,415)	-	518
Double taxation deductions	1,814	(1,814)	-	-
Tax credit for capitalization reserve (Note 16.3)	968	(968)	-	-
Carry forward of unused tax losses	15,777	(9,562)	-	6,215
	31,816	**15,398**	**-**	**47,214**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,566	(83)	-	2,483
Deferred capital gains due to deferred payment	27,546	2,032	-	29,578
Free depreciation	929	(29)	-	900
Grants (Note 6.4)	1,330	-	(48)	1,282
Other	250	-	-	250
	32,621	**1,920**	**(48)**	**34,493**

- **Deferred tax assets - Unused tax credits**

The Group has double taxation deductions from withholdings on income from abroad. There are no time limits on the recovery of these withholdings through income tax, although they may not exceed 50% of the tax expense of each year.

Meanwhile, at the end of each reporting period, the Group recognizes tax credits and relief to the extent that it is probable that sufficient taxable profit will be available against which they can be utilized. There is no time limit on recognizing these credits, although there are certain limits depending on the type of credit:

- Credits for investment in R&D - Cannot exceed 25% of the tax expense adjusted for double taxation deductions.

- Credits for contributions to not-for-profit organizations - Subject to two limits. They may not exceed 10% of taxable profit and they may not exceed 25% of the tax expense adjusted for double taxation deductions.

The movement in unused tax credits and deductions is as follows:

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	DECREASES	CLOSING BALANCE
Double taxation deductions	**-**	**633**	**-**	**633**
Deductions for R&D expenditure	-	2,064	-	2,064
Tax credits for donations	518	1,115	-	1,633
Total unused tax credits and other tax relief	**518**	**3,179**	**-**	**3,697**

- **Deferred tax assets – Carry forward for unused tax losses**

The Group has €24,858 thousand of tax losses carried forward, mostly due to changes in deductible temporary differences. For the current year and for the same reason, the Group had a tax loss of €96,646 thousand (2022: €152,993 thousand of taxable profit) due to changes in deductible temporary differences and the recognition of the related tax credit for €24,161 thousand, as tax losses may be offset with taxable profits in subsequent reporting periods.

There is no time limit on the carry forward of unused tax losses, although there is an annual limit. For the Group, this limit is 25% of taxable profit before the reduction of the capitalization reserve, as it is an undertaking with over €60,000 thousand of annual revenue.

- **Deferred tax liabilities – deferral for reinvestment**

These liabilities result from the tax treatment applicable to capital gains on certain transfers of players' federative rights, as well as on merchandising, internet, image and distribution rights transferred and on a portion of the land at the Club's former sporting complex, whose recognition in taxable profit has been deferred.

The aforementioned tax treatment consisted of applying the tax credit for reinvestment of extraordinary gains provided for in article 21 of the CIT Law (Law 43/1995, of December 27) to the gains generated from FY 1996/97 to FY 2001/02 on the disposal of certain assets, thereby acquiring a commitment to reinvest the full sale proceeds at some point within the period elapsing between the year prior to the sale and the three years following it. These gains were reinvested in player federative rights, other intangible assets and items of property, plant, and equipment, as well as financial assets.

The total amount of deferred income in accordance with article 21 of the CIT Law, the recognition method and the amounts already reinvested and pending reinvestment are set out in the following table (€ thousand):

JUNE 30, 2023

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/97	Player federative rights	8,084	11,239	11,239	8,084	-	2006/07	Sevenths
1997/98	Player federative rights	3,865	5,421	5,421	3,865	-	2007/08	Sevenths
1998/99	Player federative rights	14,135	17,159	17,159	14,135	-	2008/09	Sevenths
1999/00	Player federative rights	20,358	25,142	25,142	20,358	-	2009/10	Sevenths
2000/01	Other rights	115,995	117,197	117,197	115,995	-	2010/11	Sevenths
2000/01	Player federative rights	24,523	25,243	25,243	24,523	-	2010/11	Sevenths
2001/02	Land	203,443	204,142	204,142	203,443	-	2011/12	Sevenths
2001/02	Land	15,714	15,768	15,768	6,112	9,602	2011/51	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,515**	**9,602**		
Deferred tax (25%)						**2,400**		

JUNE 30, 2022

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/97	Player federative rights	8,084	11,239	11,239	8,084	-	2006/07	Sevenths
1997/98	Player federative rights	3,865	5,421	5,421	3,865	-	2007/08	Sevenths
1998/99	Player federative rights	14,135	17,159	17,159	14,135	-	2008/09	Sevenths
1999/00	Player federative rights	20,358	25,142	25,142	20,358	-	2009/10	Sevenths
2000/01	Other rights	115,995	117,197	117,197	115,995	-	2010/11	Sevenths
2000/01	Player federative rights	24,523	25,243	25,243	24,523	-	2010/11	Sevenths
2001/02	Land	203,443	204,142	204,142	203,443	-	2011/12	Sevenths
2001/02	Land	15,714	15,768	15,768	5,781	9,933	2011/51	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,184**	**9,933**		
Deferred tax (25%)						**2,483**		

These gains have been included in taxable profit as a general rule in seven equal parts from year three, except where the proceeds were reinvested in fixed assets, in which case the income is included in taxable profit in the tax periods in which the related assets are depreciated.

- **Deferred tax liabilities – Deferral of capital gains due to deferred payment**

In FY 2009/10, and in accordance with article 19.4 of Legislative Royal Decree 4/2004 of the Consolidated Text of the Spanish Corporate Income Tax Law (TRLIS in Spanish), the Group decided to recognize, for tax purposes, the capital gains on asset transfers in transactions involving deferred payment based on the collections carried out

This gave rise to a deferred tax liability amounting to €14,478 thousand in the year ended June 30, 2023 (2022: €16,404 thousand) related to the deferred capital gains during the year, and the cancellation of €11,756 thousand from collection of deferred capital gains from the previous year (2022: €14,372 thousand).

- **Deferred tax liabilities - free depreciation**

Pursuant to Royal Decree Law 13/2010, of December 3, on measures designed to boost competitiveness, effective for financial years beginning on or after January 1, 2011, the Club availed for the first time in FY 2011/12 the free depreciation of its investments in the new property, plant and equipment and investment properties covered under this law, and is not

required to maintain employment, which was a condition in the previous regulation. Free depreciation generated a deferred tax amounting to €1,533 thousand in FY 2011/12.

In FY 2022/23, a total of €31 thousand was canceled (2022: €29 thousand) related to the accounting depreciation of the assets to which free depreciation was applied.

16.3 CAPITALIZATION RESERVE

In accordance with Article 25 of Corporate Income Tax (CIT) Law 27/2014, of November 27, taxpayers that pay tax at the rate provided in sections 1 to 6 of Article 29 of the CIT will be eligible for a reduction in taxable profit of 10% of the increase in capital and reserves provided the following conditions are met:

a) The increase in capital and reserves must be maintained for a period of five years from the end of the tax period to which the reduction relates, except in the event of tax losses.

b) The amount of the reduction must be appropriated to a reserve, which must appear on the face of the balance sheet as a separate heading and will be non-distributable for the aforementioned time period.

In no circumstance may the reduction in taxable profit exceed 10% of taxable profit for the tax period prior to the reduction and the integration referred to in section 12 of article 11 of the CIT and prior to the offset of tax losses.

To comply with its requirements, the Club set aside the related reserve within the term provided for in company law for the approval of the consolidated financial statements (see Note 2.4).

16.4 OTHER INFORMATION

1. Tax assessments 2010- 2014

In January 2016, tax assessments were signed under protest relating to personal income tax, non-resident income tax, value added tax and corporate income tax for 2010 to 2014. The Club was notified in May 2016 of the resolutions regarding final settlement, for €10.8 million. The assessments arose due to discrepancies regarding the tax treatment of payments made by the Club for services rendered and invoiced to the Club by agents. The Spanish tax authorities considered that these payments were made on behalf of players where a relationship was deemed to exist between the agent and player. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). However, in keeping with criteria of maximum prudence, the Club recognized the entire expense and paid the amount of the assessments in the year ended June 30, 2016.

In January 2017, the Club was notified of the commencement of penalty proceedings regarding the 2010-2014 assessments, even those the inspections did not uncover any indications that the Club had committed an offense. The proceedings concluded with a €6.4 million settlement agreement. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). Nevertheless, in keeping with criteria of maximum prudence the Club paid the entire amount of those assessments in 2016/17, although this did not affect accounting profit that year since it was recognized against provisions already set aside at the end of 2015/16.

The TEAC rejected all the claims, so the Club has filed the administrative appeals before the National Court of Administrative Appeals against the decisions handed down for personal income tax, non-resident income tax and the appeal against these before the Supreme Court for VAT.

During the current year, decisions in favor of the Club were made by the Supreme Court regarding VAT, annulling the debts and ordering reimbursement of the amounts paid plus late payment interest (at the end of the reporting period the first amounts were received, for a total of €0.6 million), and by the National Court regarding non-resident income tax and corporate income tax, while its vote on and ruling regarding personal income tax is pending.

2. Complementary tax self-assessments in 2016 of personal income tax withholding, non-resident income tax and VAT for 2015

As a result of the tax assessments, the Club decided, in keeping with the principle of prudence and to avoid penalties, to make additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2010 to 2014. Specifically, it filed additional self-assessments in July and October 2016 for personal income tax, VAT and non-resident income tax for 2015 for a total of €6.1 million. As explained, the Club disagrees with the criterion used by the Tax

Agency in the assessments, challenging in 2016 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid.

All the requests for rectification of self-assessments of personal income tax and non-resident income tax, and part the self-assessments of VAT, for a total of €5.7 million, were absorbed under the framework of the 2014-January 2016 inspection discussed below and rejected through the settlement agreements of the inspection. Of the remaining requests for rectification of VAT self-assessments, €0.4 million were appealed by the Club before the TEAC after rejection by the Tax Agency, but they were ruled against by that court in January 2020. The Club filed administrative appeals with the National Court in May 2020, which were dismissed in June 2021. The Club filed an appeal against the ruling with the Supreme Court before the legal deadline, with a decision made accepting its appeal during the current period, annulling the debts and ordering the reimbursement of the amounts paid plus late payment interest (receiving a total of €0.3 million by the end of the reporting period).

In keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years and adjusted during the current year.

3. Tax assessments 2014-January 2016

On July 22, 2016, the Club was notified of the commencement of a tax audit of corporate income tax for the tax period from July 1, 2014 to June 30, 2016 on the enforcement procedure for state aid in relation to the European Commission's decision of July 4, 2016 regarding alleged state aid granted to four Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, includes a lower tax rate (see Note 13.4.3).

The tax audit began on October 25, 2016, and subsequently expanded to include the following taxes:

ITEM	PERIOD
Income tax	7/2014 to 6/2015
Value added tax	7/2014 to 6/2015
Withholding/payments on account of personal income tax	2015 and January 2016
Withholdings on account of non-resident tax	2015 and January 2016

Therefore, the aforementioned tax audits of income tax for the 7/1/2014 to 6/30/2015 period regarding the enforcement of state aid were replaced by the new tax audits.

In January 2017, the Club signed assessments under protest for the taxes and periods indicated. As with the previous tax audits for the 2010-2014 period, this amount was due to discrepancies in the tax treatment of payments made by the Group for services rendered and invoiced to the Club by agents. After the end of FY 2016/2017, the final settlement agreements in relation to these assessments for personal income tax, VAT and non-resident income tax for €1.2 million were issued. They did not have any impact on accounting profit for FY 2016/17 as they were recognized with a charge to provisions already set aside at the end of FY 2015/16.

The Club filed appeals before the TEAC for the settlement agreements indicated (€1.2 million) and the rejection of the request for reimbursement of the complementary settlements for 2016 indicated above (€5.7 million), which were dismissed by that court. The Club filed an administrative appeal before the National Court of Administrative Appeals. The Club received rulings rejecting its appeal regarding the VAT assessments, so it filed an appeal for an overturn with the Supreme Court before the legal deadline. This year, a decision was issued in its favor, annulling the debts paid and ordering their reimbursement plus late payment interest As at the date of authorization for issue of these consolidated financial statements, the National Court of Administrative Appeals had yet to vote on and issue a ruling on the rest of these appeals.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State Aid and issued a resolution on the final settlement of 2014/15 income tax, resulting in a refund of €193 thousand to the Club. The assessments do not affect, in any significant way, the amount that the Club estimated as the damage incurred for the different tax treatment relating to the aforementioned European Commission case. The Club filed an appeal against the decision by the Tax Agency that is pending a vote on and ruling by the National Court of Administrative Appeals.

4. Complementary tax self-assessments filed in January 2017 for personal income tax withholding for 2016 and VAT for 2015/16

Again, in keeping with the same principle of prudence explained regarding the complementary tax self-assessments of 2016

and to avoid additional penalties, the Club made additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2011 to 2014 and 2015 to 2016. Specifically, it filed additional self-assessments in January 2017 for a total of €1 million. As explained, the Club disagrees with the criterion used by the Tax Agency in the assessments, challenging in 2017 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid. The Tax Agency rejected all the requests and the TEAC rejected the related appeals, prompting the Club to file additional administrative appeals with the National Court. As in previous periods, the Club received rulings rejecting its appeal regarding the VAT self-assessments and filed appeals for overturn with the Supreme Court before the legal deadlines. During the current year, it received a decision in its favor, annulling the debts and ordering the reimbursement of the amounts paid. As at the date of authorization for issue of these consolidated financial statements, the National Court of Administrative Appeals had yet to vote on and issue a ruling on the rest of these appeals.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years and adjusted during the current year based on those decisions.

5. Complementary tax self-assessments filed subsequently for personal income tax withholding and VAT to December 2018

Using the same criteria as before, for tax self-assessments not filed before the tax inspections for 2010 to 2014 and 2015 to 2016 had concluded, the Club followed the administrative criterion set out in the settlement agreements. However, given the dispute with the administrative criterion, it requested rectification to the assessments and reimbursement of amounts paid. Specifically, for the tax self-assessments up to December 2018 for which the request for rectification was submitted in 2019, the Club had paid, and was therefore claiming reimbursement of, a total amount of €33.4 million.

Regarding the resolution of these claims, €18 million was included in the new tax inspection commenced in July 2019, as explained below. As at the date of authorization for issue of these consolidated financial statements, the National Court of Administrative Appeals had yet to vote on and issue a ruling on the remaining appeals, for €15.4 million.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, contested, were recognized as a cost for the Club in the related years and adjusted in the current year.

6. Tax assessments July 2015 - June 2018

On July 12, 2019, the Club was notified of the commencement of inspections for a number of taxes and tax periods. On September 6, 2019, it was notified of a change in the extension of certain tax periods. Accordingly, the taxes and taxes periods under inspection are:

ITEM	PERIOD
Income tax	7/2015 to 6/2018
Value added tax	7/2015 to 6/2018
Withholding/payments on account of investment income	7/2015 to 6/2018
Withholding/payments on account of personal income tax	2/2016 to 6/2018
Withholdings on account of non-resident tax	2/2016 to 6/2018

The inspection concluded in December 2021 with signing of the assessments relating to all taxes in agreement, for which the Club paid €2,200 thousand.

The only area of dispute and adjustment related to payments to agents. No adjustments were made to refunds or payments in any other of the Club's tax returns related to the rest of its activities since the inspection found them to be in compliance.

The Club, which always bases its actions on the principle of tax legality, while awaiting the outcome of the ongoing legal proceedings has signed these assessments in agreement to obtain equality and legal certainty, eliminating the litigation expected with taxation authorities regarding the tax treatment afforded to payments to agents.

7. Self-assessments and request for undue revenue submitted July 2022 regarding VAT, personal income tax and non-resident tax from July 2018 to December 2021

After signing these assessments as explained previously and in line with the same criteria used for the audit underlying those assessments, the Club, in keeping with prevailing legal procedure, adjusted the input VAT from July 2018 to December 2021 in the VAT self-assessment and requested rectification of the personal income tax and non-resident income tax self-assessments filed in relation to the same periods. The taxation authorities rejected the requests for rectification regarding personal income tax and

non-resident income tax, prompting the Club in April 2023 for file an appeal with the TEAC. As at the date of authorization for issue of these financial statements, a ruling had yet to be issued.

8. Other information

On June 13 and July 12, 2023, the Club was notified of the commencement of inspections of VAT for the monthly periods from July 2014 to June 2015 and from April 2011 to June 2014, respectively. The Supreme Court decided in favor of the Club regarding both the VAT and the period, annulling the tax debts and ordering their reimbursement (see Notes 16.4.3 and 16.4.1). However, the the taxation authorities, in accordance with the Supreme Court's "second shot" (segundo tiro) jurisprudence, has notified a new audit. The Club's advisors consider that there are sufficiently strong grounds to consider that the new audit will not give rise to any liabilities and that, in any case, the Tax Agency would still be obliged to reimburse the previous amounts.

Under prevailing tax regulations, tax returns may not be considered final until they have either been inspected by the tax authorities or until the four-year inspection period has expired. Nevertheless, in the light of the self-assessments filed in July 2022 to adapt the returns to the criteria of the assessments based on the last audit (Note 16.4.7), the general statutes of limitations were interrupted. As a result, as at June 30, 2023, the Group was open to inspection of income taxes (personal and non-resident) and VAT as of July 2018 and corporate income tax from FY 2018/2019.

Regarding these years, the Group considers that there are no material contingencies that could arise from future tax inspections.

17. REVENUE AND EXPENSES

17.1 OPERATING INCOME

The accompanying income statement includes the following items:

€ THOUSAND	6/30/2023	6/30/2022
Revenue	804,498	712,875
Other operating income	26,715	6,903
Grants (Note 12)	192	192
Provision surpluses (Note 13.1 and 13.2)	11,613	1,558
Total operating income before disposals	**843,018**	**721,528**
Gains/(losses) on disposal and other (Note 17.5)	**104,057**	**378,716**
TOTAL OPERATING INCOME	**947,075**	**1,100,244**

"Revenue" includes the amount of subsidies from National the Professional Football League and the Spanish Professional Football Association for maintenance of stadium access points and the share of football pool revenue, amounting to €253 thousand (2022: €432 thousand).

"Other operating income" includes €24,453 thousand relating to the reimbursement of amounts paid from tax assessments and requests for rectification of tax returns arising from the Supreme Court and National Court decisions (see Note 16.4).

- **Revenue**

The breakdown of the Group's revenue from continuing operations by business category and geographical market is as follows:

€ THOUSAND	6/30/2023	6/30/2022
By operating segment:		
La Liga revenue	44,975	34,149
King's Cup (Copa de S.M. El Rey) revenue	9,289	1
Spanish Super Cup revenue	7,443	8,009
Champions League revenue	119,940	140,868
European Super Cup revenue	4,546	-
FIFA Club World Cup revenue	4,714	-
Revenue from friendly matches	11,123	393
Basketball competitions revenue	8,315	5,402
Other revenue	6,847	10,589
Total box office and competition revenue	**217,192**	**199,411**
Total revenue from membership fees and season tickets	**51,493**	**37,398**
Total stadium revenue	**19,188**	**6,989**
Total broadcasting revenue	**186,813**	**178,940**
Revenue from store sales	52,542	25,886
Revenue from sponsorships and licenses	231,700	231,283
Advertising revenue	1,052	1,284
Other revenue	44,518	31,684
Total commercialization and advertising revenue	**329,812**	**290,137**
TOTAL REVENUE	**804,498**	**712,875**

€ THOUSAND	6/30/2023	6/30/2022
By geographical market:		
Spain	480,972	419,133
Other	323,526	293,742
	804,498	**712,875**

Meanwhile, the breakdown of the Group's revenue by the timing of recognition is as follows:

FY2022/23

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	72,200	79,643	151,843
International and friendly matches	121,417	14,613	136,030
Broadcasting revenue	-	186,813	186,813
Marketing revenue	66,450	263,362	329,812
	260,067	**544,431**	**804,498**

FY2021/22

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	43,751	60,551	104,302
International and friendly matches	132,436	7,057	139,493
Broadcasting revenue	-	178,940	178,940
Marketing revenue	31,558	258,582	290,140
	207,745	**505,130**	**712,875**

- **Contract balances**

The disclosure of balances of contracts with customers relative to the timing of revenue recognition is as follows:

JUNE 30, 2023

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**29,362**	**29,362**
Trade receivables (Note 8.2)	31,054	52,288	83,342
Other receivables from sports entities (Note 8.2)	6,800	10,294	17,094
Current contract assets	**37,854**	**62,582**	**100,436**
TOTAL CONTRACT ASSETS	**37,854**	**91,944**	**129,798**

JUNE 30, 2022

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**19,250**	**19,250**
Trade receivables (Note 8.2)	15,680	33,493	49,173
Other receivables from sports entities (Note 8.2)	4,903	10,144	15,047
Current contract assets	**20,583**	**43,637**	**64,220**
TOTAL CONTRACT ASSETS	**20,583**	**62,887**	**83,470**

The movement during the year in contract liabilities and the offsetting entries recognized in revenue:

FY 2022/23

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	47,024	-	-	(22,887)	24,137
	47,024	**-**	**-**	**(22,887)**	**24,137**
Current accruals					
Membership fees, ticket sales and stadium revenue	43,671	(80,677)	104,985	1	67,980
International and friendly matches	-	(35,999)	35,999	-	-
Broadcasting revenue	252	(162,393)	156,280	6,091	230
Marketing revenue	36,924	(150,987)	107,422	37,507	30,866
	80,847	**(430,056)**	**404,686**	**43,599**	**99,076**

FY 2021/22

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	70,059	-	-	(23,035)	47,024
	70,059	**-**	**-**	**(23,035)**	**47,024**
Current accruals					
Membership fees, ticket sales and stadium revenue	25,015	73,097	(56,598)	2,157	43,671
International and friendly matches	-	69,090	(69,090)	-	-
Broadcasting revenue	2,440	168,876	(171,064)	-	252
Marketing revenue	30,730	108,947	(153,823)	51,070	36,924
	58,185	**420,010**	**(450,575)**	**53,227**	**80,847**

- **Agreements in force**

1. Real Madrid and German multinational enterprise Adidas had maintained a strategic alliance for over 30 years through a successful sponsorship arrangement. During this time, through successive renewals, the agreement has gradually improved in terms of guaranteed minimums and percentage of royalties. The latest extension was signed in May 2019, effective in full as of July 1, 2020 and ending on June 30, 2028. It represented a marked increase in the Club's sponsorship revenue.

2. On June 27, 2020, with economic effect from July 1, 2020, the Club entered into an agreement with Legends Hospitality España, S.L.U. for management of the exploitation rights for sports material and licensed products in physical stores and on-line sales. This agreement is designed to drive business in the retail area and reinforce its management control mechanisms. The contract was novated during the current season to extend the terms until June 30, 2034.

In May, during the current reporting period and with economic effects as of July 1, 2023, two new contracts were entered into for operation of the Santiago Bernabéu stadium bars and management of merchandising product licenses, expiring on June 30, 2035, and June 30, 2034, respectively.

Legends manages the activities, acting in its own name and on behalf of the Club in accordance with the Club's instructions and guidelines. The Club recognizes the revenue, cost of sales and inventories arising from the activities, which do not have a significant impact on the net profit from the agreement.

3. In the 2012/13 season, a sponsorship agreement was signed with Emirates Spain Branch for the 2013/14, 2014/15, 2015/16, 2016/17 and 2017/18 seasons entailing higher income than the previous sponsor's contract. This agreement was renewed during the 2016/17 season and extended to the end of the 2021/22 season, with an increase in guaranteed income. This agreement was renewed during the 2021/22 season and extended to the end of the 2025/26 season.

Therefore, the Club locks in revenue from the two main sponsors of its jerseys for the coming years.

4. An agreement became effective in 2017/18 (see Note 3.20) subject to the growth and development of sponsorship revenue for an initial period of four years, with possibility of extension by one or two year in accordance with the level of achievement of certain economic terms. The agreement covers all territories and sponsorship categories, except sports and commercial sponsorships of jerseys and stadiums and training fields naming rights.

This agreement was renegotiated in FY 2019/20, resulting in an increase in income and an extension of the potential years of validity to up to nine years.

5. In the 2016/17 season, once the individual contracts entered into by the clubs concluded, Royal Decree Law 5/2015, of April 30, governing joint exploitation of audiovisual rights of professional football competitions (first and second Spanish football divisions, the King's Cup and the Spanish Super Cup) became fully effective.

The legislation establishes a joint revenue-sharing scheme based on category (first or second division), performance and social acceptance, measured by membership fees and average box office revenue, and the share of the contribution to the generation of income from the marketing of TV broadcasts.

It also establishes a mandatory contribution system (expenditure in accordance with income obtained) to sustain other football categories and associations, and to promote sports in general.

6. During the previous season, an agreement was entered into with Delantero Inversiones y Operaciones S.L.U., a subsidiary of US investment firm Sixth Street, and Legends, company specialized in stadium management and premium experiences for sports organizations and organization of major events. The agreement includes the transfer of management of the operation of certain new businesses of the Santiago Bernabéu Stadium, based on forecasts for new cash flow generation, with the objective of elevating the Santiago Bernabéu Stadium as a unique venue and a worldwide benchmark for leisure and entertainment.

7. As part of the long-term partnership, Real Madrid receives approximately €360 million to be invested across any of the Group activities. Through this alliance, Sixth Street acquires the right to participate in the operation of certain new businesses of the Santiago Bernabéu Stadium for 20 years, while Legends contributes its experience and knowledge in the operation of large stadiums and leisure centers, allowing for the optimization of the management of the Santiago Bernabéu Stadium.

The transformation of the Santiago Bernabéu Stadium will be a turning point in the history of Real Madrid. This alliance with Sixth Street and Legends, world leaders in their respective disciplines, will be fundamental in providing unique experiences in a stadium where multiple events can be hosted throughout the year. This agreement strengthens the Group's goal of continuing to significantly increase the stadium's revenues from both sporting and other types of events.

17.2 RAW MATERIALS AND OTHER CONSUMABLES USED

The detail of consumption of raw materials and other consumables during the year is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Sports materials used		
Purchases	8,113	5,313
Change in inventories	(1,869)	1,209
Other consumables used		
Purchases	37,411	24,486
Change in inventories	345	(3,230)
Total cost of sales	**44,000**	**27,778**

The breakdown of purchases by geographical market is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Spain	45,335	29,713
Intra-EU	189	86
Total	**45,524**	**29,799**

17.3 PERSONNEL EXPENSES

The breakdown of "Personnel expenses" is as follows:

FY 2022/23

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	309,526	-	6,221	(2,341)	443	974	314,823
First football team staff who cannot be registered	3,618	-	3,650	316	198	-	7,782
Second football team players and coaching staff	6,809	-	-	110	454	-	7,373
Lower division football team players and coaching staff	8,181	-	18	-	1,489	1,852	11,540
Players and women's team coaching staff	3,395	-	18	-	806	524	4,743
Non-sports personnel	58,845	-	5	-	7,308	1,020	67,178
Total football	**390,374**	**-**	**9,912**	**(1,915)**	**10,698**	**4,370**	**413,439**
Basketball players and coaching staff	28,805	-	50	6,712	470	1,063	37,100
Non-sports basketball personnel	2,023	-	-	-	139	-	2,162
Total basketball	**30,828**	**-**	**50**	**6,712**	**609**	**1,063**	**39,262**
TOTAL PERSONNEL EXPENSES	**421,202**	**-**	**9,962**	**4,797**	**11,307**	**5,433**	**452,701**

The negative group bonuses was due to the provision of bonuses for the 2021/22 season that ultimately was not utilized.

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	309,526	-	6,221	(2,341)	443	974	314,823
Staff who cannot be registered in the LNFP	50,808	-	3,736	7,138	3,417	3,439	68,538
Total sports personnel expenses	**360,334**	**-**	**9,957**	**4,797**	**3,860**	**4,413**	**383,361**

FY 2021/22

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	338,574	1,860	19,160	35,113	486	861	396,054
First football team staff who cannot be registered	2,568	-	3,000	658	180	-	6,406
Second football team players and coaching staff	7,286	-	-	-	427	-	7,713
Lower division football team players and coaching staff	6,462	-	303	20	1,356	1,813	9,954
Players and women's team coaching staff	2,025	-	47	-	380	19	2,471
Non-sports personnel	48,435	-	298	-	5,479	842	55,054
Total football	**405,350**	**1,860**	**22,808**	**35,791**	**8,308**	**3,535**	**477,652**
Basketball players and coaching staff	31,737	573	2,900	2,700	416	825	39,151
Non-sports basketball personnel	1,946	-	-	150	131	-	2,227
Total basketball	**33,683**	**573**	**2,900**	**2,850**	**547**	**825**	**41,378**
TOTAL PERSONNEL EXPENSES	**438,645**	**2,433**	**26,096**	**38,641**	**8,855**	**4,360**	**519,030**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	338,574	1,860	19,160	35,113	486	861	396,054
Staff who cannot be registered in the LNFP	50,078	573	6,250	3,378	2,759	2,657	65,695
Total sports personnel expenses	**388,652**	**2,433**	**25,410**	**38,491**	**3,245**	**3,518**	**461,749**

The following table presents the total sports personnel expenses based on the budget preparation guidelines of the clubs, as well as the LNFP's public limited sports companies (Sociedades anónimas deportivas or "SADS").

FY 2022/23

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	314,823	135,076	38,835	-	488,734
Staff who cannot be registered in the LNFP	68,538	3,851	5,920	(726)	77,583
Total sports personnel expenses	**383,361**	**138,927**	**44,755**	**(726)**	**566,317**

FY 2021/22

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	396,054	155,434	55,366	(2,720)	604,134
Staff who cannot be registered in the LNFP	65,695	8,327	1,411	(2,562)	72,871
Total sports personnel expenses	**461,749**	**163,761**	**54,777**	**(5,282)**	**677,005**

17.4 OTHER OPERATING EXPENSES

• Losses on, impairment of and changes in trade provisions

The breakdown of "Losses on, impairment of and changes in trade provisions" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Impairment of "trade receivables" (Note 8.2)	4,356	3,503
Losses on "trade receivables"	779	7
Reversal of impairment of "trade receivables" (Note 8.2)	(4,453)	(79)
Utilization of allowance for impairment of "trade receivables" (Note 8.2)	(769)	(7)
Impairment of "Current receivables from sports entities" (Note 8.2)	25	3
Reversal of impairment on "Current receivables from sports entities" (Note 8.2)	(28)	(28)
Total losses, impairment and changes in trade provisions	**(90)**	**3,399**

• Other operating expenses

The breakdown of "Other operating expenses" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
External services	160,124	135,716
Taxes	4,744	4,583
Transport	19,646	9,164
Player transfer and acquisition expenses	1,036	907
Other operating expenses	76,749	135,854
Total other operating expenses	**262,299**	**286,224**

"Other operating expenses" includes the mandatory contributions regulated by Royal Decree 5/2015 (see Note 17.1.5) and provisions for certain expenses not attributable to other items.

The breakdown of "External services" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Leases of assets (Note 6.3)	2,725	2,559
Other leases, royalties and other services	56,498	44,557
Repairs and maintenance	29,652	25,336
Professional services	55,906	50,923
Insurance premiums	4,182	4,305
Advertising, publicity and public relations	6,729	3,726
Utilities	4,432	4,310
Total external services	**160,124**	**135,716**

"Other leases, royalties and other services" includes, inter alia, operating fees, TV production expenses, catering, hostess and event expenses, and costs of editing and mailing publications.

Certain operating expenses were higher than the year before as the Group's business was fully operational this year while activity during the early part of the previous season activity was still restricted because of the pandemic.

Fees paid for audit and other review and assurance engagements provided to the Group by the audit firm are as follows:

€ THOUSAND	6/30/2023	6/30/2022
Audit	188	188
Review and assurance work	53	47
Total services	**241**	**235**

Meanwhile, in FY 2022/23 fees related to other services provided by companies in the audit firm's international network amounted to approximately €286 thousand (2022: €450 thousand).

17.5 IMPAIRMENT AND GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS

The breakdown of "Impairment and gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)" is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Change in impairment and other gains/(losses) on sports intangible assets (Notes 4.1 and 4.2)	2,849	(60,874)
Disposals of sports intangible assets	(33,456)	-
Change in impairment and other gains/(losses) on property, plant and equipment (Note 6)	-	60
Total change in impairment and losses	**(30,607)**	**(60,814)**
Gains/(losses) on disposal of sports intangible assets	104,041	62,383
Gains/(losses) on disposal of non-sports intangible assets	14	-
Gains/(losses) on disposal of property, plant and equipment	2	(14)
Gains on transfer of rights	-	316,347
Gains on disposal and other	**104,057**	**378,716**
TOTAL IMPAIRMENT, GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS AND OTHER EXCEPTIONAL GAINS/(LOSSES)	**73,450**	**317,902**

"Gains/(losses) on disposals of sports intangible assets" also included, in addition to net gains from the transfer of players to other clubs of €89,090 thousand, an amount of €14,951 thousand for the tax expenses set aside in previous years in the wake of decisions by the Supreme Court and National Court in the Club's favor (see Note 16.4).

17.6 FINANCE INCOME AND EXPENSES

The breakdown of finance income and expenses is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Finance income from marketable securities and other financial instruments.		
Interest on term and other deposits	1,179	5
Exchange gains	384	107
Unrealized exchange gains	74	296
Other finance income	9,643	274
Finance income on remeasurement of financial assets (Note 8.1)	1,474	466
	12,754	**1,148**
Capitalization of borrowing costs (Note 6.4)	**17,917**	**14,749**
Finance expenses		
Bank service fees	626	-
Exchange losses	477	81
Unrealized exchange losses	85	19
Loan interest costs	21,332	18,630
Other finance costs	945	-
Finance expenses on remeasurement of financial liabilities (Note 14.1)	1,618	265
	25,083	**18,995**

"Loan interest costs" included the interest expenses on financing of the Santiago Bernabéu Stadium remodeling project (Note 6.1). In according with accounting standards, these costs are recognized in the balance sheet under "Capitalization of borrowing costs" (see Note 6.4).

"Other finance income" includes an amount of €9,556 thousand for late payment interest on reimbursements by the Tax Agency (received or receivable) derived from decisions by the Supreme Court and National Court in favor of the Club (see Note 16.4).

17.7 FOREIGN CURRENCY TRANSACTIONS

Transactions carried out in currencies other than the euro are as follows:

FY 2022/23

€ THOUSAND

PURCHASES OF NON-CURRENT ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	119	USD	21,355	USD	7,479
GBP	-	GBP	70,657	GBP	779
JPY	-	JPY	13	JPY	-
CHF	-	CHF	-	CHF	2
MXN (Mexican pesos)	-	MXN (Mexican pesos)	-	MXN (Mexican pesos)	3
QAR (Qatari riyals)	-	QAR (Qatari riyals)	-	QAR (Qatari riyals)	2
MAD (Moroccan dirham)	-	MAD (Moroccan dirham)	-	MAD (Moroccan dirham)	69
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	148
	119		**92,025**		**8,482**

FY 2021/22

€ THOUSAND

SHORT-TERM PURCHASES OF FIXED ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	584	USD	4,893	USD	651
GBP	-	GBP	369	GBP	664
JPY	-	JPY	-	JPY	2
CHF	-	CHF	-	CHF	2
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	17
	584		**5,262**		**1,336**

17.8 CONSOLIDATED PROFIT OR LOSS BY GROUP COMPANIES

The contribution by company to the Group's consolidated profit or loss was as follows:

€ THOUSAND	6/30/2023	6/30/2022
Real Madrid Club de Fútbol	11,560	533
Real Madrid Estadio, S.L.	266	12,403
Real Madrid Beijing Co, Ltd	-	-
Profit/(loss) for the year	**11,826**	**12,936**

18. RELATED PARTY TRANSACTIONS

Related parties with which the Group carried out transactions in the year ended June 30, 2023, and the nature of the relationship, are as follows:

	NATURE OF THE RELATIONSHIP
Board of Directors	Directors
Senior management	Directors
Real Madrid Foundation	Shared directors between the Foundation and the Club

18.1 BOARD OF DIRECTORS AND SENIOR MANAGEMENT

The members of the Board of Directors and those holding other management positions at the Group, both those serving at the date of authorization for issue of the annual consolidated financial statements and former members, did not undertake any transactions other than in connection with the ordinary course of the Group's business.

The Group s policy is to arrange third-party liability insurance of Group directors for damages caused by acts or omission in the discharge of their directorships. The amount paid in the year ended June 30, 2023, was €95 thousand (2022: €162 thousand).

1. Director compensation

The members of the Board of Directors did not accrue any compensation for serving as directors.

At June 30, 2023 and 2022, the Club had no obligations with former or current members of the Board of Directors in respect of pensions or life insurance, nor had it extended any guarantees on their behalf.

2. Identification of and total compensation paid to senior management

In the year ended June 30, 2023, there were 55 senior executives (2022: 49), of which 54 continued to hold their directorships at June 30, 2023 (2022: 45).

Total compensation paid to executives in the year ended June 30, 2023, was €33,608 thousand (2022: €24,381 thousand).

The members of the Board of Directors at June 30, 2023 were as follows:

Chairman:
Florentino Pérez Rodríguez

1st Vice-Chairman:
Fernando Fernández Tapias

2nd Vice-Chairman:
Eduardo Fernández de Blas

3rd Vice-Chairman:
Pedro López Jiménez

Secretary:
Enrique Sánchez González

Board members:
Santiago Aguado García
Jerónimo Farré Muncharaz
Enrique Pérez Rodríguez
Manuel Cerezo Velázquez
José Sánchez Bernal
Gumersindo Santamaría Gil
Raúl Ronda Ortiz
José Manuel Otero Lastres
Nicolás Martín-Sanz García
José Luis Del Valle Pérez
Catalina Miñarro Brugarolas
Manuel Torres Gómez

18.2 REAL MADRID FOUNDATION

The Real Madrid Foundation's governing body is its Board of Trustees. According to the Foundation's bylaws, the Foundation's trustees include, among others, the members of the Board of Directors of Real Madrid Club de Fútbol.

The members of the Board of Trustees do not earn any compensation for their seats on this board.

There are commitments with the Foundation regarding contributions to fund the sustainability of the Foundation and the pursuit of its activities. Contributions in the year ended June 30, 2023, amounted to €3,023 thousand (2022: €3,962 thousand)

19. NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity.

Financial instrument activity exposes the Club to credit, market, and liquidity risk.

19.1 CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e. the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

The maximum exposure to credit risk is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Non-current financial assets		
Non-current receivables from sports entities (Note 8.1)	70,990	55,539
Non-current trade receivables (Note 8.1)	29,362	19,250
Other receivables (Note 8.1)	3,047	3,596
Other financial assets (Note 8.1)	480	481
Trade and other receivables		
Trade receivables (Note 8.2)	83,342	49,174
Current receivables from sports entities (Note 8.2)	75,651	50,303
Other financial assets (Note 8.2)	55,682	52,920
Receivables from public administrations (Note 8.2)	97,367	23,526
Cash and cash equivalents (Note 10)	253,357	773,416
	669,278	**1,028,205**

For the purposes of credit risk management, the Group differentiates between financial assets arising from operating activities and those arising from investing activities.

- **Operating activities**

The Group has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls.

Initial measurement and authorization is based on a hierarchical credit limit authorization system. Subsequent control is automated through a system of regular warnings managed by the Group's IT system and supervised at the corresponding management levels.

The breakdown, by counterparty, of credit risk concentration of current and non-current "Receivables from sports entities", "Non-current trade receivables" and "Trade receivables" is as follows:

FY 2022/23

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	24	316,903
With a balance of between €1,000 thousand and €500 thousand	11	8,080
With a balance of between €500 thousand and €200 thousand	13	4,591
With a balance of between €200 thousand and €100 thousand	19	2,658
With a balance of less than €100 thousand	202	9,933
Impairment		(18,617)
		323,548

FY 2021/22

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	30	240,036
With a balance of between €1,000 thousand and €500 thousand	11	7,801
With a balance of between €500 thousand and €200 thousand	14	4,978
With a balance of between €200 thousand and €100 thousand	23	3,176
With a balance of less than €100 thousand	118	2,835
Impairment		(19,824)
		239,002

The breakdown of these balances by age is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Not due	**249,475**	**172,036**
Past due, but not impaired		
Less than 30 days	18,688	20,208
Between 30 and 60 days	7,753	4,061
Between 60 and 90 days	164	603
Between 90 and 120 days	192	406
Over 120 days	47,276	41,688
	74,073	**66,966**
Doubtful receivables	**18,617**	**19,824**
Impairment	**(18,617)**	**(19,824)**
	323,548	**239,002**

Balances past due but not impaired include the debt with the Madrid City Council for the Las Tablas proceedings (see Note 13.4.2).

The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In addition, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees.

- **Investing activities**

The Club's investment policies are established by its Finance and Administration Department to make investments under the following guidelines:

- They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity.

- Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited.

- Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, be concentrated in certain highly solvent institutions.

- Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required.

- The Club's power of attorney policy dictates the parameters for the use of joint and several signatures based on amount.

19.2 MARKET RISK

- **Interest rate risk**

Interest rate risk is the potential loss arising from fluctuations in the fair value or future cash flows from assets or liabilities and to changes in the discount rates used to determine the carrying amounts of assets, especially player values.

Regarding players and estimates of their value in use, the Group performs the analysis and considers the circumstances set out in Note 3.6 when assessing potential impairment losses.

Moreover, as explained in Note 14, at June 30, 2023, the Group had several loans with different financial institutions, mostly with long-term maturities. The nominal amount of outstanding principal at June 30, 2023, was €115,010 thousand (2022: €152,976 thousand). Virtually the entire amount is at a fixed rate of interest. The Group also has long- and short-term floating rate credit facilities, of which no amounts had been drawn down at either June 30, 2023, or June 30, 2022.

Regarding the loan to fund the stadium remodeling project, the final drawdown, for €800,000 thousand, was made the previous year. The interest rate on this loan is fixed (see Note 6.1).

Therefore, the spike in interest rates since the middle of the previous year has barely had any impact on the Group's income statement.

- **Inflation**

Inflation peaked in July 2022 (at 10.8% yoy), before falling sharply to 1.9% yoy in June 2023. In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Group's total expenses. Moreover, the part of the inflation-induced increase in expenses is offset by corresponding increases in certain revenue items.

19.3 LIQUIDITY RISK

Liquidity risk is the risk that the Group will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. The Group's objective is to maintain sufficient available funds. Group policies establish the minimum liquidity levels required at all times.

The undiscounted contractual maturity schedule of financial liabilities is as follows:

AS OF JUNE 30, 2023

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	5,035	33,474	76,573	-	115,082
Other financial liabilities	-	-	-	-	-
Suppliers of fixed assets	152,317	1,605	32,866	94	186,882
Payables to sports entities for player transfers	39,550	20,000	25,994	-	85,544
Other financial liabilities	32,355	-	119,611	665,157	817,123
Trade and other payables	276,554	19,336	-	-	295,890
	505,811	**74,415**	**255,044**	**665,251**	**1,500,521**

AS OF JUNE 30, 2022

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	23,644	14,712	114,789	-	153,145
Other financial liabilities	-	-	-	-	-
Suppliers of fixed assets	88,377	4,725	21,654	180	114,936
Payables to sports entities for player transfers	11,796	-	11,609	-	23,405
Other financial liabilities	-	-	110,226	690,057	800,283
Trade and other payables	271,642	60,000	-	-	331,642
	395,459	**79,437**	**258,278**	**690,237**	**1,423,411**

However, the key metric in determining liquidity risk is the net balance between receivables and payables.

The table below summarizes the maturity profile of the Club's financial assets:

AS OF JUNE 30, 2023

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Trade receivables (*)	83,342	-	29,362	-	112,704
Receivables from sports entities	55,062	20,589	70,990	-	146,641
Other financial assets (**)	8,003	47,679	3,527	-	59,209
Receivable from public administrations	-	35,602	61,765	-	97,367
	146,407	**103,870**	**165,644**	**-**	**415,921**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

AS OF JUNE 30, 2022

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	TOTAL
Trade receivables (*)	49,174	-	19,250	68,424
Receivables from sports entities	48,414	1,889	55,539	105,842
Other receivables (**)	18,306	34,614	4,077	56,997
Receivable from public administrations	-	23,526	-	23,526
	115,894	**60,032**	**78,866**	**254,789**

(*) Incluye "Deudores comerciales largo plazo" y "Clientes por ventas y prestaciones de servicios" (c/p)
(**) Incluye "Deudores varios largo plazo" y "Otros activos financieros" (l/p y c/p)

As explained in Note 14.4 Working capital, a significant portion of the balance of "Trade and other payables" is recurring, i.e. renewed annually due to the intrinsic nature of Group companies' business operations.

Payment commitments to suppliers of fixed assets and sports entities for player transfers are amply covered by cash inflows to be received in coming years through operating income for the year, as well as by available cash and the credit lines discussed in Note 14.

19.4 INFORMATION REGARDING DEFERRED PAYMENTS TO SUPPLIERS IN COMMERCIAL TRANSACTIONS

The table below provides information on the average payment period to suppliers in commercial transactions in accordance with the Resolution of January 29, 2016 of the Spanish Institute of Accounting and Accounts Auditing regarding disclosures in the notes to annual consolidated financial statements:

	6/30/2023	6/30/2022
Days		
Average supplier payment period	53	49
Ratio of transactions paid	58	43
Ratio of transactions outstanding	40	58
(€ thousand)		
Total payments made	263,320	121,081
Total payments outstanding	96,912	80,149
Monetary value of invoices paid within 60 days	192,923	-
Percentage of payments made with 60 days of total payments made	73%	-
Number of invoices		
Number of invoices paid within 60 days	4,992	-
Percentage of total invoices paid	43%	-

20. OTHER INFORMATION

20.1 STRUCTURE OF PERSONNEL

Club employees by category are as follows:

FY 2022/23

	NUMBER OF EMPLOYEES AT JUNE 30, 2023			AVERAGE NUMBER OF EMPLOYEES IN THE PERIOD	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	45	9	54	50	-
Middle managers	24	12	36	36	-
Players and coaching staff	429	83	512	473	2
General staff	220	183	403	352	7
Laborers	41	4	45	41	3
Permanent seasonal	19	3	22	22	-
	778	**294**	**1,072**	**974**	**12**

FY 2021/22

	NUMBER OF EMPLOYEES AT JUNE 30, 2022			AVERAGE NUMBER OF EMPLOYEES IN THE PERIOD	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	39	6	45	46	-
Middle managers	21	16	37	40	-
Players and coaching staff	400	34	434	428	1
General staff	161	140	301	316	5
Laborers	33	3	36	37	2
Permanent seasonal	22	3	25	27	1
	676	**202**	**878**	**894**	**9**

20.2 ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Group has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results. Consequently, the notes to the accompanying financial statements do not include specific environmental disclosures.

20.3 CONTROL RATIOS ON SPORTS ORGANIZATIONS

Sports Law 10/1990, of October 15, grants professional leagues exclusive jurisdiction over the guardianship, control, and economic supervision of its associates. The National Professional Football League has carried out the above functions through governing and management bodies, in general, and the Economic Control Committee, in particular, in accordance with Article 41.4 b) of this law, and the bylaws and Book X of the General Regulations of the Spanish Professional Soccer League (LFP).

In this regard, via its governing bodies, the LFP has set out a number of supervisory and economic-financial control standards applicable to Clubs and SADs participating in professional and national competitions organized by the LFP in conjunction with the RFEF.

The main ratios established for the LFP budgetary control, taking 2023/24 as T, are discussed below.

According to article 24 of the budget preparation guidelines of clubs and SADs, a club/SAD is considered to have complied with acceptable financial ratios when it also meets the following two ratios:

1. Indicators included in the LFP's Economic Control Regulations

- **Breakeven point indicator**

The breakeven point for profit or loss is the difference between relevant income and expenses, adjusted, where appropriate, by any qualifications quantified in the auditor's report. The total breakeven point for profit or loss is the sum of the breakeven points for profit or loss of each accounting period in the period monitored; i.e. T, T-1 and T-2, where T is the annual accounting period for which the audited financial statements were requested.

€ THOUSAND	6/30/2023	6/30/2022	6/30/2021
Relevant income (*)	937,760	1,182,979	933,065
Relevant expenses (*)	866,353	1,002,730	745,036
Breakeven point (+ surplus - deficit)	71,407	180,249	188,029
Total breakeven point	**439,685**		
Required breakeven point	>0		
	COMPLIES		

(*) Adjusted for COVID impact.

The calculation of relevant income and the reconciliation of relevant income with the accompanying financial statements is provided below:

€ THOUSAND	T	T-1	T-2
	6/30/2023	6/30/2022	6/30/2021
Relevant income			
Revenue	804,498	712,875	648,355
Other operating income	26,715	6,903	1,334
Grants recognized in the income statement	192	192	192
Provision surpluses	11,613	1,558	3,098
Gains on disposal of player registrations	104,041	66,208	118,797
Gain on disposal of property, plant and equipment/investment property	2	-	415
Gains on disposal of intangible assets	14	316,347	-
Finance income	30,671	15,897	9,729
Less: Income from youth member activities	(51)	(36)	-
Less: Women's football income	-	(1,439)	(394)
Less: Basketball income	(22,002)	(17,290)	(11,153)
Less: Proceeds from disposal of property, plant and equipment/investment property	(2)	-	(415)
Less: Gains on disposal of intangible assets	(14)	-	-
Less: Non-monetary financial income	(17,917)	(14,749)	(8,704)
Total relevant income	**937,760**	**1,086,466**	**761,254**
Plus: COVID impact	-	73,950	176,595
Less: COVID impact on basketball income	-	67	(4,784)
Plus/minus: Average COVID impact on profit or loss		22,496	
Total relevant income adjusted for COVID impact	**937,760**	**1,182,979**	**933,065**
Income per financial statements			
Total operating income (Note 17.1)	947,075	1,100,244	758,943
Total finance income (Note 17.6)	30,671	15,897	9,729
Total income per financial statements	**977,746**	**1,116,141**	**768,672**
Difference	**(39,986)**	**66,838**	**164,393**
Reconciling items:			
Income from youth member activities	(51)	(36)	-
Women's football income	-	(1,439)	(394)
Basketball income	(22,002)	(17,290)	(11,153)
Proceeds from disposal of property, plant and equipment/investment property	(16)	-	(415)
Net losses on disposals	-	3,839	13,248
Non-monetary financial income	(17,917)	(14,749)	(8,704)
COVID impact	-	73,950	176,595
COVID impact on basketball	-	67	(4,784)
Average COVID impact on profit or loss	-	22,496	-
Total reconciling items:	**(39,986)**	**66,838**	**164,393**

The calculation of relevant expenses and the reconciliation of relevant expenses with the accompanying financial statements is provided below:

€ THOUSAND	T 6/30/2023	T-1 6/30/2022	T-2 6/30/2021
Relevant expenses			
Cost of sales/materials	44,000	27,778	19,024
Employee benefits expense	452,701	519,030	402,957
Other operating expenses	262,209	289,623	173,797
Depreciation and amortization	154,569	179,702	174,466
Write-down and losses on disposal of player registrations	30,607	64,699	(3,228)
Impairment losses and derecognitions of other intangible assets, property, plant and equipment, and investment property	-	14	9
Finance and dividend costs	25,083	18,995	13,156
Less: Non-identifiable youth activity expenses	(8,219)	(7,269)	(6,483)
Less: Expenses from community development activities	(3,027)	(3,962)	(2,882)
Less: Depreciation/write-down of other intangible assets, property, plant and equipment, and investment property	(15,644)	(15,940)	(16,012)
Less: Cost directly attributable to the construction of property, plant, and equipment	(17,917)	(14,749)	(8,704)
Less: Women's football expenses	(8,138)	(4,754)	(3,384)
Less: Other basketball expenses	(49,871)	(47,933)	(29,538)
Total relevant expenses	**866,353**	**1,005,234**	**713,178**
Less: COVID impact	-	(3,154)	33,450
Plus: COVID impact on basketball income	-	-	(1,592)
Plus: COVID impact on Foundation income	-	650	-
Total relevant expenses adjusted for COVID impact	**866,353**	**1,002,730**	**745,036**
Expenses per the financial statements			
Cost of sales	44,000	27,778	19,024
Sports and non-sports personnel expenses	452,701	519,030	402,957
Other operating expenses	262,209	289,623	173,797
Depreciation and amortization	154,569	179,702	174,466
Impairment and losses	30,607	60,814	(16,467)
Finance expenses	25,083	18,995	13,156
Total expenses per financial statements	**969,169**	**1,095,942**	**766,933**
Difference	**(102,816)**	**(93,212)**	**(21,897)**
Reconciling items:			
Non-identifiable youth activity expenses	(8,219)	(7,269)	(6,483)
Expenses from community development activities	(3,027)	(3,962)	(2,882)
Depreciation/write-down of other intangible assets, property, plant and equipment, and investment property	(15,644)	(15,940)	(16,012)
Reversal of write-downs of property, plant and equipment	-	60	-
Women's football expenses	(8,138)	(4,754)	(3,384)
Basketball expenses	(49,871)	(47,933)	(29,538)
Net losses on disposals of player registrations	-	3,839	13,248
Costs attributable to the construction of property, plant, and equipment	(17,917)	(14,749)	(8,704)
COVID impact	-	(3,154)	33,450
Adjustment for COVID impact on basketball	-	-	(1,592)
Adjustment for COVID impact on Foundation	-	650	-
Total reconciling items:	**(102,816)**	**(93,212)**	**(21,897)**

First football team personnel expenses indicator

When the total annual amount of personnel expenses associated with Clubs' and SADS' first football team staff, players and coaches exceeds 70% of relevant income for the season, as defined in the LFP's Economic Control Regulations, this is considered to be an indication of a possible future economic-financial imbalance.

€ THOUSAND	6/30/2023	6/30/2022
First football team personnel expenses	326,513	404,967
Relevant income	937,760	1,086,466
First football team personnel expenses indicator	**35%**	**37%**
Required first football team personnel expenses indicator	<70%	<70%
	COMPLIES	**COMPLIES**

The calculation and reconciliation of relevant income is the same as the calculation of the breakeven point above:

The reconciliation of first football team personnel expenses and total personnel expenses is provided below:

€ THOUSAND	6/30/2023	6/30/2022
First football team players and coaching staff	314,823	396,054
First football team staff who cannot be registered	7,782	6,406
Non-sports personnel related to the first football team	3,908	2,507
Total first football team personnel expenses	**326,513**	**404,967**
Youth football team players and coaching staff	18,913	17,667
Women's football team players and coaching staff	4,743	2,471
Basketball players and coaching staff	39,262	41,378
Non-sports personnel not related to the first football team	63,270	52,547
Total personnel expenses	**452,701**	**519,030**

- **Net debt/relevant income ratio**

When net debt at June 30 of each sports season exceeds 100% of the entity's relevant income for that season, this is considered be indicative of a possible future economic-financial imbalance, as defined in Regulations.

According to regulation definitions, the amount of net debt corresponds to the sum of net debt for club transfers (i.e.

net of receivables and payables for player transfers), net debt from loans (i.e. bank overdrafts and borrowings, loans from owners and related parties, advanced payments to be accrued in a period of more than one year, and finance leases less cash, cash equivalents and non-current financial assets) plus payables to suppliers of fixed assets. Net debt does not include trade or other payables. Also excluded is the amount of investments in property, plant and equipment for the construction, refurbishment, renovation or substantial upgrade to sports facilities that meet certain conditions and adjustment as set out in regulations.

€ THOUSAND	6/30/2023	6/30/2022
Total net debt	(737,073)	(263,096)
Relevant income	937,760	1,086,466
Net debt/relevant income ratio	**(78.6%)**	**(24.2%)**
Required net debt/relevant income ratio	<100%	<100%
	COMPLIES	**COMPLIES**

The breakdown of net debt is as follows:

€ THOUSAND	6/30/2023	6/30/2022
Non-current bank borrowings (*)	76,573	114,789
Non-current payables to sports entities (*)	25,994	11,609
Other non-current payables (*)	127,491	822,117
Non-current advances received	24,137	47,024
Current bank borrowings	38,509	38,356
Current payables to sports entities	59,550	11,796
Other current payables	186,277	93,102
Total payables and borrowings	**538,531**	**1,138,793**
Cash and cash equivalents	253,357	773,316
Current receivables from transfers	58,557	35,256
Non-current receivables from transfers	70,990	55,539
Total reconciling asset items:	**382,904**	**864,111**
Cumulative investment in stadium remodeling	892,700	537,778
Adjustment factor	1	1
Adjustment for investments in stadium remodeling	**892,700**	**537,778**
TOTAL NET DEBT	**(737,073)**	**(263,096)**

(*) As at 6/30/23, payables falling due on or after June 30 of T+5 are not included.

- **Sustainable net debt ratio**

When relevant debt at June 30 of season T exceeds €30,000 thousand and is seven times greater than relevant profit T and T-1 (T being the season of the reporting period), this is considered to be indicative of a potential economic-financial imbalance.

Net debt is net debt less investment in property, plant and equipment or intangible assets to build, upgrade or renovate sports facilities.

Relevant profit is calculated as the difference between the relevant income and expenses calculated for breakeven excluding the impact of COVID.

€ THOUSAND	6/30/2023	6/30/2022	6/30/2021
Net debt	**(737,073)**	**(263,096)**	**46,421**
Relevant income	937,760	1,086,466	761,254
Relevant expenses	866,353	1,005,233	713,178
Relevant profit	71,407	81,233	48,076
Average relevant profit T/T-1	**76,320**	**64,655**	**53,321**
Net debt/relevant profit ratio	**(9.66)**	**(4.07)**	**0.87**
Required ratio	< 7	< 7	< 7
	COMPLIES	**COMPLIES**	**COMPLIES**

2. Ratios necessary to join the LFP as an affiliate

The LFP's bylaws state that the following ratios must be met by affiliates. The amounts required for the Club's registration for season T relate to:

- Balance sheet figures: data at December T-1
- Revenue: data at June T-2

• Ratio 1

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2023/2024	2022/2023
Non-current liabilities (*)	410,545	321,588
Current liabilities	546,134	335,845
Less: Deferred tax liabilities	(37,408)	(26,738)
Less: Cash and cash equivalents	(327,925)	(258,122)
Less: Receivables from sports entities (**)	(126,129)	(112,340)
Less: Investments in stadium remodeling	(892,700)	(421,018)
I. Total adjusted liabilities T-1	**(427,483)**	**(160,785)**
Revenue T-2	712,875	648,355
COVID adjustment T-2	73,950	176,595
II. Adjusted revenue T-2	**786,825**	**824,950**
Ratio 1 (I/II)	**(0.54)**	**(0.19)**
Required ratio 1	<3.15	<2.55
	COMPLIES	**COMPLIES**

(*) Payables falling due on or after June 30 of T+4 are not included.
(**) Receivables from sports entities due to transfers/assignments to non-current and current.

• Ratio 2

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2023/2024	2022/2023
Current liabilities	546,134	335,845
Less: Cash and cash equivalents	(327,925)	(258,122)
Less: Payables to sports entities (*)	(56,233)	(56,275)
Less: Investments in stadium remodeling (**)	(535,620)	(252,611)
I. Total adjusted current liabilities T-1	**(373,644)**	**(231,163)**
Revenue T-2	712,875	648,355
COVID adjustment T-2	73,950	176,595
II. Adjusted revenue T-2	**786,825**	**824,950**
Ratio 2 (I/II)	**(0.47)**	**(0.28)**
Total Ratio 2 required	<1.40	<0.8
	COMPLIES	**COMPLIES**

(*) Receivables from sports entities due to transfers/assignments to current.
(**) Investment x adjustment coefficient:
T 23/24: 892,700 x 0.6 = 535,620
T 22/23: 421,018 x 0.6 = 252,611

21. EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting period and the date of authorization for issue of these financial statements were as follows:

- Acquisitions of player transfer rights for approximately €23,630 thousand.
- The merger by acquisition on July 1 of RSC Internacional F.C. by Real Madrid Club de Fútbol, which was approved at the Extraordinary General Assembly held on October 2, 2022. Accordingly, RSC Internacional, a third division team, will be Real Madrid C for upcoming seasons.

22. INCOME STATEMENT BY ANALYTICAL SEGMENT

€ THOUSAND	MEN'S FOOTBALL	WOMEN'S FOOTBALL	BASKETBALL	TOTAL
Membership fees, ticket sales and stadium revenue	145,032	711	6,291	152,034
Revenue from international and friendly matches	134,748	923	1,759	137,430
Broadcasting revenue	182,773	-	4,040	186,813
Marketing revenue	351,042	5,787	9,912	366,741
Total operating income (before disposal of non-current assets)	**813,595**	**7,421**	**22,002**	**843,018**
Cost of sales	(42,803)	(413)	(784)	(44,000)
Sports and non-sports personnel expenses	(408,438)	(4,973)	(39,290)	(452,701)
Operating expenses	(249,938)	(2,649)	(9,712)	(262,299)
Provision for liabilities and charges	90	-	-	90
Gains/(losses) on disposal of non-current assets	104,057	-	-	104,057
Impairment/derecognition of non-current assets	(30,601)	-	(6)	(30,607)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**185,962**	**(614)**	**(27,790)**	**157,558**
Depreciation and amortization	**(153,927)**	**(103)**	**(539)**	**(154,569)**
Operating profit/(loss)	**32,035**	**(717)**	**(28,329)**	**2,989**
Finance income				12,754
Capitalization of borrowing costs				17,917
Finance expenses arising on implied cost of deferred payment on player acquisitions				(1,551)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses				(5,615)
Capitalized finance costs on the stadium loan				(17,917)
Net finance income/(expense)				**5,588**
Profit before tax				**8,577**
Income tax expense				3,249
Profit after tax				**11,826**

23. BUDGET OUT-TURN FOR THE 2022/23 SEASON

€ THOUSAND	BUDGET*	OUT-TURN	VARIANCE
Membership fees, ticket sales and stadium revenue	135,260	152,034	16,774
Revenue from international and friendly matches	112,230	137,430	25,200
Broadcasting revenue	182,820	186,813	3,993
Marketing revenue	339,338	366,741	27,403
Total operating income (before disposal of non-current assets)	**769,648**	**843,018**	**73,370**
Cost of sales	(28,465)	(44,000)	(15,535)
Sports and non-sports personnel expenses	(440,912)	(452,701)	(11,789)
Operating expenses	(246,350)	(262,299)	(15,949)
Provision for uncollectible receivables, and for liabilities and charges	-	90	90
Gains/(losses) on disposals of non-current assets	98,110	104,057	5,947
Impairment/derecognition of non-current assets	-	(30,607)	(30,607)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**152,031**	**157,558**	**5,527**
Depreciation and amortization	**(144,070)**	**(154,569)**	**(10,499)**
Operating profit/(loss)	**7,961**	**2,989**	**(4,972)**
Finance income	1,314	12,754	11,440
Capitalization of borrowing costs	18,128	17,917	(211)
Finance expenses arising on implied cost of deferred payment on player acquisitions	(970)	(1,551)	(581)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(3,336)	(5,615)	(2,279)
Capitalized finance costs on the stadium loan	(18,128)	(17,917)	211
Net finance income/(expense)	**(2,992)**	**5,588**	**8,580**
Profit before tax	**4,969**	**8,577**	**3,608**
Income tax expense	(3,242)	3,249	6,491
Profit after tax	**1,727**	**11,826**	**10,099**

Variance
Positive: higher revenue, lower expense.
Negative: lower revenue, higher expense.

The main differences vis-à-vis the budget are discussed below: Any mention of the Club with respect to financial performance should be understood to refer to the Group comprising Real Madrid Club de Fútbol and Subsidiaries.

On the sports front, in the 2022/23 season the first division football team won the UEFA Super Cup, the FIFA Club World Cup and Spain's King's Cup (Copa SMR) and reached the Champion League semifinals. Meanwhile, the first division basketball team was the EuroLeague and Spain's Super Cup champion. None of these sporting achievements was budgeted -the budget had Real Madrid reaching the quarterfinals of the Champions League- resulting in higher-than-budgeted revenue, especially stadium and international match revenue, as well as higher-than-budgeted personnel expenses and sports personnel bonuses, and operating expenses due to the larger number of matches played.

As for the Club's financial performance in FY 2022/23, the pace of business activity continued to pick back up as the effects of the pandemic wore off. However, the overall economic landscape was affected by the uncertainty and impact of the war in Ukraine, especially the sharp rise in inflation, which led to rapid and considerable rises in interest rates.

Against this backdrop, Club management remained focused on cost containment and actions to enhance performance and business development in all areas.

Operating income (before disposal of non-current assets) in FY 2022/23 amounted to €843 million.

Although there were still some COVID-19-related effects and spectator capacity restrictions in the stadium due to the ongoing remodeling work, the Club was able to surpass pre-pandemic revenue for the first time (€757 million 2018/19). Because of the construction, stadium revenue was still 13% below FY 2018/19 levels, but revenue from the other business lines was considerably higher.

Revenue was 10% above budget thanks to outperformance by all business lines, including sports classification and commercial performance, as well as other operating income that was not budgeted and arose from the rulings of certain legal proceedings in favor of the club.

Personnel expenses were 3% over budget, mostly because of sports achievements and the impact of disposals and provisions recognized at the end of the reporting period.

Cost of sales and operating expenses were 11% higher than budgeted, in line with the increase in revenue and business activity.

A gain from player transfers amounting to €104 million was reported, which was 6% higher than budgeted mostly because of the impact of the unbudgeted reduction in costs derived from the favorable decisions to the Club in certain lawsuits.

Meanwhile, costs amounting to €31 million that were not budgeted were assumed for player disposals and the allowance for impairment of non-current assets.

All of this resulted in EBITDA for the Club of €158 million, €6 million higher than budgeted.

Depreciation and amortization was 7% over budget due to changes in sports personnel.

The Club obtained net finance income of €6 million compared to the net finance expense budgeted of €3 million, i.e., €9 million better than budgeted. The main reason for the improvement was the non-budgeted interest accrued from the favorable outcomes for the Club of certain lawsuits.

The borrowing cost of the stadium remodeling project financing did not have any impact on the income statement since it was capitalized as an increase in the cost of the investment since the project is still underway.

Income tax expense is obtained by applying the nominal 25% tax rate to accounting profit adjusted for non-eligible revenue and non-deductible expenses in accordance with tax legislation less the amount of applicable tax credits. Applying this to figures for the end of the reporting period results in an income tax refund of €3 million compared to a budgeted income tax expense of €3 million; i.e., a €6 million improvement. The difference was mostly the result of the impact of unbudgeted non-eligible revenue caused by the resolution of certain lawsuits in favor of the club.

In all, the budget out-turn for FY 2022/23 included profit before tax of €12 million, €10 million higher than budgeted for the reasons explained previously.

Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/20 to 2021/22, which have continued for some of the big clubs who have already released their earnings for FY 2022/23, the Club was profit-making in all four years affected by COVID-19; i.e. 2018/19 to 2022/23, not to mention in the Club's case by the stadium remodeling work being carried out. All this was achieved by implementing measure to rein in costs and improve the business all around.

The Club has now been profit-making in the last 22 years, enabling it to build up equity of €558 million as at June 30, 2023.

AUTHORIZATION FOR ISSUE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND MANAGEMENT REPORT FOR THE YEAR ENDED JUNE 30, 2023

In a meeting held on July 17, 2023, the members of the Board of Directors of Real Madrid Club de Fútbol authorized for issue the consolidated financial statements and management report for the financial year ended June 30, 2023, which consist of the documents preceding this certification.

CHAIRMAN

Mr. Florentino Pérez Rodríguez

VICE-CHAIRMAN

Mr. Fernando Fernández Tapias (*)
Mr. Eduardo Fernández de Blas
Mr. Pedro López Jiménez

SECRETARY

Mr. Enrique Sánchez González

BOARD MEMBERS

Mr. Santiago Aguado García
Mr. Jerónimo Farré Muncharaz (*)
Mr. Enrique Pérez Rodríguez
Mr. Manuel Cerezo Velázquez (*)
Mr. José Sánchez Bernal
Mr. Gumersindo Santamaría Gil
Mr. Raúl Ronda Ortiz
Mr. José Manuel Otero Lastres (**)
Mr. Nicolás Martín-Sanz García
Mr. José Luis del Valle Pérez
Ms. Catalina Miñarro Brugarolas
Mr. Manuel Torres Gómez (*)



(*) p.p. Chairman Florentino Pérez Rodríguez's signature
(**) Enrique Sánchez González, as Secretary to the Board of Directors of Real Madrid Club de Fútbol, hereby certifies that the member of the Board of Directors expressed a vote in favor of authorizing for issue the consolidated financial statements and consolidated management report for the year ended June 30, 2023, having attended the meeting of the Board of Directors held on July 17, 2023, at which these documents were authorized for issue, remotely (video conference).

CONSOLIDATED AUDIT REPORT ON THE FINANCIAL STATEMENTS

Ernst & Young, S.L.
Calle de Raimundo Fernández Villaverde, 65
28003 Madrid

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INDEPENDENT AUDITOR'S REPORT

Translation of a report and financial statements originally issued in Spanish. In the event of discrepancy, the Spanish-language version prevails

To the General Assembly of Delegated Members of
REAL MADRID CLUB DE FÚTBOL

Opinion

We have audited the consolidated financial statements of REAL MADRID CLUB DE FÚTBOL (the "Entity") and Subsidiaries (the "Group"), which comprise the balance sheet at June 30, 2023, the income statement, the statement of changes in equity, the statement of cash flows and the notes thereto, all of which consolidated, for the year then ended.

In our opinion, the accompanying consolidated financial statements give a true and fair view, in all material respects, of the consolidated equity and consolidated financial position of the Group at June 30, 2023, and the results of its operations and cash flows for the year then ended, in accordance with the applicable financial reporting framework (identified in Note 2 of the consolidated notes) and, in particularly, the accounting principles and policies contained therein.

Basis for opinion

We carried out our audit in accordance with Spanish standards on auditing. Our responsibilities under those standards are further described in the *"Auditor's responsibilities for the audit of the consolidated financial statements"* section.

We are independent from the Group in conformity of ethical requirements, including independence, which are applicable to an audit of consolidated financial statements in Spain according to what is required by Spanish standards on auditing. In these regards, we have neither provided services different to audit of financial statements nor any situation or circumstance has concurred that, according to the aforementioned standards, had affected the necessary independence in a way it had been jeopardized.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Domicilio Social: C/ Raimundo Fernández Villaverde, 65. 28003 Madrid - Inscrita en el Registro Mercantil de Madrid, tomo 9.364 general, 8.130 de la sección 3ª del Libro de Sociedades, folio 68, hoja nº 87.690-1, inscripción 1ª. Madrid 9 de Marzo de 1.989. A member firm of Ernst & Young Global Limited.

Key audit matters

Key audit matters are those matters that, in our professional judgment, represent the most significant risk of material misstatement in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Classification and valuation of intangible fixed assets and non-current assets held for sale

Description

In its consolidated balance sheet as of June 30, 2023, the Group recognized sports intangible assets, net of amortization and impairment, of 325 million euros related to the acquisition of player transfer rights and the related costs, which are amortized in a straight-line basis. The relevant information regarding such intangible fixed assets is described in Notes 3.1 and 4 to the consolidated financial statements.

Additionally, the Group recognized sports intangible assets related to the acquisition of player transfer rights and the related costs, net of amortization and impairment, in the heading "Non-current assets held for sale", of 11 million euros, linked to football players of the first team, for which the Group has an active sales plan and such plan is highly likely to occur in the short term. The relevant information regarding these non-current assets held for sale is described in Notes 3.5 and 4 to the consolidated financial statements.

The review of the aforementioned headings is a key audit matter as it involves significant judgment on the part of the Group's management when analyzing, according to the circumstances of each asset, its proper classification as intangible fixed assets or as a non-current asset held for sale and any evidence of impairment at the end of the year, as described in Notes 2.3, 3.1, 3.5 and 3.6 to the consolidated financial statements.

Our response

As part of our audit work, we reviewed the procedures performed by the Group when capitalizing, amortizing, and identifying possible impairment, as well as assessing the reasonableness of the assumptions and sources used to reach conclusions. In addition, we reviewed the disclosures included in the notes to the accompanying the consolidated financial statements required by the financial information framework applicable to the Group.

Accrual of current and non-current liabilities

Description

On a recurring basis, the Group receives considerable amounts in the year in broadcasting revenue, membership fees and season tickets, marketing and sponsorship contracts, and friendly matches, considered prepaid income as they are accrued in subsequent reporting periods (the following year in most cases), as described in Notes 3.18 and 15 to the consolidated financial statements. The Group recognizes the amounts related to this prepaid income under "Non-current accruals" and "Current accruals," as appropriate, on the liability side of the consolidated balance sheet at June 30, 2023.

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The appropriate accounting recognition of these accruals was a key matter for our audit given the variety of items and terms in the underlying agreements, requiring a detailed and case-by-case analysis of each. As part of our audit engagement, we reviewed the procedures followed by the Group and analysed the main agreements in order to determine whether the approach was applied on a consistent basis and to determine the reasonableness of the calculations made.

Our response

As part of our audit work, we reviewed the procedures and analyzed the main contracts in order to determine the consistency of the methodology applied and the reasonableness of the calculations made. In addition, we reviewed the disclosures included in the notes to the accompanying consolidated financial statements required by the financial information framework applicable to the Group.

Other information: Consolidated management report

The other information involves exclusively the consolidated management report for the year ended June 30, 2023. The consolidated management report is the responsibility of the members of Parent Entity's Board of Directors and is not an integral part of the consolidated financial statements.

Our opinion on the consolidated financial statements does not cover the consolidated management report. In connection with the consolidated management report, our responsibility, as required by auditing standards, is to evaluate and report on whether the consolidated management report is consistent with the consolidated financial statements based on the knowledge obtained from the Group in the course of our audit of the consolidated financial statements, and not include other information obtained as evidence during the audit. It is also our responsibility to evaluate and report on whether the content and presentation of the consolidated management report comply with applicable regulations. If, based on the work we have performed, we conclude that there are material misstatements, we are required to report that fact.

Based on the work performed, in accordance with the preceding paragraph, the information contained in the consolidated management report is consistent with the consolidated financial statements for the year ended June 30, 2023, and its content and presentation comply with applicable regulations.

Responsibilities of members of Parent Entity's Board of Directors for the consolidated financial statements

Members of Parent Entity's Board of Directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the applicable financial reporting framework (see Note 2), and for such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, members of Parent Entity's Board of Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Spanish standards on auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the

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aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Spanish standards on auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by members of Parent Entity's Board of Directors.

- Conclude on the appropriateness of members of Parent Entity's Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the significant matters communicated to the members of Parent Entity's Board of Directors, we determine those of most significance in the audit of the financial statements of the current period and are therefore the key audit matters.

We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

ECONOMIC INFORMATION OF REAL MADRID C.F.

For the year ended June 30, 2023.

BALANCE SHEET AS AT JUNE 30, 2023

ASSETS

€ THOUSAND	NOTES	6/30/23	6/30/22
NON-CURRENT ASSETS		**1,730,483**	**1,287,657**
Sports intangible assets	4	**324,979**	**293,266**
Other non-sports intangible assets	5	**26,736**	**6,848**
Property, plant and equipment	6	**1,165,257**	**822,397**
Investment properties	7	**11,144**	**11,153**
Investment in Group comanies		**141**	**141**
Non-current financial assets	8.1	**106,514**	**81,501**
Non-current accruals	15.1	**41,653**	**25,137**
Deferred tax assets	16	**54,059**	**47,214**
CURRENT ASSETS		**587,878**	**961,042**
Non-current assets held for sale	4.2	**11,192**	**22,365**
Inventories	9	**9,271**	**7,746**
Trade and other receivables	8.2	**310,494**	**174,297**
Current accruals	15.1	**1,429**	**2,218**
Cash and cash equivalents	10	**240,492**	**754,416**
TOTAL ASSETS		**2,303,361**	**2,248,699**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/23	6/30/22
EQUITY		**545,460**	**534,044**
Capital and reserves	11	**541,760**	**530,200**
Reserves		487,997	487,517
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		13,378	13,325
Profit for the year		11,560	533
Grants, donations and bequests received	12	**3,700**	**3,844**
NON-CURRENT LIABILITIES		**1,026,912**	**1,095,640**
Non-current provisions	13.1	**45,833**	**66,014**
Non-current loans and borrowings	14.1	**920,295**	**948,515**
Bank borrowings		76,573	114,789
Other financial liabilities		843,722	833,726
Deferred tax liabilities	16	**36,647**	**34,087**
Non-current accruals	15.2	**24,137**	**47,024**
CURRENT LIABILITIES		**730,989**	**619,015**
Current provisions	13.2	**53,022**	**70,985**
Current loans and borrowings	14.2	**284,336**	**143,254**
Bank borrowings		38,509	38,356
Other financial liabilities		245,827	104,898
Trade and other payables	14.3	**294,555**	**323,927**
Current accruals	15.2	**99,076**	**80,849**
TOTAL EQUITY AND LIABILITIES		**2,303,361**	**2,248,699**

INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2023

€ THOUSAND	NOTES	2022/23	2021/22
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and other stadium revenue		151,962	104,361
International and friendly matches		136,030	139,492
Broadcasting revenue		186,813	178,940
Marketing revenue		329,811	290,140
	17.1	**804,616**	**712,933**
Cost of sales			
Raw materials and other consumables used	17.2	**(44,000)**	**(27,778)**
Other operating income	17.1	**26,715**	**6,903**
Sports and non-sports personnel expenses	17.3	**(446,772)**	**(517,357)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	90	(3,399)
Other operating expenses	17.4	(268,645)	(288,144)
		(268,555)	**(291,543)**
Depreciation and amortization	4,5,6,7	**(154,569)**	**(179,702)**
Non-financial and other capital grants	12.17.1	**192**	**192**
Provision surpluses	13.1,13.2	**11,613**	**1,558**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(30,607)	(60,814)
Gains/(losses) on disposal and other	17.5	104,057	362,367
		73,450	**301,553**
OPERATING PROFIT		**2,690**	**6,759**
Finance income			
Marketable securities and other financial instruments	17.6	12,698	1,148
Capitalization of borrowing costs	17.6	17,917	14,749
		30,615	**15,897**
Finance expenses	17.6	**(25,082)**	**(18,994)**
NET FINANCE INCOME/(EXPENSE)		**5,533**	**(3,097)**
PROFIT BEFORE TAX		**8,223**	**3,662**
Income tax expense	16.1	**3,337**	**(3,129)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**11,560**	**533**
PROFIT FOR THE YEAR		**11,560**	**533**

BUTGET 2023-2024

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES
CONSOLIDATED BUDGET 2023/2024 SEASON

€ THOUSAND	ACTUALS 2022/23	BUDGET 2023/24	VARIATION
Membership fees, ticket sales and other stadium revenue	152,034	317,898	165,864
Revenue from international and friendly matches	137,430	108,673	(28,757)
Broadcasting revenue	186,813	172,660	(14,153)
Marketing revenue	366,741	340,313	(26,428)
Total operating income (before disposal of non-current assets)	**843,018**	**939,544**	**96,526**
Cost of sales	(44,000)	(45,263)	(1,263)
Sports and non-sports personnel expenses	(452,701)	(458,269)	(5,568)
Operating expenses	(262,299)	(339,534)	(77,235)
Provision for uncollectible receivables, and for liabilities and charges	90	0	(90)
Gains/(losses) on disposals of non-current assets	104,057	87,003	(17,054)
Impairment/derecognition of non-current assets	(30,607)	0	30,607
Profit/(loss) from operating activities before amortization and depreciation (EBITDA)	**157,558**	**183,481**	**25,923**
Depreciation and amortization	(154,569)	(144,368)	10,201
Operating profit/(loss)	**2,989**	**39,113**	**36,124**
Finance income	12,754	1,111	(11,643)
Capitalization of borrowing costs	17,917	12,044	(5,873)
Finance expenses arising on implied cost of deferred payment on player acquisitions	(1,551)	(4,736)	(3,185)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(5,615)	(25,083)	(19,468)
Capitalized finance costs on the stadium loan	(17,917)	(12,044)	5,873
Net finance income/(expense)	**5,588**	**(28,708)**	**(34,296)**
Profit/(loss) before tax	**8,577**	**10,406**	**1,829**
Income tax expense	3,249	(4,051)	(7,300)
PROFIT/(LOSS) AFTER TAX	**11,826**	**6,354**	**(5,472)**

Revenue budgeted for 2023/24 is €939.5 million, an increase of €96.5 million (+11%) from 2022/23.

Stadium revenue is expected to be the main driver. Remodeling work, under way since 2019, is scheduled to largely be complete by the end of 2023. This should pave the way for steady growth in revenue throughout 2023/24, while the various business lines should be operating at full capacity in 2024/25.

Revenue from other business lines is budgeted to decrease due to:

- Competition revenue: budget has Real Madrid reaching the quarterfinals of the Champions League (compared to semifinals last year).
- TV revenue: LaLiga has approved a change in one of the criteria for determining the share of revenue because of the collective operation of TV broadcasting rights, which has an adverse impact on the Club.
- Marketing revenue: last year featured non-recurring operating income.

Budget calls for €5.6 million of personnel expenses (+1% year-on-year). Increase from last year is the result of trends in contracts and the composition of sports personnel, the impact of inflation on costs of non-sports personnel and the larger number of staff dedicated to the stadium's commercial and general operations.

Cost of sales and other operating expenses are budgeted to increase by €78.5 million from 2022/2023. This is primarily the result of higher direct costs related to revenue growth and the increase in expenses for operating the new stadium. Explaining the rest of the increase are the costs borne for the loan of 1st team football sports personnel and the inflation-induced increase in the cost of external services engaged by the Club to carry out its activities.

The Club's budgeted gains on disposals for 2023/24 is €87.0 million, down €17.1 million year-on-year.

Last year, Real Madrid recognized costs amounting to €30.6 million for player disposals and the allowance for impairment of non-current assets. According to the 2023/24 budget, no new costs will be required in this connection, resulting in a reduction in expenditure from the year before.

As a result of the above, budgeted EBITDA is €183.5 million, up €25.9 million from the year before.

Budgeted depreciation and amortization charge is €10.2 million less than the year-earlier figure. This decrease is the result of two factors with opposite effects: the decrease in player amortization due to disposals of significant players as at June 30, 2023, which easily outstripped the increased expenditure for new hires, and the increase in depreciation of property, plant and equipment owing to the start of depreciation of the capex on the stadium remodeling, which is no longer considered work in progress for accounting purposes.

Finance expenses are budgeted at €28.7 million, compared to the net finance income of €5.6 million obtained in 2022/2023; i.e. a net increase in expenditure of €34.3 million. This increase is underpinned by the following:

- An increase in budgeted interest expenses on loans and guarantees of €19.5 million due entirely to stadium financing as the borrowing costs on the loan for the remodeling project will cease to be capitalized since the remodeling will no longer be considered work in progress for accounting purposes.
- An increase in the implied cost of deferred payment on player acquisitions of €3.2 million driven by the higher cost of discounting the deferred payments caused by hikes in interest rates (Euribor).
- A decrease in finance expenses of €11.6 million due almost exclusively to non-recurring income recognized in 2022/23 from favorable outcomes of certain legal proceedings involving the Club.

Overall, budget calls for profit before tax of €10.4 million, up €1.8 million from the year before (i.e. €8.6 million).

Income tax expense is budgeted at €4.1 million after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts of changes in tax legislation and factoring in applicable tax credits. In 2022/23, the Club recognized a tax refund of €3.2 million due to the adjustment to non-tax-deductible income recognized that year.

This leaves budgeted profit after tax of €6.4 million, compared to €11.8 million last year.

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES CONSOLIDATED BUDGET BY SPORTS SEGMENTS FOR THE 2023/24 SEASON

	MEN'S FOOTBALL				
€ THOUSAND	FIRST SQUAD	ACADEMY	WOMEN'S FOOTBALL	BASKETBALL	TOTAL
Membership fees, ticket sales and other stadium revenue	310,177	99	380	7,243	317,898
Revenue from international and friendly matches	106,918	250	802	704	108,673
Broadcasting revenue	168,435	186	0	4,040	172,660
Marketing revenue	324,394	0	5,989	9,930	340,313
Total operating income (before disposal of non-current assets)	**909,923**	**535**	**7,171**	**21,916**	**939,544**
Cost of sales	(42,677)	(1,661)	(413)	(512)	(45,263)
Sports and non-sports personnel expenses	(397,180)	(22,798)	(6,126)	(32,165)	(458,269)
Operating expenses	(318,182)	(10,326)	(2,011)	(9,015)	(339,534)
Provision for doubtful receivables, and for liabilities and charges	0	0	0	0	0
Gains/(losses) on disposals of non-current assets	70,649	16,381	0	(27)	87,003
Profit/(loss) from operating activities before amortization and depreciation (EBITDA)	**222,533**	**(17,869)**	**(1,380)**	**(19,804)**	**183,481**
Depreciation and amortization	(139,242)	(4,211)	(403)	(512)	(144,368)
Operating profit/(loss)	**83,292**	**(22,080)**	**(1,783)**	**(20,315)**	**39,113**
Finance income					1,111
Capitalization of borrowing costs					12,044
Finance expenses arising on implied cost of deferred payment on player acquisitions					(4,736)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses					(25,083)
Capitalized finance costs on the stadium loan					(12,044)
Net finance income/(expense)					**(28,708)**
Profit/(loss) before tax					**10,406**
Income tax expense					(4,051)
PROFIT/(LOSS) AFTER TAX					**6,354**



Realmadrid

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